

It's Mutuality,
Pure
&
Simple



It's Mutuality, Pure & Simple

It has been a “healthy” year for Amãna’s General Insurance enterprise. With a view to keeping things simple and uncomplicated and guided by our adherence to a strict moral regime, we innovated, restructured and also introduced new products to our portfolio which are finding resonance with our customers. We are looking to take our proposition further afield, reaching more people across the country than before.

Our proposition is Mutuality, Pure & Simple!

OUR VISION

“Committed to providing peace of mind through World Class Takaful solutions”

OUR MISSION

“We will stand apart from the rest by engaging all stakeholders, crafting unique insurance solutions, in a spirit of mutuality and solidarity”

OUR VALUES

C **Customer Centered:**

Interaction with Customers.

We LISTEN to our customers and go the EXTRA MILE to SERVE them

O **Open Mindedness:**

Changing the Status Quo, seeking new ideas.

We FOSTER a culture where IDEAS and OPINIONS are shared freely

R **Rise for Quality:**

A culture of continuous improvement.

We are DRIVEN to give all stakeholders a QUALITY service

D **Diversity:**

Our soul and spirit

We are OPEN to ALL

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CEO of Amāna Takaful PLC

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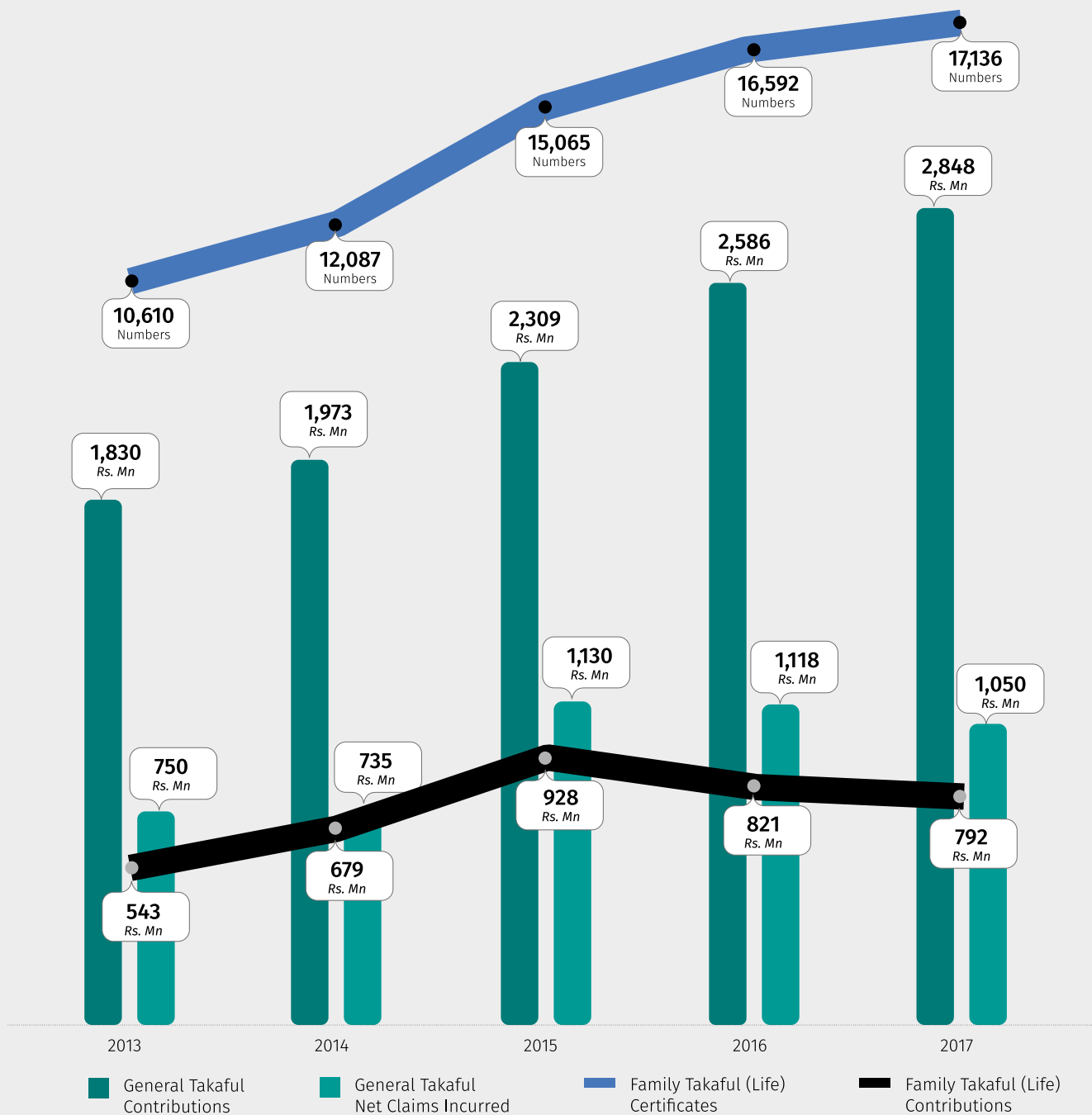
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Corporate Information/Inner Back Cover

Financial Highlights

	2017 Rs. Mn	2016 Rs. Mn	Growth (%)
Group			
Total Gross Written Premium	3,641	3,407	6.86
Profit/(Loss) After Tax	155	(146)	206.05
Earnings/(Loss) per Share (Rs.)	0.10	(0.09)	211.11
Total Assets	5,936	5,518	7.61
Net Assets Value per Share (Rs.)	0.83	0.77	8.09
Return on Equity	0.09	(0.09)	198.13
General Takaful			
Gross Written Premium	2,848	2,586	10.14
Net Earned Premium	1,898	1,743	8.89
Life (Family) Takaful			
Gross Written Premium	792	821	-3.48
Life (Family Takaful) Fund – Family Takaful	581	560	3.71
– Unit Linked	1,525	1,504	1.40
Total Life (Family Takaful) Fund	2,106	2,064	2.02
Company			
Profit/(Loss) After Tax	63	(138)	145.24
Earnings/(Loss) per Share (Rs.)	0.04	(0.08)	150.00
Net Assets Value per Share (Rs.)	1.01	0.98	3.43
Return on Equity	0.03	(0.08)	
No. of Employees	224	243	-7.82
No. of Branches/Distribution Centres	33	30	10
General Takaful			
Gross Written Premium	1,792	1,618	10.74
Net Earned Premium	1,284	1,285	-0.09

Financial Highlights



General Takaful GWP – Group

10.14% ↑

Group Total Assets

7.61% ↑

Chairman's Review

Welcome to the Annual General Meeting of Amāna Takaful PLC.

I take pleasure in presenting the Annual Report and the Consolidated Financials in respect of the Amāna Takaful Group for 2017. Each of the subsidiary companies, namely Amāna Takaful Life PLC and Amāna Takaful Maldives will also publish their reports individually.

Shareholders will be pleased to note that Group performance has been exemplary with significant achievements in most aspects of the business in all the three Group entities.

Group Results

The Group's Gross Written Premium (GWP) of Rs. 3.64 Bn, is ahead by 7% over 2016. The profit before taxation from Group Operations is Rs. 169.9 Mn, in comparison to a loss of Rs. 140.2 Mn in the previous year. The three companies contributed positively to this profit out-turn.



/ Tyeb Akbarally

“Amāna Takaful PLC (ATPLC) doubled its GWP growth to 11% and reports a profit of Rs. 63 Mn in 2017, compared to a loss of Rs. 138 Mn over the previous year”

In a much-improved performance, Amāna Takaful PLC (ATPLC) doubled its GWP growth to 11% and reports a profit before tax of Rs. 63 Mn in 2017, compared to a loss of Rs. 138 Mn in the previous year. Although Industry growth was at 15%, fuelled by the Motor Class, which grew at the same pace and taking a share of 66%, the Company chose to rebalance its portfolio from a high dependency on Motor and achieve a fair equilibrium, where its overall upside came from the Non-Motor segment. Productivity improvements, new product launches and strategic tie-ups with prudent claims Management contributed in a large measure to the results of 2017. The Company's business fundamentals are now in better shape to take advantage of the opportunities in the outer years as enunciated in the new three-year plan (2018-2020).

Chairman's Review

As the ongoing portfolio restructure gains momentum, Amāna Takaful Life (AT-Life), listed since August 2016, has made good gains in its Protection-based portfolio delivering a profit before tax of Rs. 51 Mn for the year 2017 with a growth of 42%. Expansion of distribution, channel development and new product offers together with customer-engagement programmes are set to drive performance at a higher pace in the future. A segment of AT-Life's investment assets, which experienced a temporary set-back, is now under control at the time of writing, with the expectation of better yields.

Amāna Takaful Maldives (AT-Maldives), the only listed Insurance entity in the Maldives Stock Exchange, continues its steady pace with stellar performance in GWP and profits. AT-Maldives reports a 239% growth in profits before tax of Rs. 66 Mn on the back of a 9% GWP upside to Rs. 1.05 Bn, in a volatile market. These results are borne out through new product lines, efficient cost and claims management and investment returns. Takaful competition is intensifying through window operators where rate cutting is rampant as a ruse for market share gains. AT-Maldives ethical positioning, service ethos and year-on-year dividend pay-outs together with Surplus Awards to its customers are unparalleled commitments as a responsible corporate. We seek the intervention of the regulatory authority in bringing about fair-play and justice – the very essence for sustainable business success and protection of the insured.

“Group's investment income grew by 24% to Rs. 382 Mn, while total amount paid out in claims was Rs. 1.48 Bn”

In 2017, the Group's investment income grew by 24% to Rs. 382 Mn, while total amount paid out in claims was Rs. 1.48 Bn.

Insurance Landscape and Outlook

From our perspective, clearly, the General insurance industry in Sri Lanka continues to be dependent on Motor class to fuel growth and not reflective of the real potential in tandem with the nation's economic programme. This is borne out in the lack-lustre performance in non-motor GWP. While the bigger projects aided by foreign investments maybe mobilising overseas cover and not reflective in the published numbers, the authorities may consider to mandate this aspect. Further,

as the nation moves to a middle-income status, protection and indemnity becomes a necessity. The authorities can do well to mandate these aspects too, while managing the lower segments of the population in times of catastrophes. Lessons and experience from similar geographies and economies are available worldwide. Needless to say, such actions will benefit all stakeholders.

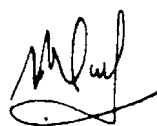
Acknowledgements

The Board and I wish to place on record our appreciation to the Insurance Regulatory Commission for their support, and encouragement. We remain steadfast to the Takaful system and continue to seek their understanding and forbearance.

I also wish to thank my colleagues on all three Boards for their contribution, counsel and ensuring uncompromising adherence to corporate governance procedures and principles in respect of the three entities. I wish to inform that Ehsan Zaheed resigned in April 2017, we thank him for his services.

Together with the respective Board members, I pay tribute to the Management and staff of all the companies in optimising synergies, diligent conduct, and building a sustainable business with passion and conviction.

As of end September 2017, I relinquished my position as Chairman and member of the Board of Amāna Takaful Life. My sincere appreciation to shareholders for their patience and support in the tenure.



Tyeab Akbarally

Chairman

5th April 2018

Conversation with Fazal Ghaffoor – CEO of Amāna Takaful PLC



Hareez Sulaiman

*Managing Director/Chief Executive Officer
AT-Maldives*

M. Fazal Ghaffoor

*Chief Executive Officer
ATPLC*

Gehan Rajapakse

*Chief Executive Officer
AT-Life*

How do you assess the overall business performance of Amāna Takaful PLC?

Justifiably, I am upbeat. Borne out by the return-to-profit, a positive up-side in most, if not all indices, the business fundamentals are in much better shape. All of these have come through an infectious enthusiasm across the Company, in building a firm foundation for sustainable growth through the Takaful model.

Our Scorecard is modest – Company

- Gross Written Premium grew by 11% Vs 5.5% in 2016
- Profit before Tax of Rs. 63 Mn compares with a loss of Rs. 138 Mn in 2016
- Our Combined Ratio improved to 102 Vs 117 a year ago
- Under-writing Result came in at Rs. 520.6 Mn Vs Rs. 326 Mn in 2016
- Gross Claims incurred was Rs. 926.1 Mn Vs Rs. 1.2 Bn in the previous year
- Retained our Market Share and Position

Would you elaborate on “being upbeat”?

Belief in the adage “that we can do little to change the nature of our business, but rather change the way we do our business” paid-off reasonably well. In the last two years, we deliberately attempted to rebalance our portfolio which was heavily skewed to motor with emphasis on the non-motor segment, developing innovative product offers and building capacity and scale with a service credo of speed and flexibility. Painful decisions to “hold” costs for two successive

years, encourage multitasking, optimisation of the existing channels and managing claims efficiently and speedily has given us confidence to deliver growth and profit, as promised in my 2016 review.

How do you see the Takaful concept as a stand-apart in the insurance landscape?

Takaful is a system based on justice and fair play. It is steeped in solidarity, mutual trust and transparency. Operating two distinctive accounts: one for shareholders and the other for policyholders, the inherent risks are carefully allocated to the respective funds for transparency, claims disbursement and declaration of surplus. Having pioneered this model and etching it on the insurance landscape over the last 19 years, it is gratifying that its purity and ethical nature are being embraced by all sections. Other players too are mirroring the model, although, through window operations.

What benefits do you derive in the wider context of the subsidiaries of Amāna Life and Amāna Malé?

The benefits are mutual like what underpins the Takaful model. Although, structurally each of the entities are independent-listed units with governance procedures, we work on a common template in most aspects of the business. From shaping-up the Business Plans, Product Development, Communication Platforms, Talent Recruitment, Training and Retention and customer interface, reinsurance arrangements, to state a few, are perfect synergies. By virtue of ATPLCs shareholding, regular dividends are also forthcoming.

Conversation with Fazal Ghaffoor – CEO of Amāna Takaful PLC

What is your assessment of the business outlook for the foreseeable future?

I am an optimist. It doesn't take wizardry to realise that there is a large untapped potential in this market as evidenced by the appalling indices in insurance penetration. Raising the awareness of risk mitigation and the availability of onshelf and tailor-made covers has to be heightened by the industry. Of course, we need two hands to clap. Often the comparisons are drawn from advanced economies which have state intervention and decrees. But let's not forget that in our context, the state has also to play a role in encouraging small and medium business enterprises and individuals alike through meaningful incentives to do so. We at Takaful, have made a firm commitment to reach the underserved populace with products that suit their needs and enlist them in the financial eco-system. Informal village organisations, affinity groups and daily/seasonal wage earners have been brought into this safety net. Our foray into this segment has been mutually rewarding.

“Digitisation is a strategic intent in our three-year plan, responding to the new wave of engagement and transactional environment”

What differentiation would Takaful bring to the business and the market in meeting customer needs?

It doesn't say much of the industry when around two-thirds of the Insurance GWP is concentrated in the Motor segment. The Takaful model is vulnerable to the prevailing claims in this aspect. Diversifying the portfolio began months ago, and we are reaping the benefits of this strategy. Innovative personal lines and other new products have been launched and some are ready for launch. Digitisation is a strategic intent in our three-year plan, responding to the new wave of engagement and transactional environment. Shifting the paradigm to real time, on-the-go availability through our APPs, allowing flexibility to tailor-product needs, is receiving disproportionate resources at ATPLC.

In this transformation, how do you enlist stakeholder support and participation?

WoW, that's my favourite. Firstly, Customer advocacy has been tremendous and a lifeline to our business. Our dashboard measures multilevel contact, engagement programmes and loyalty initiatives. A new initiative is a Takaful Ambassadorship programme, where hand-picked staff enlist new customer segments. It is heartening that experienced industry talent are at the forefront of a culture change in the organisation. We share our Scorecard and Dashboards with every Amānite in the monthly team-brief. This way, there is heightened awareness and consequently a will to contribute to results in a competitive spirit.

The support and understanding of the reinsurance community, our independent actuary, the External Auditors and the shari'ah advisory council are vital for a highly regulated industry that we operate in. Regular interactions with each of them in a spirit of transparency and openness keeps us on our toes in strengthening governance.

As a wrap-up, what dependencies do you have to accelerate a sustainable Takaful business, given the ambitious goals you have discussed?

Clearly, I can think of three – namely the Board, the Regulator and Amānites.

We have had the advice and guidance of the Board and their generosity in resource allocation in the past, and more so for the current three-year plan. I thank them profusely, with the promise of yet another good year in 2018.

The conducive consultative environment provided by the Insurance Regulatory Commission is much appreciated.

I pay tribute to all Amānites for their understanding and support in trying times. I am sure this has emboldened us all to deliver exemplary performance in all aspects of the business.

The business acumen and challenging spirit that Hareez Sulaiman and Gehan Rajapaksa bring to the party is immense. We will continue to nurture this combination, true to the spirit of Mutuality and Trust – the cornerstones of Takaful.

Peace be upon you all!



M. Fazal Ghaffoor

Chief Executive Officer

5th April 2018

Board of Directors



Tyeab Akbarally

Chairman – Non-Executive
(ATPLC)

Tyeab Akbarally is the Chairman of the Company. He has been on the Board since its inception. He is also a Director of Akbar Brothers (Pvt) Ltd., the largest tea exporter in the country. Tyeab's business interests extend to many sectors of the economy, including Tea Trade, Pharmaceutical Trade, Hydropower and Commodity Trading. He is also on the Boards of Amāna Bank PLC and several companies in the Akbar Brothers Group.



Osman Kassim

Non-Executive Director
(ATPLC)

Osman Kassim, the visionary and one of the main promoters of Amāna Group of Companies, is the Chairman of Amāna Bank PLC, Sri Lanka's first and only licensed commercial bank to conduct all its operations under the principles of Islamic banking. Kassim, a well-versed personality in Islamic banking and finance, was instrumental in introducing the non-interest-based concept of finance to Sri Lanka with the setting up of Amāna Investments in 1997, whose assets and liabilities were later transferred to Amāna Bank PLC in 2011.

With over 40 years of Senior Management experience, Kassim was also the founder Chairman of the Expolanka Group of Companies, engaged in diversified business activities ranging from trading, manufacturing, waste management, entrepot trading, airline agencies, freight forwarding, travel, aviation etc. He currently sits on the Board of Expolanka as a Non-Executive Director.

He is also the Chairman of Asia Pacific Institute of Information Technology (APIIT) Sri Lanka, set up in collaboration with APIIT Malaysia and the Chairman of Vidullanka PLC, a leading provider of renewable energy to the National Grid.

He was conferred an Honorary Doctorate from the Staffordshire University in recognition of his achievements as both a global entrepreneur and visionary educationalist.



Mohamed Haniffa Mohamed Rafiq

Independent Non-Executive Director
(ATPLC and AT-Life)

M.H.M. Rafiq has been on the Board since its inception. He has been involved in the insurance industry for over four decades. His interests are extremely diverse and include Education, Healthcare and Real Estate. Rafiq, with his wealth of experience in the sphere of insurance, plays an active role in Amāna Takaful PLC.

Board of Directors

**Dato' Mohd Fadzli Yusof**

Independent Non-Executive Director
(ATPLC and AT-Life)

Dato' Mohd Fadzli Yusof was appointed to the Board on 10th February 1999. He was the founder Chief Executive Officer of Syarikat Takaful Malaysia Berhad, the first Takaful Operator in Malaysia as well as in Asia, since its incorporation in 1984 until his retirement in 2005. He obtained the professional Diploma in Communication, Advertising and Marketing (CAM) from the CAM Foundation in the United Kingdom in 1976. He started his career in broadcasting, including six years with the BBC External Service in London. Currently he is an independent member of the Board of Hei Tech Padu Berhad, Malaysia. He is also a member of the Board of Motor Research Consortium Data Sdn. Bhd, a subsidiary of Hei Tech Padu Berhad.

He has also been appointed as a member of the Board of State Economic Development Corporation of Kelantan, Malaysia. On the academic front he serves as the Fellow, University Islam Malaysia. He is also a member of the Board of Trustees Sultan Mizan Royal Foundation an NGO institution.

**Dr. Aboobacker Admani
Mohamed Haroon**

Non-Executive Director
(ATPLC)

Dr. A.A.M. Haroon was appointed as a Director on 21st September 2000. He is a Medical Practitioner by profession. He also holds the chairmanship of several private companies, encompassing different industries including Garments, Healthcare and Clinical Diagnostics.

**Aboo Sally Mohamed Muzzammil**

Independent Non-Executive Director
(ATPLC)

A.S.M. Muzzammil was appointed to the Board in April 2010. He is the Chairman/ Managing Director, Ceylon Foods (Pvt) Ltd. He has served for over 40 years in senior management positions in commerce and industry. He holds an MA in Business Analysis from Lancaster University, UK and the J Dip MA, UK. He is a Fellow of the CIMA (UK) and ACCA (UK). Muzzammil served as the President of CIMA Sri Lanka Division, Exporters Association of Sri Lanka and the Seafood Exporters Association of Sri Lanka. He has been a member, of the Councils of the Moratuwa University, SLIATE, SLSI and the ITI and was a member of the Joint Business Forum and various Chambers of Commerce and Industry. He has been a Vice-President and Treasurer of the OPA and also serves in several business, educational, social and religious organisations.

Board of Directors



Dr. Ifthikarudeen Ahamed Ismail

Independent Non-Executive Director
(ATPLC and AT-Life)

Dr. Ifthikarudeen Ahamed Ismail was appointed to the Board of Amāna Takaful PLC in June 2012. He also serves as Chairman of ATL Investments Holdings Ltd. [Formerly known as Amāna Holdings Ltd.] and as a Director of Asia Siyaka Commodities PLC.

He holds a BSc (Hons.) Degree from the University of Ceylon and a PhD from the University of St. Andrews, UK. He has attended the Advanced Management Programme at the Harvard Business School and has participated in a variety of senior functional and general management training courses, mainly in Europe. He is a Fellow of the Institute of Management of Sri Lanka.

Whilst he was Vice-Chairman of Unilever, he served in various capacities in state institutions; among them as a Director of the National Apprentice Board, a member of the Advisory Committee of the Ministry of Foreign Affairs, the Research Planning Council of the CISIR, the Tertiary Vocational Education Commission and the Council of the Open University.

He has served as Principal of Zahira College, Colombo, CEO and Director of APIIT Lanka and as Chairman of the Board of the Sri Lanka Business Development Centre, Council member of the Employers' Federation, Chairman of the Board of Governors of the Symphony Orchestra, Chairman of the Colombo District Scouts Association and Patron of the Photographic Society of Sri Lanka.



Radhakrishnan Gopinath

Independent Non-Executive Director
(ATPLC and AT-Life)

Radhakrishnan Gopinath was appointed to the Board on 6th June 2012. He was formerly the Chief Executive Officer and the Managing Director of Life Insurance Corporation Lanka (LIC Lanka), having previously held several top positions at LIC India. Gopinath was also a Director at Al Nabooda Insurance Brokers LLC Dubai. He has also served as a Vice-President of the Insurance Association of Sri Lanka and was an Executive Committee member of the Ceylon Chamber of Commerce in the Insurance Subcommittee.

Gopinath is a member of Chartered Insurance Institute (CII), UK and also a member of The Personal Finance Society and Society of Mortgage Professionals (PFS) London, UK. He is also a member of Indian Management Association and also is the Alumnus of Madras Christian College, India. He holds a Bachelor of Science (Mathematics) and a Postgraduate Diploma in Business Management.

His passion in training, coaching and mentoring along with his extensive experience in insurance led him to establish GOPAST Centre for Learning (Pvt) Ltd., a company dedicated towards building human potential, where he holds the position of Chief Executive Officer/Managing Director.

Board of Directors



Mohamed Rizwan Mohamed Nayeem

Independent Non-Executive Director
(ATPLC and AT-Life)

Rizwan Nayeem was appointed to the Board on 7th March 2016. He is currently an Executive Director at the Nortonbridge Capital (Pvt) Ltd. He has had an extensive career in investment research, corporate finance and management consultancy in Sri Lanka, Middle East and United Kingdom. Rizwan has had well-acclaimed research-based publications in the insurance sector and luxury goods in Sri Lanka and United Kingdom. He is also an accomplished entrepreneur having successfully launched vibrant enterprises including the Nortonbridge Capital and Orofini Jewellery.

Rizwan has an MBA from the Cranfield School of Management, United Kingdom and he has successfully completed the programme on Advanced Corporate Financial Strategies at the Kellogg School of Management, Illinois, USA. Rizwan is also a member of the Association of Chartered Certified Accountants (ACCA – UK), Chartered Institute of Management Accountants (CIMA – UK) and Chartered Institute of Marketing (CIM – UK).



Mohamed Hassan Sattar Kassim

Non-Executive Director
(ATPLC)

Hassan Kassim was appointed to the Board on 7th March 2016. He is the founder and CEO of Expolanka Commodities DMCC Dubai. He has also served as Head of International Trading at Expolanka Commodities (Pvt) Ltd. and Head of Corporate Communications and CSR at Expolanka Holdings PLC.

He holds a BA (Hons.) Degree in Management Studies from the University of Nottingham, UK. Hassan Kassim serves as a member of the Board of Directors of EZ Warehousing (Pvt) Ltd., Lanka Commodity Holdings (Pvt) Ltd., Norfolk Foods (Pvt) Ltd. and Beta Ventures.

Management Team

General Management Committee



Seated from Left to Right : M. Fazal Ghaffoor – Chief Executive Officer
Zaid Ibnu Aboobucker – General Manager – Operations and Medical

Standing from Left to Right : M.S.M. Iqbal – Head of Information Technology
M. Farhan Jabir – Head of Human Resources
A.H.M. Dilshad – Head of Compliance and Corporate Risk
M. Rinaz Niyas – Head of Finance and Administration

Management Team

Corporate Management

**Rizvan Ahamed**

Specified Officer and
Assistant General Manager –
Retakaful and Non-Motor Claims

**Nalin Sakalasooriya**

Assistant General Manager – Motor Claims

**M.G. Udaya Pushpa Kumara**

Assistant General Manager – Underwriting

**Shamail Annam**

Head of Business Development – Corporate

**M.C. Mohamed Noushad**

Head of Sales – Metropolitan

**L. Gayan Chirantha De Silva**

Head of Branch Distribution

**Thilak Nishantha**

Manager – Human Resources

**Rushdi Zarook**

Manager – Legal

**Roshan Ranasinghe**

Senior Manager – Portfolio Management

Management Team



Ahmed Ajfar

Manager – Information Technology



Sumedha Mirihana

Manager – Marketing Activations



M. Imran Zahir

Manager – Strategic Planning and Corporate Risk



M.A.M. Jawfer-Us Sadik

Manager – Retakaful



A. Sanjeewa Kaluarachchi

Manager – General Takaful



M. Faique Bathrul Hassen

Manager – Underwriting



Shaheer Rasooldeen

Manager – Relationship Management Unit



K. Karunamoorthy

Manager – Learning and Development



U.G. Janaka Wijayakumara

Senior Regional Manager –
Southern and Sabaragamuwa

Management Team

**M. Jibrath**

Regional Manager –
East

**M.F.M. Hismy**

Regional Manager –
North and North West

**Tasleen Ammon**

Channel Sales Manager –
Corporate

**Zakir Kanaka**

Senior Sales Manager

**M.T. Herath**

Senior Sales Manager

**M. Ramakrishnan**

Manager –
Micro Takaful

**Hashmath Huzair**

Assistant Manager – Internal Audit



Accessibility

Quality begins with the design of products and services that optimally meet the diverse needs of customers of all hues; are easy to understand and readily available.

Management Discussion and Analysis

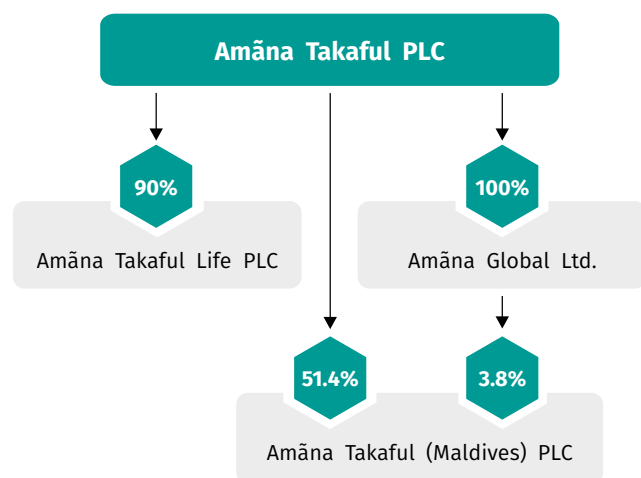
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Group Overview

Amāna Takaful PLC (ATPLC)

Amāna Takaful PLC founded in 1998 as a Composite Insurer with a paid-up share capital of Rs. 30 Mn, recording Rs. 4 Mn GWP revenue in its first year of operation. At present the expanded group records an annual GWP of Rs. 3.6 Bn, equity of Rs. 1.8 Bn, 33 branches, 336 full time employees and retains its dominant position in the Takaful insurance space in Sri Lanka and Maldives.

With a public listing in 2006 ATPLC has three subsidiaries, namely Amāna Takaful Maldives PLC (AT-Maldives), Amāna Takaful Life PLC (AT-Life) which followed as public listed entities in 2011 and 2016 respectively and Amāna Global Ltd. which is a BOI registered Technical Advisory. Prior to the listing of the subsidiaries, AT-Maldives commenced operations in Malé the capital of the Maldives in 2005 whilst AT-Life remained within the composite until 2014.



Sri Lanka – Macro Economic Position

The country's macroeconomic outlook and resultant impact on the insurance sector largely stems from the Government's programme of fiscal prudence and good governance initiated since 2015. Fiscal prudence resulted in a programme of credit restriction, increase in Policy Interest rates of 125Bp since 2016, impacting vehicle finance and leasing. Budget 2018 saw additional taxes on vehicle imports, which also adversely impacts the vehicle market. Given that Motor Insurance is the single largest class of industry premium, it poses a key challenge to the sector. Increased regulatory intervention to protect policyholders and an entrenched Risk-based Capital (RBC) regime, the latter since 2016 has helped to strengthen governance in the industry.

The Government's Vision 2025 aims to "make Sri Lanka a rich country by 2025", setting ambitious goals for the Exports Sector to reach USD 20 Billion annually (presently USD 11.4 Bn), Per Capita GDP of USD 5,000 (presently USD 3,800), Sri Lanka to be the Hub of the "Indian ocean" (modelled on successful geographies)

modernising it from an Agri to that of a Service-based economy. The Insurance sector would need to keep these policy directions in mind, proactively adapt and maximise on them for future success.

Central Bank of Sri Lanka (CBSL) statistics, reports a GDP growth of 3.3% in Q3 2017, compared to an annual GDP growth of 4.4% for 2016. GDP was effected by adverse weather patterns in 2016/2017, in which agriculture GDP contracted by 3.3%. Service sector and Industrial sector GDP grew by 4.3% and 1.9% respectively for Q3 2017. Headline inflation was 7.1% for December 2017 as per the Ceylon Chamber of Commerce (CCC). Natural disasters had a significant impact on the Insurance sector, one that ATL managed admirably.

As of CBSL's November 2017 statistics, Exports reached USD 11.4 Bn for 2017 a 10% growth, driven by the apparel sector with a boost from the reinstatement of GSP. Our import dependent economy expended USD 18.9 Bn – a growth of 9%, while the Trade deficit of USD 8.5 Bn expanded by 7.6% in the same comparison. Foreign (employment) remittances were USD 6.08 Bn, a contraction of 7%. Tourism revenue of USD 3.2 Bn, compares with USD 3.1 Bn YoY. The Government maintained its FDI, as well as obtained the third tranche of IMF funding line of USD 251.4 Mn with other debt funding to post a Balance of Payment surplus of USD 2 Bn, compared to a deficit of USD 622 Mn a year earlier. Year-end foreign reserves reached USD 7.3 Bn approximately 3.5 months of imports, up from USD 6 Billion at the end of 2016.

The GDP growth target of 5% for 2017 is expected to continue over 2018 with exports at the fore. Import dependence is expected to marginally reduce. Trade deficits continue with the potential for further currency devaluation over 2018.

In conclusion, the Insurance sector would face a challenging 2018. Even in the area of Motor we see growth moderating and profitable subclasses being vigorously pursued. Enhanced Risk-based Capital supervision will propel industry consolidation.

Industry Overview

The Gross Written Premiums (GWP) of the General Insurance sector grew by 15% in 2017 to Rs. 88 Bn. The premium income from Motor Insurance of Rs. 56.6 Bn accounts for nearly 65% of the market, with a growth rate of 15% YoY. The vehicle market is highly dependent on the vehicle Leasing and Hire Purchase industry. Given the prevailing tight monetary conditions, it is expected to result in a slow-down of the vehicle market, impacting the Motor Insurance sector. Non-Motor segment increased to Rs. 21 Bn, a 10% growth YoY. Medical Insurance recorded a significant growth of 65% YoY to Rs. 10.2 Bn, which growth was achieved due to a range of governmental and private sector initiatives to enhance the public's awareness and participation. The rate of Insurance penetration in the country stands at less than 2.5% whilst it only accounts for approximately 3% of the total assets in the financial sector. This unsatisfactory state should be addressed by the Insurance sector for overall development of the Industry.

Business Performance Review

Group Performance

The Group's GWP of Rs. 3.6 Bn is up 7% from 3.4 Bn the previous year. A significant turnaround to a profit before tax of Rs. 169.90 Mn was achieved as compared to the loss of Rs. 140.24 Mn the previous year. The growth in Sales on a rebalanced sales product mix, stringent cost control, improved investment income and Under-Writing results were factors which influenced this achievement.

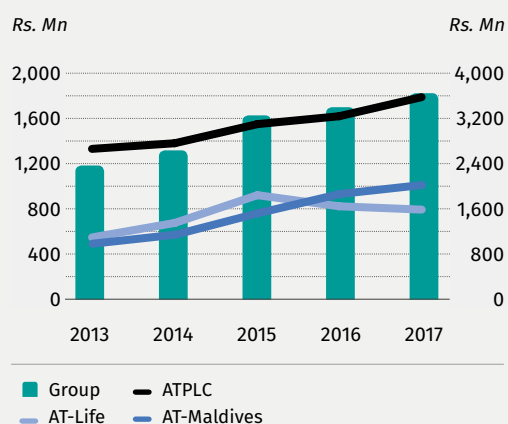
ATPLC has grown its Gross Written Premium (GWP) by 11% (up from 5.5% for 2016) to Rs. 1.8 Bn over the previous year, maintaining its market share and position. Profit before Tax of Rs. 63 Mn was recorded for 2017, as compared to the loss of Rs. 138 Mn the previous year.

AT-Life GWP declined by 3% in 2017 to Rs. 792.2 Mn an improvement compared to a decline of 12% for 2016, in line with this positive trend GWP growth over 2018 is forecasted. It should be mentioned; in 2016 AT-Life took a strategic decision to move away from the marketing and selling of "investment based" products to the sale of "protection based" products, resulting in an expected short-term reduction in GWP levels. We undertook this strategy for enhanced portfolio profitability and sustainability. At the onset of this initiative we saw the expected drop in GWP, however, GWP is presently on an upward trajectory, this too on a sales portfolio with improved profitability and stability. The Company posted profit before tax of Rs. 51 Mn a 42% growth over the previous period. The repositioned sales portfolio and a raft of other management measures enabled this successful result.

AT-Maldives Posted a GWP of Rs. 1.05 Bn, a 9% growth. A profit before tax of 66 Mn for the year 2017 consisting of a 239% growth.

ATPLC Group GWP Segmental growth over the last five years is depicted in the chart below:

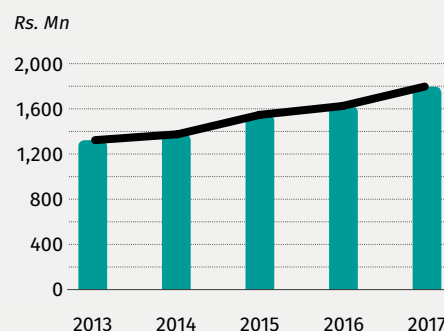
ATPLC Group GWP



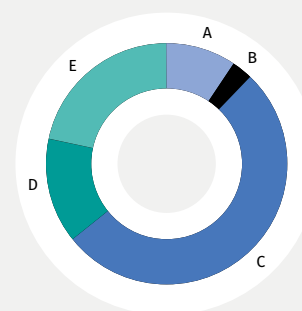
Amāna Takaful General

ATPLC grew by 11% in 2017 compared to 5.5% in 2016, the growth in GWP for the last five-year period is given below:

ATPLC GWP



Motor and Non-Motor Classification – 2017



	%
A – Fire	9
B – Marine	3
C – Motor	52
D – Medical	14
E – Misc	22

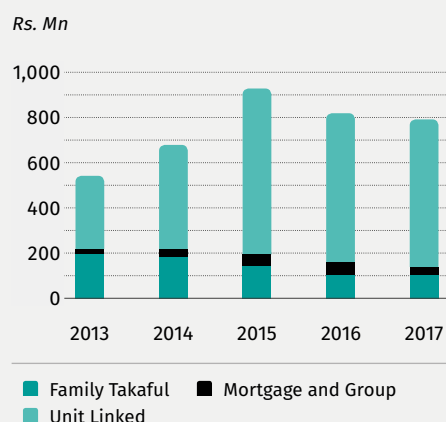
Business Performance Review

Amāna Takaful Life

AT-Life has completed its 3rd year of operation as a separate entity in 2017. The chart below depicts the growth in Gross Written Premium over the last five years:

**AT-Life GWP declined by 3% in 2017 an improvement as compared to a decline of 12% for 2016. In 2016 AT-Life took a strategic decision focusing on profitability, to reposition its sales product mix away from "investment" oriented products to "Protection" based products, as a result the drop in GWP. 2018 onwards a positive growth in GWP on a sales portfolio with enhanced profitability is expected.*

AT-Life GWP Breakdown



Investment Income

The Group reports an investment income of Rs. 382 Mn in 2017, which is a growth of 24%.

Profitability

ATPLC recorded a profit before tax of Rs. 63 Mn for the year 2017, a notable turn-around from the loss of Rs. 138.3 Mn for the year 2016.

AT-Life, in its third year of independent operations, recorded a profit before tax of Rs. 51 Mn for 2017 a 42% growth compared to Rs. 35.7 Mn in 2016.

AT-Maldives recorded a profit before tax equivalent to Rs. 66 Mn for the year 2017, a 239% growth compared to Rs. 19.5 Mn in 2016.

The Group recorded a profit before tax of Rs. 169.9 Mn for 2017 compared to a loss of Rs. 140.2 Mn in 2016.

Risk Management and Risk-based Capital

The Company has implemented a detailed Enterprise Risk Management Framework, which is reviewed periodically. A detailed Business Continuity Plan (BCP) supplemented by a Disaster Recovery Plan (DRP) is regularly updated and

validated. All control procedures are monitored at the level of Department Heads. The meetings of the Risk Management Committee of the Board are held every quarter.

The Risk Based Capital Framework was fully-implemented from 1st January 2016. The Company has maintained TAC and CAR above the required levels at all times.

ISO Re-certification

ATPLC successfully obtained ISO re-certification. ISO certification entails routine quality and management related auditing by an external ISO accreditation body. DNV the renowned German ISO certification Agency being our ISO accreditor conducted such auditing process, the criteria of which we successfully surpassed.

Presently we are the only insurance company to maintain the ISO accreditation.

Micro Insurance

Poverty and Extreme Poverty in the 21st Century not only persists from the previous period, but is in danger of further worsening as a result of climate change, political instabilities and wars. World Bank indicators depict the harsh reality that over 80% of the world's population lives on less than USD 10 a day with 50% living on less than USD 2 a day, whilst inflation and in particular food inflation has exponentially increased in the last decade. This segment has virtually no access to formal/organised financial services, especially financial protection or insurance.

Micro insurance is a viable and sustainable solution for the low income population of urban and rural economies. It plays a crucial role in providing comfort and safety to this segment, reducing poverty and improving the living standards of low-income communities.

In the local context, according to a study conducted, the Life insurance penetration is approximately 12% of the total population. The industry is yet to penetrate the masses in rural and semi-urban areas where approximately 75% of Sri Lankans reside. Therefore, it is evident that a vast number of people in Sri Lanka especially in the low-income segment, are exposed to various risks and are financially unprotected.

ATPLC being the pioneer of the Takaful concept in Sri Lanka, realising its social responsibility and the need to protect this segment has introduced a range of Micro Takaful products to suit the diverse needs of this market.

During the year the International Corporate Mutual Insurance Federation (ICMIF) has named Sri Lanka in its global 5-5-5 strategy which seeks to reach out to five million households in five continents in five years. Being closest to the mutual model ATPLC has been selected as a participating entity. This would provide an impetus to our operations in reaching the underserved and needy segments of the market, thereby extending protection and comfort on a workable sustainable platform.

Product Portfolio

GENERAL



Travel Pal

In the event of an unforeseen inconvenience during the policyholders travel period, the “Takaful Travel Pal” policy offers support to customers travelling for leisure, business or family engagements. The policy is a comprehensive and reliable travel companion. It covers the holder in the event of hospitalisation, personal accidents and injuries, permanent or total disabilities, loss of luggage and valuables, reimbursement of repatriation cost and a comprehensive cover for flight delay/cancellation, missed departure etc. Travel Pal also provides absolute peace of mind to the policyholder and free access to airport lounge facilities at the Bandaranaike International Airport.

The policy is available online, catering to the ever-growing tech savvy customers. Quotations can be viewed and travel policies can be bought online through our website. The ATL Mobile app can be downloaded and used for any purpose including visa applications. Foreign travellers can obtain their Travel Pal policy through ATL’s island-wide branch networks as well as partnered travel agents.



My Home

A home is a showpiece of a lifetime decorated with memories of love, care and family. It is more than mere bricks and mortar. Therefore, “My Home” provides a comprehensive cover for a range of potential risks. In the event of a burglary it covers damaged property and stolen goods. It includes all belongings in the home – jewellery, valuables, interior and exterior decorations. The cover also provides protection against damages caused by fire, falling trees and branches, explosions, natural disasters such as earthquakes, lightning and thunderstorms etc. Additionally, it offers a host of free benefits such as, a personal accident cover for the family, protection against loss of rent and cash, fire brigade charges, replacement of ATM/credit cards, alternative accommodation requirements, deterioration of food in the refrigerator and much more.



Total Drive

This motor policy cares not only for your car, but also for your loved ones and includes various covers to suit your risk appetite.

Our online portal www.takaful.lk together with the ATL Mobile app offers customers a wide range of functions that include; renewal of motor policies, obtaining quotations, notifying an accident and tracking a motor claim.



Business Cover

A good insurance policy is an important aspect of business security, as it secures investments against specific forms of destruction or loss. The Business Cover enables an enterprise to operate smoothly despite unexpected calamities. We also offer tailor-made policies for different types of businesses including textile shops, restaurants, grocery stores, pharmacies, hardware shops, supermarkets and the like.



Easy Marine

Maritime enterprise is fraught with many risks. With our Easy Marine cover, one can be at ease, whilst the goods are on the move. This is because we are committed to safeguarding your imports and exports from the point of origin to destination. The policyholder can also enjoy the broad coverage offered with a superior professional and friendly service with speed and efficiency, ensuring smooth sail at any stage.

Product Portfolio

MEDICAL

**Hale & Hearty**

An extended hospital stay is not only distressing but it can also be surprisingly expensive with costs escalating beyond one's limit. Not just the disease but the cost of treatment too takes its toll. Hale & Hearty insurance plan covers individuals and their families within the age group of 18 to 55. It can be tailored to meet the needs of entrepreneurs, executives, managers and others like young adults and housewives. The policy also features an array of benefits that provide policyholders with added value together with convenience. Hale & Hearty gives policyholders the convenient option of cashless transactions in 48 leading hospitals. As a result, ATL settles hospitalisation bills directly to the hospital ensuring the policyholder feels no hassle and stress.

**Suwasiri**

This is a unique health insurance policy with an extremely affordable fee of just Rs. 2,222.00 for an annual insurance coverage of Rs. 100,000.00. This has made the *Suwasiri* Health Insurance policy the most affordable policy available to Sri Lankans. *Suwasiri* is the perfect solution to the challenges faced by Sri Lankans due to the increasing costs of hospitalisation and medical treatment expenses. Whilst good health is a blessing, an illness can occur when we least expect it. ATL's *Suwasiri* Health Insurance policy is the solution that will help ease one's financial burden at times of crisis.

**Crystalline**

Women are the primary caregivers in today's society. However, a number of health issues pose specific risks to them. ATL's Crystalline Policy is especially tailored for ladies, providing coverage for the treatment of ailments common to ladies. From critical illnesses to the complications of aging, the policy insures against the most pressing threats to women's health, providing peace of mind to them.

MICRO

**Navodhaya**

Insurance is believed to be a requirement which can only be afforded by the affluent in our society. Therefore, “Navodhaya” the Micro Takaful (Insurance) product was launched to spread inclusiveness and mutual assistance. It is an annually renewable Death and Living benefit cover for groups of individuals. ATL recently introduced two tailor-made personal accident and death benefit schemes to support dairy farmers and fisherfolk of Sri Lanka.

**Kiri Govi Sathkara**

“Kiri Govi Sathkara”, yet another revolutionary insurance scheme offered by Amāna Takaful PLC (ATL), it aims to up lift the livelihood of the local dairy farmer and is the latest addition to Amāna Takaful's innovative line-up of covers.

“Kiri Govi Sathkara” insurance scheme is designed with a list of benefits that seeks to provide relief to critical issues faced by our dairy farmers. The cover seeks to do so through a life insurance for the farmer while providing the necessary payments in the case of accidental or natural death of their precious cattle.

**Tuktukfull**

This value proposition for three wheel owners and its drivers is the most attractive in the market and takes into account all the challenges faced by the drivers on a daily basis, to ensure their livelihoods are sustained. The policy includes a host of eventualities, to ensure that at any point in time, the policyholder is shielded from loss. “Tuk Tuk Full” covers natural perils, riot and strike, third party property damage and hiring cover. In addition to this, “Tuk Tuk Full” extends a comprehensive insurance cover against personal emergencies such as disability or hospitalisation.

**SRC**

“Smart Rider Cover” – a compelling insurance scheme for motor bikes that covers its riders across a spectrum of worst-case scenarios to ensure that they do not have to suffer monetary loss due to any reason. The customised process flow ensures “Smart Rider Cover” customers can drive-off after a swift transaction, secure in the knowledge that their motor bikes, their families, and they are covered against any eventualities.

Corporate Social Responsibility

ATPLC Medical Students Scholarship Programme

ATPLC provided a stipend to five deserving medical university entrants in 2017. Their achievement of obtaining medical university entrance is further magnified given they are from socioeconomically deprived backgrounds, residing in the rural most regions of Sri Lanka. The stipend would subsidise their living and educational expenses over the five-year duration of the university course. Enabling social upliftment to those in disadvantaged circumstances is an endeavour the Company strives to champion, as it leads into the Takaful concepts of fairness, caring and mutuality. Given the significant positive impact of this programme it would continue in the coming years as well.

Dengue Prevention

Amāna Takaful together with the Municipal Council of Matara and the Sri Lanka Police carried out a Dengue awareness and town cleaning campaign in Matara. Alongside this, local residencies were visited, imparting practical knowledge and tips on how to effectively mitigate mosquito breeding within their compounds and households. This programme enlisted the participation from the local authority, the Police and the Company staff.



ATPLC Supports the Victims of the Floods Experienced in 2017

The flash floods in July, affected the country more so in the Southern regions, causing damage and harm to homesteads and the economy. Apart from the settlement of claims which were promptly executed, relief in the form of dry rations, essentials and clothing were distributed with the help of community groups in the affected areas.



ATPLC Brings Back an Age Old Practice of the "Pinthaliya"

A culturally significant gesture of Sri Lankan history, recollected with much pride is the "Pinthaliya" kept in the villages for passers-by to satisfy their thirst. This bespeaks of the generosity and care Sri Lankans extended towards society.

ATPLC, at the request of the Principal of Meepavala Amarasuriya National School, positioned two "Pinthaliyas", one at the Meepavala Amarasuriya National School and another one at the City Centre. Which was followed by the presentation of "Pinthaliya's" to many other localities including Hambantota, Jayawardanepura, Kotte, Batāatha, Kaikawala and Matale. The concept of societal concern and caring was symbolised in this activity, values that Amāna espouses.



ATPLC Grooms the Next Generation

Amāna Takaful PLC, continued its flagship programmes of Leadership and Personality Development, for the students of Walahanduwa President's Girl's School, Galle.

We recognise that the younger generation holds the key to the nation's future, their talents and accomplishments are instrumental in laying a firm and a sustainable foundation for the country. Training was focused on personality development, team building, communication, decision-making, mental and physical robustness.



Human Resource

Our People

In today's fast paced competitive business landscape, particularly in that of Insurance, companies undercut on price, match or even surpass product offerings, but a key factor that gives an organisation the edge over others, is its People. Never before has the need for competent and committed people been felt so strongly.

At ATPLC, we value our people and recognise that they are the engine that drives the Company towards true growth and success. We consistently aim to provide our People with the requisite tools and skills, to be successful both within the Organisation and society at large. Our work environment at Head Office and the branch network is reflective of an open, inclusive and stimulating ambience for our employees to perform. It's an environment that advocates and embraces diversity, fresh thinking and shared values. A mutually inclusive culture, one of tolerance – be it age, gender, ethnicity, nationality, and religion and or thinking styles is what we strive to promote and nurture.

Today the Group has 296 full-time employees based at the centre and island-wide branch network. Our openness to gender, ethnic diversity and fostering a workplace in which employees strive to delight our stakeholders, has resulted in ATPLC being a sought-after employer.

For two consecutive years (2016-2017) ATPLC was adjudged one of Sri Lanka's "Best Employer Brands" at the South Asian Partnership Summit and Business Awards".

HR Strategy – "Creating an Enabling Winning Culture"

2017 witnessed the completion of the Company's three-year Strategic Plan (2015-2017), one in which as a team, our people made satisfactory progress in all aspects of the business.

In developing a sustainable business, we have ensured that the Human Resources Strategy is aligned with the organisation's corporate strategy. Thus, it becomes critically important to attract, retain and nurture the right skills for the Company.



Human Resource

Values and Communication

C

Customer Centred:

Interaction with Customers

O

Open Mindedness:

Changing the Status Quo, seeking new ideas

R

Rise for Quality:

A culture of continuous improvement

D

Diversity:

Our soul and spirit

The tone of an organisation's culture is set by its core values and how effectively it is embedded within the system.

ATPLC's Corporate Values is coined as **CORD**, reflecting an uninterrupted, seamless connection and is what ATPLC stands for in terms of authenticity, relevance and customer centricity. It is considered the **moral glue** that keeps us bound together and the principles that we adhere to and never compromise on.

Our Corporate Mission Meeting (**CMM**), held twice a month is designed to reinforce the core values in our staff.

Customer Centred – We listen to our customers and go the extra mile to serve them.

Open Mindedness – We foster a culture where ideas and opinions are shared freely.

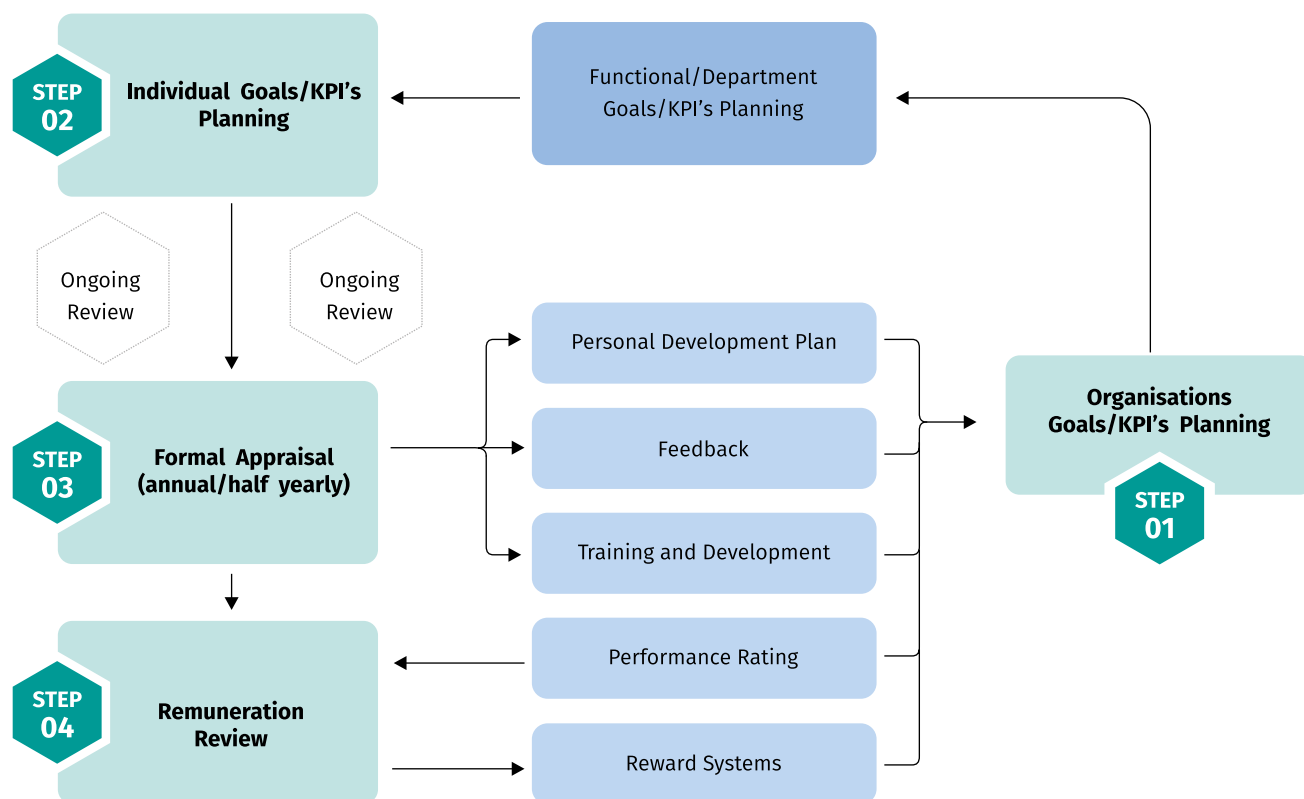
Rise for Quality – We are driven to give all stakeholders a quality service.

Diversity – We are open to all.

In promoting a culture that is mutually inclusive, the **Internal Communications Unit (ICU)** continues to be a robust interface in communicating relevant information to staff such as important events, monthly team briefs at the regions, thus sharing Company performance and staff achievements in a timely manner. The ICU serves as an interactive tool with increased levels of participation by employees. Additionally, as part of our open culture, employees can raise their concerns to any Superior or CEO.

Performance management

The launch of the revamped PARFORM (Performance Appraisal Review Form) has seen the effective implementation of Cascading Goals with clear KPI deliverables and line of sight, taking good shape within the Organisation. The Company will seek to align its remuneration and benefits scales in line with that of market anchors, in being competitive and to attract and retain quality talent.



Multiskilling

In further enhancing staff productivity, flexibility and satisfaction, multiskilling is promoted and encouraged amongst staff. Examples of this include, functions of Strategic Planning and Corporate Risk being reallocated under Finance and Compliance – in addition to the treasury role, the Board Secretary function absorbed under HR, Medical Department being integrated with General Underwriting, General Sales and Relationship Management Unit in driving efficiencies. The creation of the Universal Front Office too now serves as a one-stop-shop catering to all customer requirements. The promotion of multiskilling has undoubtedly been a key factor in the steady reduction of our Full-time equivalents count over the years.

Engagement and work-life integration

It is recognised that the boundaries between an individual's professional and personal life has become blurry. We endeavour to promote a culture that fosters work-life integration, focusing on incorporating the different areas of one's life to create a whole picture. In doing that we believe we can truly create a Results Oriented Workplace (ROW).

Human Resource

Takaful Master Minds (TMM)

TMM is essentially an engaging quiz competition crafted with the aim of promoting a LEARNING CULTURE within the Organisation. The programme continues to be a General Knowledge and IQ-based Quiz competition held annually, creating an atmosphere for healthy competition. Branches and Head Office staff participate enthusiastically, with the IT Department emerging as champions in 2017.



promotes the artistic talents of employee's kids, tapping into their creativity. This truly brought about a sense of belonging and strengthened the binding with the Organisation. The competition was conducted under three groups covering all branches and HO staff. Competitions were held at Excel World, Colombo, Kandy City Centre and Batticaloa. Winners at the Art competition were feted at our Annual Awards Day.



Kidz Colour Splash 2017

For the second consecutive year, the kiddies' art competition – "Colour Splash" was organised for the children of our employees. This annual competition

ATPLC Achievers

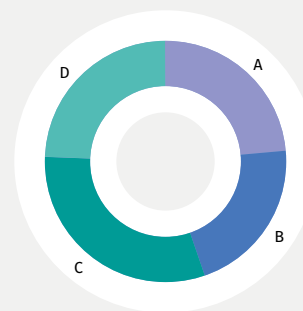
Achievers essentially recognises the special accomplishments of staff and their children in academic spheres, sports and other outstanding activities. Staff are encouraged to pursue professional and academic qualifications and actively participate in sporting and extracurricular activities. This programme serves as a platform in recognising our talent and further encouraging them to reach greater heights.

Human Resource

Employee Analysis

Staff Distribution by Province	2017 No.	%	2016 No.	%
Central	22	10	27	11
Eastern	16	7	20	8
North Central	1	0.4	1	0.4
North Western	22	10	25	10
Northern	2	1	3	1
Southern	11	5	12	5
Sabaragamuwa	1	0.45	1	0.41
Western	149	67	154	63
Total	224	100	243	100

Service Analysis of Staff – 2017



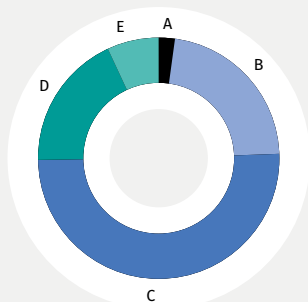
	%
A – 2 years and below	53
B – 3 to 5 years	47
C – 6 to 10 years	69
D – Above 10 years	55

Service Analysis of Staff – 2017

	Senior Management	Middle Management	Executives	Non-Executives	2017 Total
2 years and below	3	17	32	1	53
3-5 years	1	12	31	3	47
6-10 years	2	23	44	0	69
Above 10 years	5	25	18	7	55
Grand Total	11	77	125	11	224

Human Resource

Age Analysis of Staff – 2017



	%
A – Age 18-25 years	2
B – Age 25-30 years	22
C – Age 30-40 years	51
D – Age 40-50 years	18
E – Age >= 50 years	7

Rewards and recognition

ATPLC recognises the significance of its people knowing, that they are valued and appreciated in the Organisation. With appropriate reward and recognition, we strive to bring out the best in our employees.

Annual Awards Day – 2017

The Annual Awards Day is a much-awaited Company-wide event to celebrate the achievements and teamwork of our talented employees.

Key Awards given to staff, include:

- CEO's Award – Recognising and appreciating the contribution of operations staff who go beyond the normal call of duty.
- Ten Years' Service Award – Staff completing 10 years of service in the Company are recognised for their dedicated service to Takaful.
- Champion of Champions – Recognises the overall best performing Sales person.

Bonus

A performance-based bonus scheme is in place to recognise the contribution of all staff towards achieving corporate objectives. The scheme takes into account the overall Company performance and individual contribution to business results.

	2017	2016
Staff strength		
Senior Management	11	12
Middle Management	77	78
Executives	125	131
Non-Executives	11	22
Grand Total	224	243
Labour turnover		
No. of Staff Resigned/ terminated	47	40
Average Number of staff during the period	229	254
Labour Turnover %	20.52	15.75

Human Resource

Women's day

ATL celebrated International Women's Day (IWD) on the 8th of March in a unique fashion, touching the lives of women in "Mallika Home for Elderly Women". Around 100 elderly women are looked after and sheltered there in a serene and caring atmosphere. IWD is viewed as a time for reflecting on the past struggles, accomplishments and more importantly the untapped potential and opportunities in Diversity – a key value in the Company.



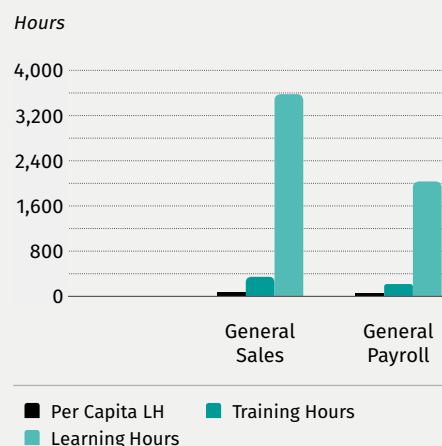
Training and career development are important aspects of a sustainable and progressive Organisation. Through effective training and development, our staff are equipped and empowered to serve our customers at a high level, whilst they progress in their careers. ATPLC believes in promoting a culture that assists employees in pursuing professional education in insurance and other job-related courses.

120 in-house programmes and 30 external sessions, including five overseas programmes were carried out in 2017. Unique training programmes were crafted and sourced externally based on the findings of the Training Needs Analysis, stemming from the annual Performance Appraisal Review process. It is designed to build the capabilities of employees, across all categories.

Professional trainers with a proven track record were engaged to upskill, coach and enhance the knowledge of our Sales-force on Selling and Best Practices. This included those from industry and outside. An Internal Training Faculty was constituted to facilitate and impart technical knowledge and skills.

Given below is the training summary for 2017:

Family Takaful



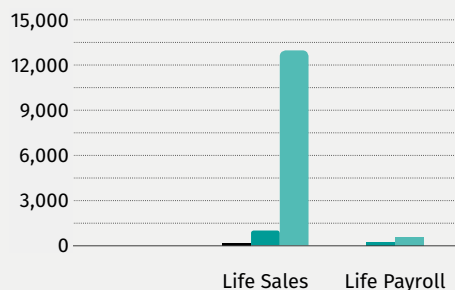
Learning and Development

ATPLC continued to invest significantly in developing talent during the year. Nurturing and building a high performing team through structured learning and development pays dividends to the Company by way of increased employee productivity and ability to add value. In 2017, emphasis was given to developing Leadership, Soft Skills and Technical Competence thereby facilitating the successful delivery of strategic priorities and business goals.

Human Resource

General Takaful

Hours



■ Per Capita LH ■ Training Hours
■ Learning Hours

Training Summary – 2017

Key Areas Focused	Distribution %	Attendance %
Leadership Development	5	90
Soft Skills Development	35	94
Technical Competency	60	88

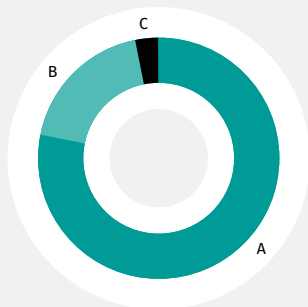
Programmes Conducted in – 2017

General Takaful – 2017

No. Programme

1. Non-Motor Champion
2. Power Stroke
3. Professional Selling Skills
4. Relationship Selling
5. Self-Motivation
6. Underwriting Practices
7. Negotiation Skills
8. Leadership Skills
9. OBT-Winning Team
10. Customer Care Skills

Programmes for Learning and Development



	%
A – In-house	78
B – External	19
C – Overseas	3

Overseas Training

ATPLC continued to provide overseas training to staff members as an essential element of the L & D Process. In 2017, over 10 employees attended overseas training programmes. This also served as a platform for learning best practice and networking.

Business English

This programme was conducted for employees to enhance their English speaking, writing, and presentation skills. 20 classroom sessions were conducted over a period of six months, using professional trainers. Participants were evaluated and structured feedback was provided for further improvements.

Human Resource

Executive Development Programme

This programme is designed to provide executives with the knowledge and tools to enhance their managerial skills. The training prepares them to face corporate challenges and also encourages them to adopt to and embrace change.

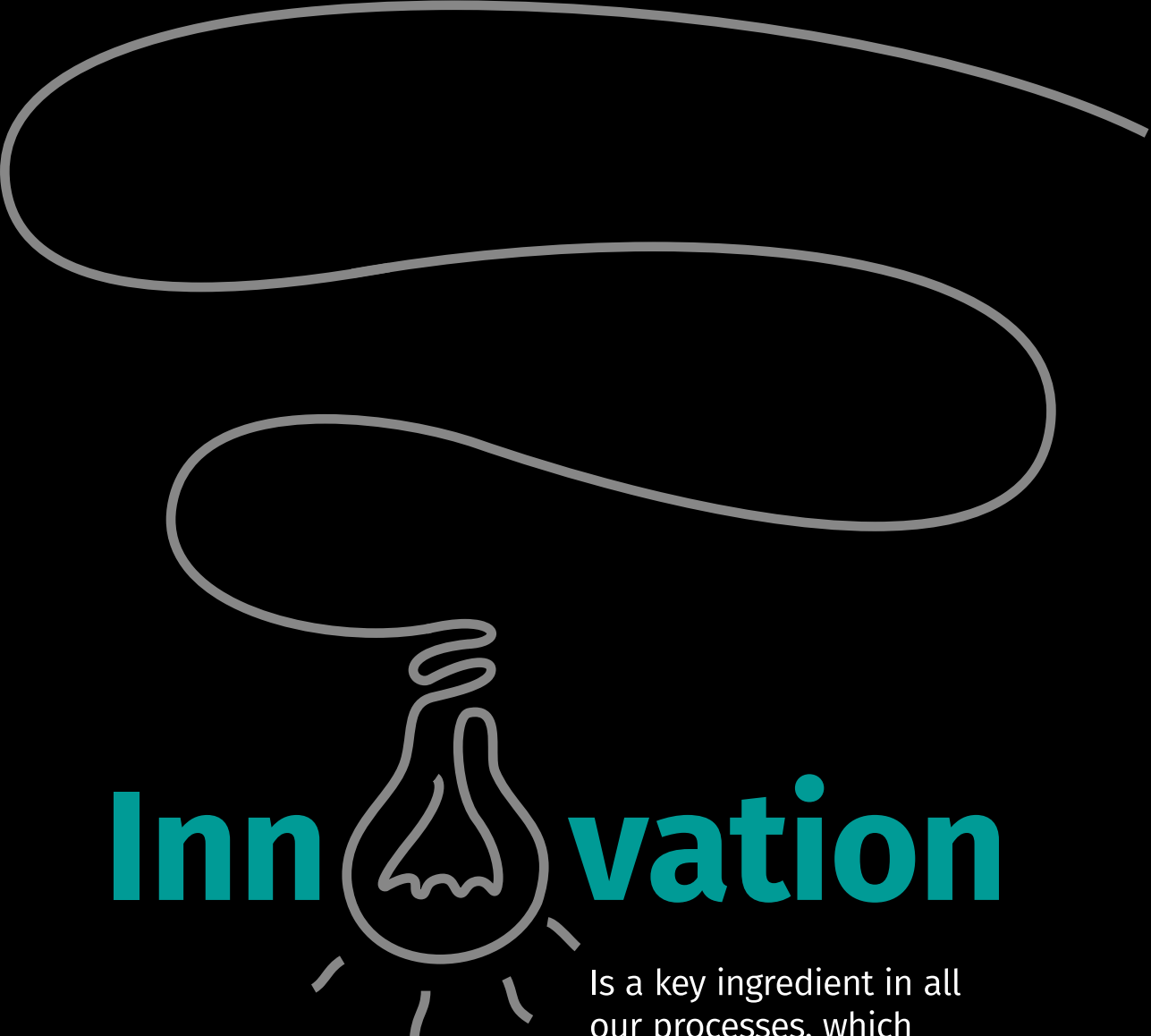
Outbound Training

Outbound training was conducted to enhance organisational performance through experiential learning. It consisted of different kinds of activities that catered to the improvement and building of personality, leadership and shared values.

**Technical and Sales Training:**

In addition to soft skills training, ATPLC conducted multiple initiatives to enhance the technical and sales skills of our sales staff. During the year, all the Branch Managers and Regional Managers were provided comprehensive training on Leadership and Customer Care Skills. Relevant training manuals were introduced to support the sales team with planning and implementation, such as Professional Selling Skills, Time Management Skills, Negotiation Skills, and Recruitment and Selection Skills, etc.





Inn vation

Is a key ingredient in all our processes, which enables our processes to be “ahead of the curve”, keeping our portfolio relevant always.

Stewardship

- 38** Corporate Governance
- 46** Enterprise Risk Management
- 55** Annual Report of the Board of Directors on the Affairs of the Company
- 59** Report of the Board Audit and Compliance Committee
- 61** Report of the Board Remuneration Committee
- 62** Report of the Related Party Transactions Review Committee
- 63** Report of the Shari'ah Advisory Council

Corporate Governance

Corporate governance that nurtures a culture of transparency, accountability and integrity plays an integral part in ensuring our growth and stability. It is through the adoption of the highest of such standards that we continue to enjoy the trust and confidence of all our stakeholders.

The present business environment has become more challenging. Therefore, Amāna Takaful PLC and the Group strongly believe that it is vital for the Company and the Group to adopt the highest standards of corporate governance. This would nurture a culture of transparency, accountability and integrity which are essential prerequisites in ensuring the Company's survival and growth in a competitive market.

Corporate governance is described as a management process in which a corporate, business entity or company is directed, managed and controlled. It is a concept which is now increasingly gaining prominence in the business world. In any company, where the shareholders have placed the reigns of power in the hands of the Directors, it naturally follows that the Directors are accountable to the shareholders. To ensure that the trust placed in the Directors is secure, a company must adhere to the best corporate governance practices which embody integrity, accountability and transparency. Nevertheless, the success of any good governance practice initiative depends on how the people are led and the policies as well as how the processes are implemented.

In order to create shareholders' wealth and gain market confidence, Amāna Takaful PLC is committed to adopting best practices. It is also committed to maintain, the smooth functioning of the Company's operations.

Capital Structure and Shareholding

Amāna Takaful PLC has at its foundation a capital structure consisting of an issued share capital of Rs. 1,860,001,339/-. The Company has 6,444 shareholders, while the majority shares are held by institutions. Details of the main shareholders are given on page 154.

Board of Directors and Board Committees

There are 10 Directors on the Board of Amāna Takaful PLC, who hold office in non-executive capacities. The Board of Directors has been drawn from a cross-section of industries. Their expertise and experience in various fields as well as insights, have contributed immensely to making effective and informed Board decisions. The selection of the appropriate and suitable candidates with the right skills and attributes is crucial in order to ensure its efficiency and effectiveness. For it is believed that a healthy Board culture will help to encourage and safeguard good governance practices, which in turn will ensure shareholders' interests are always protected. The names of the Board of Directors are given on pages 57.

Corporate Governance Framework

Amāna Takaful PLC and the Group operate within a clear governance framework, which is outlined in the diagram below and set out in this Report:

Amāna Takaful PLC

Chairman:
Tyeab Akbarally

Principal Objective:
Leading the Board to ensure effectiveness in all aspects of its role.



Board of Amāna Takaful PLC

Ten Directors: a Non-Executive Chairman and Nine Non-Executive Directors.

Principal Objective: Collectively to ensure the long-term success of the Company.



Audit and Compliance Committee

Three Independent Non-Executive Directors and one Non-Executive Director

Principal objective:

To ensure that the interests of shareholders are properly protected in relation to financial reporting and internal controls.

The Board Audit and Compliance Committee Report pages 59 and 60.



Enterprise Risk Management Committee

Three Independent Non-Executive Directors and one Non-Executive Director

Principal objective:

Review and realign the risk appetite of the Company at strategic and various functional levels.

Enterprise Risk Management Committee Report pages 46 to 54.



Investment Committee

Three Non-Executive Directors and two Independent Non-Executive Directors

Principal objective:

To ensure that a healthy investment portfolio is maintained within the investment guidelines of the IRCSL and Shari'ah.



Remuneration Committee

Three Independent Non-Executive Directors and one Non-Executive Director

Principal objective:

To develop policy on executive remuneration. It also recommends packages for the Executive Director and senior managers immediately below Board level.

Remuneration Committee Report page 61.



Executive Committee

Six Directors, the CEO and GMC. The Chairman presides at these monthly meetings

Principal objective:

To monitor the implementation to the business strategies of the Company and the Group.



Related Party Transactions Review Committee

Three Independent Non-Executive Directors

Principal objective:

To ensure that the interests of the shareholders are taken into consideration when entering into related party transactions and to ensure that these transactions are not more favourable to related parties than those generally available to the general public. Related Party Transaction Review Committee Report page 62.

Corporate Governance

Board Size and Composition

The Board currently comprises 10 Directors. The size and composition of the Board and its committees are regularly reviewed by the Board and in particular, by the Nominations Committee to ensure that there is an appropriate balance and diverse mix of skills, experience, independence and knowledge of the Group. More details of our Board members can be found on pages 10 to 13.

The Board is collectively responsible for the long-term success of the Group. The Executive Committee is responsible for running the business operations and ensuring that the necessary financial and human resources are in place in order to achieve the Company's strategic aims.

The Non-Executive Directors are responsible for constructively challenging and helping develop proposals on strategy; scrutinising the performance of management; satisfying themselves that financial controls and systems of risk management are robust; determining levels of

remuneration; satisfying themselves on the integrity of financial information and succession planning for the Executive Directors.

The Board reviews strategic issues on a regular basis and exercises control over the performance of the Company by agreeing budgetary targets and monitoring performance against those targets. Certain matters are reserved for approval by the Board and the Board has overall responsibility for the Group's system of internal controls and risk management, as described on pages 46 to 54. Following presentation by the Executive Management and a disciplined process of review and challenge by the Board, clear decisions on policy and strategy are adopted and the Executive Management is empowered to implement those decisions.

A formal schedule of matters reserved for Board approval is maintained, which covers items that are significant to the Group as a whole, due to their strategic, financial or reputational implications.

A summary of these matters includes:

Board Decisions



Strategic

- Approval and monitoring strategic and annual business plans
- Review of business performance
- Approving significant acquisitions, mergers or disposals



Succession Planning and Reward

- Ensuring adequate succession plans are in place
- Board and Board Committee appointments and removals
- Appointment or removal of the Company Secretary
- Appointment or removal of the Auditors and determination of the audit fee
- Major changes in the employee share or pension schemes



Reporting

- Approval of the Annual Reports and Accounts to be put before the Company
- Approval of Financial Statements
- Matters for business reviews



Finance, Governance and Controls

- Internal controls and risk management systems
- Approval of policies, major projects and contracts
- Oversight of Directors' conflicts of interest
- Rules and procedures for dealing in the Company's shares
- Corporate governance and compliance with the SEC's Code of Conduct



Regulatory

- Approval of the Group's interim dividend and recommendation of final dividend
- Compliance with the SEC Listing Rules, Disclosure and Transparency Rules and the Company's Law on Takeovers and Mergers

Corporate Governance

The main functions of the Board of Directors are as follows:

- Formulate, review and monitor implementation of competitive business strategies, including long-term business plans.
- Ensure the appointment of a competent Chief Executive Officer, and an effective management team, including an evaluation of their performance, as well as review the Company's and the Group's succession plans.
- Secure a sound and an adequate risk management system.
- Review the integrity and effective information, control and audit systems.
- Adopt business practices that conform to "Shari'ah" principles.
- Approve policies of corporate conduct that continue to promote, maintain and sustain the integrity of the Company and the Group.
- Ensure compliance with legal/ethical standards.

Board's Role and Responsibilities

Chairman

The role of the Chairman (or Chair) is to:

- Lead the Board to ensure effectiveness in all aspects of its role;
- Plan agenda items and timings for Board meetings;
- Ensure the membership of the Board is appropriate to meet the needs of the business;
- Oversee that the Board Committees carry out their duties including reporting to the Board;
- Establish appropriate personal objectives for the Chief Executive;
- Ensure Directors are up to date with training and development;
- Provide the information necessary for Directors to take a full and constructive part in Board discussions;
- Promote an open culture of debate; and develop and maintain effective communications with shareholders.

Chief Executive

The role of the Chief Executive Officer (or Chief Executive or CEO) is to:

- Run the day-to-day business and operations of the Company; Lead the development and delivery of strategy to enable the Group to meet the requirements of its shareholders;
- Lead and oversee the executive management of the Company; meet the Group's budget and strategic plans; and
- Provide the appropriate environment to recruit, engage, retain and develop the personnel needed to deliver the strategy.

Board Secretary

Under the direction of the Chairman, the role of the Board Secretary and his team is to:

- Ensure good information flows within the Board and its Committees and between Senior Management and Non-Executive Directors;
- Facilitate Director inductions and professional development;
- As requested, arrange independent professional advice for Directors at the Company's expense; and
- Advise the Board through the Chairman on governance matters.

The responsibilities of the Chief Executive Officer and the Chairman have been clearly established, adhering to best corporate governance practices. The responsibility and task of the Chairman and the Chief Executive Officer are separated in order to facilitate better workings of the Company and the Group.

New Directors are nominated to bridge identified knowledge gaps. Such Directors are elected to the Board by shareholders at the Annual General Meeting. In accordance with the Articles of Association, three Directors retire annually and being eligible, offer themselves for re-election. The Board meets quarterly and the agenda is circulated to the Board members well ahead of the scheduled date. The Chairman of the Board as well as members chairing the various committees of the Board will outline the agendas for the Board and committee meetings respectively. Each Director or member is free to suggest items for the agenda or raise issues and concerns at these meetings.

Amāna Takaful PLC has outsourced its secretarial functions to a qualified company of secretaries.

Corporate Governance

The following Committees of the Board have been formed with the objective of improving governance; viz-

- i. Audit and Compliance Committee
- ii. Risk Management Committee
- iii. Investment Committee
- iv. Remuneration Committee
- v. Related Party Transactions Review Committee
- vi. Executive Committee

Each committee has a defined Terms of Reference approved by the Board, outlining the respective Committees' authorities and responsibilities. The Board may, from time to time, establish and maintain additional committees. All members of these Committees are expected to attend all meetings.

i. The Audit and Compliance Committee

The Audit and Compliance Committee comprises three Independent Non-Executive Directors and one Non-Executive Director of the Board. This Committee is chaired by Dato' Mohd Fadzli Yusof who is an Independent Non-Executive Director of the Company. The Chief Executive Officer, General Managers, relevant Senior Managers and Internal Auditors are invited to be present at the meetings. Exit meetings are held after each internal audit assignment with all concerned, where rectification actions are taken for any weaknesses described in the audit findings. The details of the Audit and Compliance Committee are provided in the Report of the Board Audit and Compliance Committee on pages 59 and 60.

ii. The Risk Management Committee

The Risk Management Committee of the Board comprises four Non-Executive Directors, of which, three are Independent Directors. This Committee is chaired by Dato' Mohd Fadzli Yusof, who is an Independent Non-Executive Director of the Company. The main function of this Committee is to review and realign the risk appetite of the Company at strategic and various functional levels. Further, the Committee also reviews the different risks that the Company is exposed to and recommends mitigation strategies for such risks.

A detail Report on the Risk Management Committee functions and its activities during the year 2017 are provided on pages 46 to 54.

iii. The Investment Committee

The Investment Committee comprises Tyeab Akbarally, M.H.M. Rafiq, Dr. A.A.M. Haroon, M.R.M. Nayeem and M.H.S. Kassim. The Committee ensures that a healthy investment portfolio is maintained within the Investment Guidelines of the Insurance Regulatory Commission of Sri Lanka and Shari'ah Advisory Council, whilst optimising yield to meet investment income targets of the Company. The Committee convenes its meetings on a monthly basis.

iv. The Remuneration Committee

The Remuneration Committee comprise four Non-Executive Directors of the Board, of which, two are Independent Directors. Details of remuneration paid to Directors are set out in Note 37 to the Financial Statements on page 130.

The Report of the Remuneration Committee is provided on page 61.

v. The Related Party Transactions Review Committee

The Related Party Transactions Review Committee of the Board comprises three Independent Non-Executive Directors. This Committee is chaired by A.S.M. Muzzammil, who is an Independent Non-Executive Director of the Company. The Chief Executive Officer and relevant Senior Managers are invited to be present at the meetings. The details of the Related Party Transactions Review Committee are provided in the Report of the Related Party Transactions Review Committee on page 62.

vi. The Executive Committee

The Executive Committee or EXCOM is composed of six members of the Board and is chaired by the Chairman of the Company. Meetings are held once a month and the Committee is entrusted with the responsibility of monitoring the implementation of the business strategies of the Company and the Group. The members of the Committee are as follows:

- i. Tyeab Akbarally – Chairman
- ii. Osman Kassim
- iii. M.H.M. Rafiq
- iv. Dr. Ifthikarudeen Ahamed Ismail
- v. M.R.M. Nayeem
- vi. M.H.S. Kassim

Corporate Governance

Ethical Standards

Amāna Takaful PLC aspires to adopt the highest ethical standards and adheres to the Code of Ethics for insurance companies in Sri Lanka, which contain the following elements:

- Honesty and fairness;
- Compliance with regulatory requirements;
- Accountability – provision of accuracy, timely and essential information to stakeholders;
- Avoiding conflict of interest;
- Professional judgement;
- Maintaining privacy and confidentiality of customer-related information;
- Corporate and Social Responsibility; and maintaining best practices in marketing and advertising.

The management encourages employees to adopt ethical practices during the weekly mission meetings.

Executive Management

The Chief Executive Officer deliberates strategic issues with the General Management Committee (GMC), which includes the CEO of the Family Takaful business, General Manager – Operations, Head of Finance, Head of Human Resource and the Head of Information Technology and the Head of Compliance and Corporate Risk. Each of them, who head Strategic Business Units, drive their business functions aligned to the strategic plan, building capacity and capability. Corporate Governance and Compliance is a key function of the GMC. The Company's performance dashboard is a key evaluation and measurement tool in this process.

The Business Operations Management (BOM) takes responsibility for operationalising the plan on a day-to-day basis and implementing the decisions of the GMC. These include a track on competitor activity, steering projects and building cross-functional bonds across different departments and taking ownership for the technical aspects. It is also a forum to build leadership and talent in support of the succession plan.

Internal Controls

The Board of Directors acknowledges the imperative of a sound and strong internal control environment for the purpose of attaining good governance. The internal control system, among others, covers risk management and organisational, operational, financial, compliance and business development controls. Towards this end, the Board has entrusted the responsibility of establishing an effective internal control system to the Audit and Compliance

Committee, which is also responsible for the regular monitoring of such controls. In addition, an in-house audit team conducts internal audit on the systems and various aspects of the operations, in accordance with the risk-based principle. The findings are conveyed to the Audit and Compliance Committee, which, in turn, briefs the Board on areas of concern.

Compliance with “Shari’ah” Requirements

Amāna Takaful PLC takes the utmost care in adhering to “Shari’ah” principles. A Shari’ah Unit has been set-up internally to carry out quarterly reviews on the policies and operations of the Company. The Unit also conducts regular training programmes to members of staff in order to disseminate the knowledge of Shari’ah, in particular the operation of Takaful and Islamic finance in general. The Statement of Compliance is a part of the Annual Report and is provided on page 63.

Regulatory Compliance

The Audit and Compliance Committee is responsible for regulatory compliance. In addition, a Compliance Unit has been set-up to monitor and investigate into all compliance-related matters across the Organisation. It keeps a close track of all new legislations, regulations etc., beside notifying and guiding the respective departments accordingly.

Relationship with Stakeholders

The Board of Directors, discloses policy decisions and operations affecting shareholders through its Quarterly Financial Reports and Annual Reports.

The Board entertains questions from shareholders at the Annual General Meetings, ensuring shareholder participation and interaction.

The Management holds weekly mission meetings, at which, employees are briefed of the policies, goals and values of Amāna Takaful PLC and their views and suggestions are sought and evaluated.

Amāna Takaful PLC believes in serving its customers beyond their expectations. An interactive website provides access to the general public on the Company's activities.

Solvency Requirements

The Solvency Margin (Risk-Based Capital) pertaining to Long-Term Insurance (Family Takaful) Business of Amāna Takaful Life PLC and General Insurance Business of Amāna Takaful PLC, has been maintained as per the Solvency Margin (Risk-Based Capital) Rules 2015.

Corporate Governance

Corporate Governance Disclosures Under Colombo Stock Exchange (CSE) Rules in Relation to Directors of the Company

Areas of Compliance	Current Status	Remarks
Board of Directors	Non-Executive Directors	All members of the Board serve in the capacity of Non-Executive Directors. The Company has complied with the CSE Listing Rules 7. 10. 1.
	1. Tyeab Akbarally – Chairman 2. Osman Kassim 3. M.H.M. Rafiq 4. Dato' Mohd Fadzli Yusof 5. Dr. A.A.M. Haroon 6. Ehsan Zaheed (Resigned w.e.f. 17th April 2017) 7. A.S.M. Muzzammil 8. Dr. Ifthikarudeen Ahamed Ismail 9. R. Gopinath 10. M.R.M. Nayeem 11. M.H. Sattar Kassim	All Non-Executive Directors have submitted the annual declaration of their independence or non-independence to the Board of Directors.
	Independent Directors	The Board reviewed the declarations and determined the Independent Directors as given below. The Board comprises six Independent Directors out of ten Non-Executive Directors, by the end of 2017. Dato' Mohd Fadzli Yusof and M.H.M. Rafiq do not technically qualify as independent by not meeting Rule 7. 10. 4 (e) of the CSE Listing Rules. However, the Board, after much discussions, were of the view that they are nevertheless independent. Set out below are the criteria to consider them as Independent Directors: a. They do not provide any services to the Company in a capacity other than Director. b. They have not received financial assistance from the Company. c. They do not have any apparent conflict of interest in the Company, which would impair their independent judgement as Directors. The Board was also of the view that, taking into account the contribution made by these Directors to the affairs of the Company, their integrity and stature were not in question. The Company has complied with the CSE Listing Rules 7. 10. 2

Corporate Governance

Areas of Compliance	Current Status	Remarks
Remuneration Committee	1. Dato' Mohd Fadzli Yusof – Chairman	This Committee comprises four Non-Executive Directors, of whom, three are Independent.
	2. M.H.M. Rafiq	
	3. Dr. A.A.M. Haroon	The Company has complied with the CSE Listing Rules 7. 10. 5
	4. A.S.M. Muzzammil	
Audit and Compliance Committee	1. Dato' Mohd Fadzli Yusof – Chairman	This Committee comprises four Non-Executive Directors, of whom, three are Independent.
	2. M.H.M. Rafiq	
	3. A.S.M. Muzzammil	The Company has complied with the CSE Listing Rules 7. 10. 6
	4. M.H.S. Kassim	
Related Party Transactions Review Committee	1. A.S.M. Muzzammil – Chairman	This Committee comprises three Independent Non-Executive Directors.
	2. M.H.M. Rafiq	
	3. M.R.M. Nayeem	The Company has complied with the CSE Listing Rules 9. 2. 2

Directors' Attendance at the Meetings

Name of the Director	Board Meetings		Audit Committee Meetings		Remuneration Committee Meetings		Related Party Transactions Review Committee Meetings	
	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended
1. Tyeab Akbarally – Chairman	4	2						
2. Osman Kassim	4	3						
3. M.H.M. Rafiq	4	4	4	4	2	2	4	4
4. Dato' Mohd Fadzli Yusof	4	4	4	4	2	2		
5. Dr. Aboobacker Admani Mohamed Haroon	4	3			2	0		
6. Muhammad Ehsan Zaheed (Resigned w.e.f. 17th April 2017)	1	0					1	1
7. Aboo Sally Mohamed Muzzammil	4	3	4	3	2	1	2	2
8. Dr. Ifthikarudeen Ahamed Ismail	4	4					2	2
9. Radhakrishnan Gopinath	4	3						
10. M.R.M. Nayeem	4	3					2	2
11. M.H. Sattar Kassim	4	4	3	2				

Enterprise Risk Management

As the pioneer Takaful Company, risk management is at the heart of what we do and is the source of value creation as well as a vital form of control. It is an integral part of maintaining financial stability for our customers, shareholders and other stakeholders. Our sustainability and financial strength are underpinned by effective risk management, which allows us to prepare for future challenges, move speedily and facilitate better decisions for our customers, giving them peace of mind.

The Company's Risk Management Strategy is to operate within the risk appetite guidelines set by the Board Risk Committee and approved by the Board of Directors, which are then reviewed on a quarterly basis, with an eye on the changing corporate risk environment. Given the increased level of assertiveness required in the Risk-Based Capital regime and the connected risk involvements, the Company revisited the current Risk Management Model and widened its scope to an Enterprise Risk Management (ERM) Framework. The Risk Management Unit carries out the risk management process with involvement of departments, managers and executives on the ERM Framework.

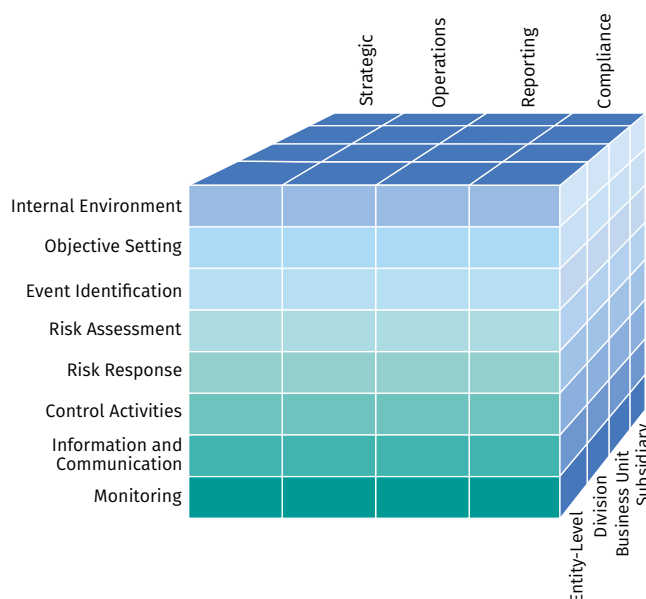
Though the risk elements are managed on a daily basis at operational levels, the Risk Management Committee (RISCO) formally monitors the Key Risk Indicators through Enterprise Risk Registers for both Life and General segments separately since 2014. This section elaborates the Company's Enterprise Risk Management Framework and the Key Risk Management activities carried out during 2017.

What is Enterprise Risk Management?

ERM is yet an emerging topic in this part of the world thus needs repeated explanations and elaborations for our society both internally and externally. ERM has formally been defined as "the identification and assessment of the collective risks that affect firm value, and the implementation of a firm-wide strategy to manage those risks" (Meulbroek 2002). Collective risks refer to risk categories such as the one profiled in Committee of Sponsoring Organisations of the Treadway Commission (COSO) ERM cube, as well as the interaction of risks over time.

COSO and framework which was published in 2004 in the US defines ERM:

"...a process, effected by an entity's Board of Directors, management and other personnel, applied in strategy setting and across the enterprise, designed to identify potential events that may affect the entity, and manage risks to be within its risk appetite, to provide reasonable assurance regarding the achievement of entity objectives."



The underlying premise of enterprise risk management is that every entity exists to provide value for its stakeholders. All entities face uncertainty and the challenge for management is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Enterprise risk management enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

Enterprise Risk Management

Value is maximised when management sets strategy and objectives to strike an optimal balance between growth return goals and related risks, and efficiently and effectively deploys resources in pursuit of the entity's objectives. Enterprise risk management encompasses –

- Aligning risk appetite and strategy – Management considers the entity's risk appetite in evaluating strategic alternatives, setting related objectives, and developing mechanisms to manage related risks.
- Enhancing risk response decisions – Enterprise risk management provides the rigour to identify and select among alternative risk responses – risk avoidance, reduction, sharing, and acceptance.
- Reducing operational surprises and losses – Entities gain enhanced capability to identify potential events and establish responses.
- Reducing surprises and associated costs or losses.
- Identifying and managing multiple and cross-enterprise Risks – Every enterprise faces a myriad of risks affecting different parts of the Organisation, and enterprise risk management facilitates effective response to the interrelated impacts, and integrated responses to multiple risks.
- Seizing opportunities – By considering a full range of potential events, management is positioned to identify and proactively realise opportunities.
- Improving deployment of capital – Obtaining robust risk information allows management to effectively assess overall capital needs and enhance capital allocation.

These capabilities inherent in enterprise risk management help management achieve the entity's performance and profitability targets and prevent loss of resources.

Enterprise risk management helps ensure effective reporting and compliance with laws and regulations, and helps avoid damage to the entity's reputation and associated consequences. In summary, enterprise risk management helps an entity get to where it wants to go and avoid pitfalls and surprises along the way.

Definitions of Risk and Risk Management

Risk in general could be defined as “The combination of the probability of an event and its negative consequences”, in other words, the barriers in meeting the corporate objectives.

Risk management can be defined as “An efficient and effective process of minimising risks in meeting stakeholder requirements”. However, enterprise risk management is not strictly a serial process, where one component affects only the next. It is a multi directional, iterative process in which almost any component can and does influence another.

Risks Faced by Insurance Companies

It appears that many organisations are experiencing pressure and recognising that change in the organisation's overall approach to risk oversight is warranted, with the status quo no longer acceptable. Insurance companies whose business model is based on risk management require special attention with regard to its management. As an insurance company, we identified the following risk categories as illustrated in the diagram below:

The risk management professionals refer to this as the “Risk Wheel”. The different colours and shapes illustrate the magnitude and angles of risks that each of the risk types carries with it.

Enterprise Risk Management

1. Insurance Risk

Being an insurance company, risks related to the insurance business i.e., insurance risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

Risk	Control
Underwriting Risk – At the time of underwriting of a Risk (business/asset) it is our duty towards the customer to analyse and evaluate the risk that we are willing to undertake. Therefore the Company is bound to charge the right premium as all such premiums are pooled up with other participants. At the time of claims, it is shared by all the participants in the pool.	A robust underwriting regime is in place with well-experienced and qualified professionals in the team. A well-scrutinised set of SOPs are formulated and implemented.
Product Design – Designing the product offers and benefits with the right pricing is very critical to the insurance business.	The Company has appointed a Product Development Team with a set of hand-picked members from Sales, Underwriting, Operation, Marketing, Strategy and Finance. They meet periodically and review existing product features while researching for new product requirements.
Actuarial calculations and provisions carry Mortality and Claims risks for Life and Non-Life businesses.	A qualified and well-experienced professional firm has been contracted to carry out the actuarial functions for both the life and the general segments.

a. Claims Risk

Risk	Control
Potential loss of values is the primary risk that the insurance businesses undertake to manage in the business model.	At the time of planning for the years ahead, the management along with the underwriting and sales teams, decide the product mix targets taking the claims experiences pertaining to the specific classes. It also assesses the future potential on agreed assumption.
The risk of overpayment or underpayment of claims arises from the claims assessment process and the level of decision-making competency of the staff involved.	A segregated process with checks and balances is implemented. Continuous training and development programmes are in place with supervision of well-experienced senior staff to mitigate such risks.

Enterprise Risk Management

b. Retakaful Risk

Risk	Control
Credit risk can also be a factor with respect to Retakaful. Should a reinsurance company be either slow to pay its claims/contributions or unable to make such payments, the effects on insurance company performance (and hence value) could be significant.	Retakaful placements are done with reinsurers having credit ratings as required by Insurance Regulatory Commission of Sri Lanka (IRCSL). The services of professional Retakaful brokers are also obtained in reinsurance placements.
Accepting risks beyond the Company's retention limits.	System controls are in place to avoid such instances. However, to further enhance the control measure, certain critical processes are being automated. Additionally, all cases are handled through an evaluation process.

2. Market Risks

Market risks are wider risks that any company is exposed to in terms of demand and supply for any types of goods and services, and cost. The increased competition from the industry players in terms of rates, products, marketing etc., are continuous risks while the entry of new players to the industry is a further risk.

Furthermore, for insurance companies which are heavily dependent on investment income, healthy market conditions underpinned by solid economic conditions are vital. Therefore, in addition to the overall economic growth conditions, key economic variables such as interest rates, inflation, stock market performance, exchange rates and commodity market conditions especially gold etc., expose enormous speculative risks to the Company.

The Company experienced enormous threat from the market during the year mainly through intense price cutting by almost all the players, especially the Takaful window operators to tap the Takaful client segment. However, we have been able to secure the base being the only fully-fledged Takaful Company. Our clientele do understand that the Takaful is a complete system and not simply a product range in a conventional system.

3. Strategic and Reputational Risk

Achievement of overall business goals is the top most priority for any company and justifies the purpose and existence of organisations in the long run. However, companies need to achieve their corporate goals consistently in the short run in order to achieve long-term success. Thus, achieving annual targets in terms of revenue and profitability along with other operational targets become critical to the organisation. Even though the overall Enterprise Risk Management Framework embraces this objective, specific strategies and action plans to support and ensure achievements of annual targets are vital.

Due to internal and external reasons the Company could be exposed to serious risks to the reputation of the Company and its Brand Image, which could in turn affect the performance and achievement of corporate goals.

The Company has appointed a Corporate Spokesperson, who maintains a watching brief and monitors all news items related to the Company in the public domain. A collation of these are escalated to management with the assistance of Media-Watch partners through the marketing unit.

Enterprise Risk Management

4. Operational Risks

Operational risks result from inadequate or failed internal processes, people and systems which cover a wider area of operational aspects:

Risk	Control
Sudden disasters/calamities	A detail DRP is in force to recover within 12 hours.
BCP/DRP failures	Tested every six months.
Not having the right people at the right Place	A Semi-Annual Performance Appraisal system is in place to scrutinise the performance of key staff members including the Top Management Personnel.
Process failures – Standard Operating Procedures (SOPs) do not capture important controls	The Risk Committee reviews the SOPs periodically along with internal audit and makes modifications when required.
Potential fraud and errors	Strict implementation of the SOPs will minimise the risks involved in this area in addition to the supervisory controls.
Liquidity crunch	The Treasury team prepares a cash forecast on a weekly basis prior to making investment decisions.
Technology failure	The Disaster Recovery Plan covers such risks.
Non-implementation of key projects	The Business Operations Management (BOM) and the General Management Committee (GMC) meet monthly and review projects under implementation.
Utilities	Electricity – A back-up generator is fully active.

Enterprise Risk Management

5. Compliance Risk

The key compliance risks and the control measures are listed below:

Risk	Control
Unable to comply with the applicable regulatory requirements	The first item of the Agenda for the regular Executive Committee is set on compliance matters to prioritise the discussion on the subject. Any significant issue is escalated to the Audit/Risk Committees and the Board. A Dedicated Compliance Department is functional headed by a Senior Manager who is a member of the General Management Committee. All Heads of Departments are made aware of the applicable laws and regulations. Further, the regulatory requirements are cascaded down to relevant staff members. A monthly sign-off is obtained on a compliance check list covering applicable laws and regulations. This checklist is tabled at the Executive Committee meetings. A periodic internal audit exercise is carried out on the compliance function and a report is tabled at the Audit Committee meetings.

6. Credit Risk

With the deteriorating market practices on credit due to competitive pressures, the Company heightened its credit arrangement process through strict control measures and improved the Credit Policy on the recommendation of the Audit Committee.

Risk	Control
Unable to comply with the applicable regulatory requirements	SOP on credit approval which covers authorisation and approvals of Credit Policy is linked to the Sales Commission and Incentive Scheme. Weekly credit review.
Risk in recovering Retakaful	Rated Retakaful companies.
Unable to recover capital value of investments	Guided by the IRCSL Investment Guidelines. Close monitoring by the Board Investment Committee.

Enterprise Risk Management

ATPLC Risk Management Grid

Impact/Consequences and Likelihood of the risks are the two parameters to gauge the criticalness of the risks that are encountered by the Company. The parameter of Likelihood ranges from almost certain to rare on a scale of A to E while the Consequence parameter ranges from negligible to severe on I to V scale.

Consequence		Likelihood				
		Rare	Unlikely	Possible	Likely	Almost Certain
		E	D	C	B	A
Severe	V	H	H	H	VH	VH
Major	IV	M	M	H	H	VH
Moderate	III	M	M	H	H	H
Minor	II	L	L	M	M	H
Negligible	I	L	L	L	M	M

Amāna Takaful maintains a Risk Register which analyses all the potential risks under each of the above category and these items have been graded based on the above parameters of Likelihood and Consequences.

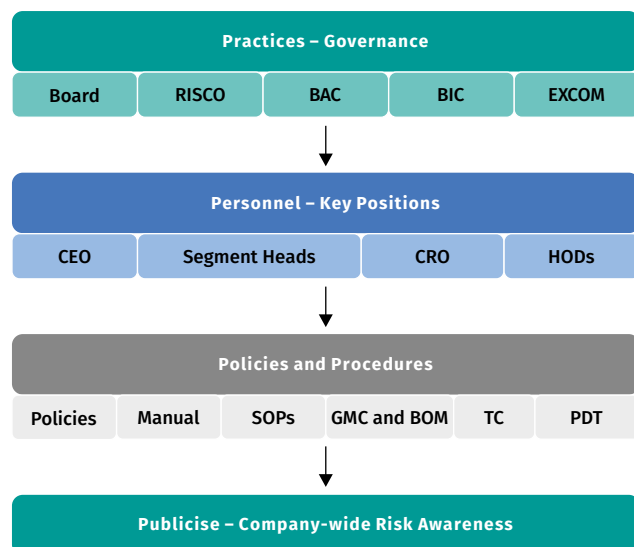
The Company adopts the following strategies in managing the risks as per the Likelihood and Impact grading. Please refer the Impact and Likelihood along with the Risk Management Grid.

Impact/Likelihood	Risk	Option	Strategy
(I,E), (I,D), (I,C), (II,E), (II,D)	Low	Accept	Keep monitoring of the Likelihood.
(I,B), (I,A), (II,C), (II,B), (III,E), (III,D), (IV,E), (IV,D)	Medium	Reduce Likelihood and/or Impact	Have measures to manage Likelihood and/or Impact.
(II,A), (III,C), (III,B), (III,A), (IV,C), (IV,B), (V,E), (V,D), (V,C)	High	Spread and/or Transfer	Spread the risk to a third party or involve risk owner sharing the risk. Have contingency arrangements. Have plans for recovery.
(IV,A), (V,B), (V,A)	Very High	Avoid	Do not participate in the activity.

Enterprise Risk Management

ATPLC Enterprise Risk Management Framework

In the ERM Framework of ATPLC, the entire Company (Enterprise) has been structured into a 4-stage cascade viz; Practices, Personnel, Procedures and Publicise from a risk management perspective, as illustrated below:



Board	–	The Board of Directors
RISCO	–	Board Risk Committee
BAC	–	Board Audit Committee
BIC	–	Board Investment Committee
EXCOM	–	Executive Committee
CEO	–	Chief Executive Officer
CRO	–	Chief Risk Officer
HODs	–	Heads of Departments
SOPs	–	Standard Operating Procedures
GMC	–	General Management Committee
BOM	–	Business Operations Management
TC	–	Technical Committee
PDT	–	Product Development Team

The ERM framework operates on a bottom-up approach in terms of its Lines of Defence.

1. First Line of Defence

Publicise – Educating the staff at shop floor level with the appropriate level of authority will help them take the right decision at the right time. We recognise that staff in the front line are exposed to the market and most often encounter various challenges. Cognisant of the challenge in communicating the entire ERM Framework and strategies to manage risks, the Risk Management Unit has adopted a simplified cascade process to the wider audience to mobilise support and upscale knowledge at all levels in the Company.

2. Second Line of Defence

Policies and Procedures – Policies and Procedures play a vital role through proper internal control mechanisms in mitigating several risk factors. Further, the Company also has restructured the Management Review Process through the General Management Committee (GMC) and a Business Operations Management Team (BOM), widening the participation of Key Management Personnel with specific roles in each of the groups.

3. Third Line of Defence

Key personnel being appointed at key positions in any organisation will mitigate a major part of the risk. We believe in our people, especially people who are occupying key positions, that they will take prudent business decisions in pursuit of corporate objectives.

4. Final Line of Defence

Governance Practices are activities that take place at Board level in order to ensure delivery of promises made to the stakeholders. In addition to the scheduled Board meetings and deliberations, there are subcommittees at Board level such as the Investment, Board Audit, Risk Management and Executive Committees. These Committees independently meet with the Key Management Personnel and review performance, challenges and opportunities under the respective areas and report to the Board periodically. While the Executive and the Investment Committees meet on a monthly basis, the other committees meet on a quarterly basis.

Enterprise Risk Management

Risk Management Process

In the process of managing the risks of the Organisation the Company has identified the following Key Risk Indicators. These indices are monitored through a dashboard which is reviewed at BOM, GMC, RISCO and Board levels. Corrective actions will be taken as and when significant deviations are observed in the relevant areas.

Risk Area	Key Risk Indicator
Insurance Risk	• Average Rates by Subclasses • Claims Ratios by Sales Teams and Subclasses • Product Profitability • RI Covers Vs Risk Accumulation
Strategic and Reputational Risk	• Overall Target Achievements at Firm Level and Departmental Level • Variance Analysis • Market Positioning • Client Satisfaction Index
Market Risk	• Interest Rate Movement • Bullion Market Movement • Equity Market Movement • Economic Indicators • Changes in Tax Regulations • Changes in Government Policies
Operational Risk	• Staff Turnover Ratio • Staff Satisfaction Index • Internal/External Audit Findings • Deviations from ISO Standards on Safety Measures • Current and Liquidity Ratios • Implementation of Industry Best Practises
Credit Risk	• Debtors Turnover Ratio (Days)
Compliance Risk	• Queries Raised by Regulator/Ombudsman • Pending Legal Matters • Unresolved Audit Queries • Items in the Management Letter • Investment Portfolio Mix

Key Areas Reviewed by the Board Risk Committee during 2017

- Review of the Risk Registers on a quarterly basis and monitored the Key Risk Indicators covering all aspects of the business.
- Review of the status pertaining to Capital Adequacy Ratio (CAR) and Total Available Capital (TAC) under Solvency Margin (Risk Based Capital) Rules 2015.
- Review of the Takaful Funds and available surplus
- Review of key risks pertaining to the business
- Review of investments

The composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	Number of Meetings Attended
Dato' Mohd Fadzli Yusof Chairman/Independent Non-Executive Director	4 out of 4
M.H.M. Rafiq Independent Non-Executive Director	4 out of 4
Dr. A.A.M. Haroon Non-Executive Director	3 out of 4
A.S.M. Muzzammil Independent Non-Executive Director	3 out of 4

The Chief Executive Officer of Amāna Takaful PLC, Chief Executive Officer of Amāna Takaful Life PLC, General Manager Operations and Medical Takaful, Head of Finance were invited to be present at all meetings of the Committee during the period under review. The Head of Compliance and Corporate Risk also attended all meetings in the capacity of Secretary to the Board Risk Committee. Other members of the Management were also invited to attend the meetings when required.

Annual Report of the Board of Directors on the Affairs of the Company

The Directors are pleased to submit their report together with the audited accounts of the Company and the Group, for the year ended 31st December 2017, to be presented at the 19th Annual General Meeting of the Company.

Review of the Year

The Chairman's Review on pages 6 to 7 describes the Company's affairs and mentions important events that occurred during the year and up to the date of this Report. The Management Discussion and Analysis on pages 20 to 22 elaborates the financial results of the Company. These reports together with the Audited Financial Statements reflect the state of affairs of the Company.

Principal Activities

The principal activity of the Company is General Takaful Business. The Family Takaful (Long-Term Insurance) business is carried out through Amāna Takaful Life PLC, a subsidiary of Amāna Takaful PLC.

Financial Statements

The Financial Statements are prepared in conformity with the Sri Lanka Accounting Standards and comply with the requirements of Section 151 of the Companies Act No. 07 of 2007 and the Rules and Regulations of Insurance Regulatory Commission of Sri Lanka are given on pages 70 to 149 of this Annual Report.

Independent Auditors' Report

The Auditors' Report on the Financial Statements is given on page 69 of this Annual Report.

Accounting Policies

The accounting policies adopted in preparation of the Financial Statements are given on pages 81 to 95.

Financial Results and Appropriations

The Profit After Taxation of the Company for the year was Rs. 62.6 Mn (2016 – Loss Rs. 138.3 Mn) and the Profit After Taxation of the Group for the year was Rs. 155 Mn (2016 – Loss Rs. 146.2 Mn).

The Family Takaful (Life) Fund balance including Unit Linked Fund has increased to Rs. 2,106 Mn from Rs. 2,064 Mn in 2016.

Property, Plant and Equipment

During the year under review, the capital expenditure on Property, Plant and Equipment for the Group amounted to Rs. 20 Mn (2016 – Rs. 5.9 Mn).

Information relating to movement in Property, Plant and Equipment during the year is disclosed under Note 6 to the Financial Statements.

Financial Assets

Details of financial assets held by the Company are given in Note 9 to the Financial Statements.

Reserves

Accumulated Loss as at 31st December 2017 for the Company and Group amounted to Rs. 71.7 Mn (2016 – Loss Rs. 136 Mn) and loss of Rs. 439.3 Mn (2016 – Loss Rs. 564.3 Mn), respectively. The break-up and the movement are shown in the Statement of Changes in Equity in the Financial Statements.

Stated Capital

The stated capital of the Company as at 31st December 2017 was Rs. 1,860,001,339/- represented by 1,800,001,296/- ordinary shares. The details of the stated capital are given in Note 15 to the Financial Statements on page 112.

Contingent Liabilities

There were no material contingent liabilities outstanding as at 31st December 2017 other than those reported in Note 39 to the Financial Statements.

Material Issues Pertaining to Employees and Industrial Relations of the Company

The Company did not come across any material issues pertaining to employees and industrial relations during the year.

Post-Balance Sheet Events

There were no material events occurring after the reporting date that require adjustments or disclosure in the Financial Statements.

Annual Report of the Board of Directors on the Affairs of the Company

Directors' Responsibilities

The Statement of the Directors' Responsibilities is given on page 66 of this Annual Report.

Corporate Governance

The Company has complied with the Corporate Governance Rules laid down under the Listing Rules of the Colombo Stock Exchange. The Report on the Corporate Governance is given on pages 38 to 45 of this Annual Report.

Statutory Payments

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities have been paid within the stipulated period.

Interests Register

The Company has maintained an Interest Register as contemplated by the Companies Act No. 07 of 2007.

- a. Directors' interest in contracts of the Company, both direct and indirect during the year under review, are included in Note 37 in the related party disclosures to the Financial Statements.
- b. Details of shareholding of Directors are given under particulars of Directors' Shareholding below:

Board Committees

Audit and Compliance Committee

Following are the names of the Directors comprising the Audit and Compliance Committee of the Board:

1. Dato' Mohd Fadzli Yusof – Chairman
2. M.H.M. Rafiq
3. A.S.M. Muzzammil
4. M.H.S. Kassim

The Report of the Audit Compliance Committee on pages 59 and 60 set out the manner of compliance by the Company in accordance with the requirements of the Rule 7.10.6 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

Remuneration Committee

Following are the names of the Directors comprising the Remuneration Committee of the Board:

1. Dato' Mohd Fadzli Yusof – Chairman
2. M.H.M. Rafiq
3. Dr. A.A.M. Haroon
4. A.S.M. Muzzammil

The particulars of the Remuneration Committee are mentioned in the Report of the Remuneration Committee on page 61. The details of the aggregate remuneration paid to the Executive and Non-Executive Directors during the financial year are given in Note 33 to the Financial Statements.

Related Party Transaction Review Committee

Following are the names of the Directors comprising Related Party Transaction Review Committee of the Board:

1. A.S.M. Muzzammil – Chairman
2. M.H.M. Rafiq
3. M.R.M. Nayeem

The particulars of the Related Party Transaction Review Committee are mentioned in the Report of the Related Party Transaction Committee on page 62.

Share Information and Substantial Shareholdings

The distribution of shareholding, market value of shares and twenty largest shareholders are given on pages 153 and 155.

The earnings per share, dividends per share, net assets per share are given on page 155.

Annual Report of the Board of Directors on the Affairs of the Company

Directors

The Directors of the Company during the year are as follows:

	Date of Appointment	Date of Resignation
Tyeab Akbarally	7th December 1998	–
Osman Kassim	7th December 1998	–
M.H.M. Rafiq	7th December 1998	–
Dato' Mohd Fadzli Yusof	10th February 1999	–
Dr. A.A.M. Haroon	21st September 2000	–
M. Ehsan Zaheed	1st October 2003	17th April 2017
A.S.M. Muzzammil	29th April 2010	–
Dr. I.A. Ismail	6th June 2012	–
R. Gopinath	6th June 2012	–
M.R.M. Nayeem	7th March 2016	–
M.H. Sattar Kassim	7th March 2016	–

A brief profile of the Directors are given on pages 10 and 13 of this Annual Report.

During the year under review the Board met on four occasions. The attendance at these meetings is mentioned on page 45.

In terms of Section 83 of the Articles of Association of the Company

1. Osman Kassim retires by rotation and being eligible has offered himself for re-election.
2. A.S.M. Muzzammil retires by rotation and being eligible has offered himself for re-election.
3. M.R.M. Nayeem retires by rotation and being eligible has offered himself for re-election.

In terms of Section 211 of the Companies Act No. 07 of 2007, the following Directors who are above 70 years of age retire by rotation and being eligible have offered themselves for re-election and the following resolutions to be passed accordingly, if thought fit.

i. Re-election of Dr. Ifthikarudeen Ahamed Ismail

IT IS HEREBY RESOLVED: To re-elect Dr. Ifthikarudeen Ahamed Ismail who is 80 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dr. Ifthikarudeen Ahamed Ismail.

ii. Re-election of M.H.M. Rafiq

IT IS HEREBY RESOLVED: To re-elect M.H.M. Rafiq who is 73 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said M.H.M. Rafiq.

iii. Re-election of Dato' Mohd Fadzli Yusof

IT IS HEREBY RESOLVED: To re-elect Dato' Mohd Fadzli Yusof who is 73 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dato' Mohd Fadzli Yusof.

Annual Report of the Board of Directors on the Affairs of the Company

Directors' Shareholdings

The interest of the Directors in the shares of the Company as at 31st December 2017 were as follows:

As at 31st December	No. of Ordinary Shares	
	2017	2016
Tyeab Akbarally	144	144
Osman Kassim	127,174,307	6,691,624
Dato' Mohd Fadzli Yusof	–	–
Dr. A.A.M. Haroon	40	40
M.H.M. Rafiq	20	20
A.S.M. Muzzammil	–	–
Dr. I.A. Ismail	–	–
R. Gopinath	–	–
M.R.M. Nayeem	–	–
M.H. Sattar Kassim	–	–

Independence of Directors

Particulars of Independent Directors are mentioned under Corporate Governance Report on page 69.

Related Party Transactions

The details pertaining to related party transactions which exceeds the lower of 10% of equity or 5% of the total assets of the Company have been disclosed in the respective Notes to the Financial Statements. Directors have disclosed the transactions with related parties in terms of Sri Lanka Accounting Standard LKAS 24 – "Related Party Disclosures", in Note 37 to the Financial Statements.

In terms of section 9.3.2 (d) of the listing rules the Board confirms that the company has complied with all requirements pertaining to Related Party Transaction.

Going Concern

The Directors, after making necessary inquiries and review of the financial position and future prospects of the Company, have a reasonable expectation that the Company has adequate resources to continue to be in operational existence for the foreseeable future. Therefore, the going concern basis is adopted in the preparation of the Financial Statements.

Auditors

The resolutions to appoint the present Auditors, Messrs Ernst & Young, Chartered Accountants, who have expressed their willingness to continue in office, will be proposed at the Annual General Meeting.

The audit and non-audit fees paid to the Auditors is disclosed in Note 33 on page 124 of this Annual Report.

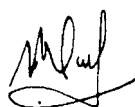
As far as the Directors are aware, the Auditors do not have any relationship on interest in the Company.

The Audit Committee reviews the appointment of the Auditors, its effectiveness and its relationship with the Company including the level of audit and non-audit fees paid to the Auditors. Details on the work of the Audit Committee are set out in the Audit Committee Report.

Notice of Annual General Meeting

The Annual General Meeting will be held on 8th May 2018 at 9.30 a.m. at the Committee Room B, Bandaranaike Memorial International Conference Hall (BMICH), Bauddhaloka Mawatha, Colombo 07. The Notice of the Annual General Meeting appears on page 164 of this Annual Report.

For and on behalf of the Board,



Tyeab Akbarally
Chairman



Managers & Secretaries (Pvt) Ltd.
Secretaries
Amāna Takaful PLC

5th April 2018
Colombo

Report of the Board Audit and Compliance Committee

Composition

The Audit Committee of the Board, appointed by and answerable to the Board of Directors, comprises (as at the date of this Annual Report) four members who are Non-Executive Directors, of whom three are Independent. The Committee is made up of members who bring their varied expertise, experience and knowledge to carry out and discharge their duties and responsibilities professionally and effectively. The Committee meets at least four (4) times a year, usually at quarterly intervals, to review and approve both the annual external and internal audit plans; ensure the independence and objectivity of the External Auditors; review the internal audit process, adequacy of internal controls, and assessment on various transactions of the related party. In addition, the Committee also plays the role of a platform for the Management to raise concerns on possible irregularities for investigation.

The membership composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	No. of Meetings Attended
Dato' Mohd Fadzli Yusof Chairman/Independent Non-Executive Director	4 out of 4
M.H.M. Rafiq Independent Non-Executive Director	4 out of 4
Aboo Sally Mohamed Muzzammil Independent Non-Executive Director	3 out of 4
M.H. Sattar Kassim Non-Executive Director (Member from 15th February 2017)	2 out of 3

The Chief Executive Officer, General Manager Operations and Medical Takaful as well as Head of Sales and Marketing were invited to be present at all meetings of the Committee during the period under review. The Head of Internal Audit also attended all meetings in the capacity of Secretary to the Audit Committee, so were the respective Heads of Departments Compliance and Corporate Risk, Finance, Underwriting, Claims and Reinsurance/Retakaful. Other members of the Management were also invited to attend the meeting when required.

Agendas and reports to be tabled, presented and deliberated at the meetings were prepared and distributed sufficiently in advance to all members, along with the appropriate and relevant briefing materials.

Objectives, Duties and Responsibilities

The key objectives of the Audit Committee are:

- To satisfy themselves that a good financial reporting system is in place in order to ensure accurate and timely financial information to the Board of Directors, regulators and shareholders and to make sure that these are prepared in accordance with Sri Lanka Accounting Standard and other relevant laws and regulations.
- To satisfy themselves of the effectiveness of the Company's risk management process in order to identify and mitigate risks.
- To review the design and implementation of the internal control system and take steps to strengthen them as necessary.
- To ensure that the conduct of the business is in compliance with the applicable laws and regulations of the country and the policies and procedures of the Company.
- To assess the independence of the External Auditors, and monitor the performance of Internal and External Auditors.
- To assess the Company's ability to continue as a going concern in the foreseeable future.

The primary duties and the responsibilities of the Committee are as follows:

1. Review the adequacy of the internal audit programme and plan, internal audit findings and recommend actions to be taken by the Management of deficiencies in controls, processes and procedures.
2. Assessment of the independence and performance of the Company's External Auditors.
3. Review the Management Letter of the External Auditors and follow-up on its recommendations.
4. Ensure the preparation and presentation of financial reports in line with the accounting standards and ensuring the adequacy of disclosure in such report.
5. Review the effectiveness of internal controls and risk management processes.
6. Ensure compliance with Regulatory Affairs and Corporate Governance.

Report of the Board Audit and Compliance Committee

Internal Audit

The internal audit functions of the Company are undertaken by the Internal Audit Department. The Department presented to the Committee the Comprehensive Audit Plan for the financial year under review, and instructed the Internal Auditors on the approach to be adopted in their auditing processes. Apart from the Audit Plan, the Committee also instructed the Auditors to carry out investigation, inspection and auditing on certain issues deemed necessary to maintain and ensure the adequacy and effectiveness of internal controls, appropriate governance and principles of best practice.

The Committee deliberated and reviewed a number of internal audit reports on a multitude of operational areas such as Reinsurance (Retakaful), various types of reserve including technical/mortality reserve, claims and underwriting as well as treasury matters. To ensure key decisions and recommendations of the Committee were efficiently implemented a process of follow-up programmes had been put in place. Where necessary, Auditors were directed to conduct follow-up audits and inspections.

External Audit

The Committee reviewed the Management Letter and other recommendations submitted by the External Auditors, Messrs Ernst & Young and followed-up the issues raised, during the financial year under review. From time to time during the period under review External Auditors made presentations and briefings to the Committee on matters related to new accounting standards and regulatory requirements.

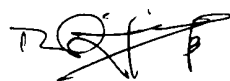
The Committee further made recommendations in relation to the remuneration, functions and terms of engagement of the External Auditors, particularly in relation to their audit work.

Provision of Non-Audit Service

The Committee is also responsible for reviewing the nature of non-audit services that the External Auditors may undertake in order to ensure that the Auditors' independence is not impaired in such circumstances.

Conclusion

The Committee is satisfied that effective measures, in respect of internal controls of the Company, are in place. The accounting standards are duly followed. Similarly, all the activities and functions of the Company are in compliance with regulatory and statutory provisions. The Committee is also comfortable that the assets of the Company have been adequately safeguarded, and the requirements of independence of both the Internal and the External Auditors are met. With the transparent and appropriate relationship established with the External Auditors, the latter have an obligation to raise and highlight any significant defects or weaknesses in the Company's system of internal control and compliance to the attention of the Management, the Committee and the Board. On the whole, the Committee firmly believes that the Company is in the right direction in terms of corporate governance and best practices.



Dato' Mohd Fadzli Yusof

Chairman – Board Audit and Compliance Committee

5th April 2018
Colombo

Report of the Board Remuneration Committee

The Remuneration Committee is entrusted by the Board of Directors with the responsibility of overseeing a reasonable, attractive and competitive remuneration package policy be adopted for all level of employees of the Amāna Takaful Group of Companies. The policy ought to be aligned with the Group's performance and interests of all stakeholders. The Committee has to ensure that the remuneration structure is commensurate with each employee's performance, competency, commitment, dedication, responsibility and skill.

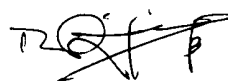
In implementing the policy, the Committee reviewed and compared the overall executive compensation package, benchmarking against the industry, for the consideration and adoption of the Board. It also recommended the packages for the Chief Executive Officer and other senior members of the Management, taking into cognizance the practice of the industry as well as the overall financial strength of the Group. In relation to this, the Committee took into consideration Key Result Areas and Performances linked to the achievement, contribution and performance of each individual officer, relative to respective targets set.

Independent Directors had not received, directly or indirectly, any consulting, advisory or other compensatory fees from the Group. Papers to be deliberated at meetings of the Committee were distributed in advance to all the members.

Other key responsibilities under the mandate of the Remuneration Committee covered the following scopes:

- Reviewing and ensuring that the Group implemented a sound Performance Appraisal Review System for employees at all levels.
- Making recommendation to the Board on annual increments, key promotions and scale-ups.
- Making recommendation to the Board on bonus and related payment, if any, to employees of all levels.
- Considering and recommending to the Board the remuneration scheme for the Directors.
- The Committee Comprised of four (4) Non- Executive Directors, of whom three (3) are independent. The Committee met twice during the year under review.

Member	No. of Meetings Attended
Dato' Mohd Fadzli Yusof Chairman/Independent Non-Executive Director	2 out of 2
M.H.M. Rafiq Independent Non-Executive Director	2 out of 2
Dr. A.A.M. Haroon Non-Executive Director	0 out of 2
A.S.M. Muzzammil Independent Non-Executive Director	1 out of 2
Farhan Jabir Secretary	2 out of 2



Dato' Mohd Fadzli Yusof

Chairman – Remuneration Committee

5th April 2018
Colombo.

Report of the Related Party Transactions Review Committee

Objective of the Committee

The Committee reviews all related party transactions of Amāna Takaful PLC to ensure that the Company complies with the Rules set out under Section 09 of the Listing Rules.

The primary objective of the Committee is to ensure that the interests of the shareholders are taken into consideration when entering into related party transactions and to ensure that these transactions are not more favourable to related parties than those generally available to the general public.

Composition of Committee

The Related Party Transaction Review Committee (the Committee) comprises three Independent Non-Executive Directors.

Meetings of the Committee

Four (4) meetings of the Committee were held during the period under review and the attendance of the Committee is as follows:

Member	No. of Meetings Attended
A.S.M. Muzzammil Chairman/Independent Non-Executive Director (appointed w.e.f. 19th May 2017)	2 out of 2
M.H.M. Rafiq Independent Non-Executive Director	4 out of 4
M.R.M. Nayeem Independent Non-Executive Director (appointed w.e.f. 19th May 2017)	2 out of 2
Dr. I. A. Ismail Independent Non-Executive Director (retired due to reconstitution of the Committee w.e.f. 19th May 2017)	2 out of 2
M. Ehsan Zaheed Non-Executive Director (resigned w.e.f. 17th April 2017)	1 out of 1

In addition, the Chief Executive of the Company, Chief Executive Officer of Amāna Takaful Life PLC, Head of Compliance and Head of Finance attended these meetings by invitation. The Head of Compliance, A.H.M. Dilshad served as the Secretary to the Committee.

Review of Related Party Transactions

The Committee reviewed all related party transactions of the Company for the year 2017 and concluded that all related party transactions entered into during the year were of a recurrent and trading nature, and were within the normal scope of day-to-day operations of the Company. Details of such related party transactions entered in to during the year are given in Note 37 to the Financial Statements on pages 128 to 130 of this Annual Report.

The Chairman of the Committee has on a regular basis, appraised the Board on the matters deliberated at the Related Party Transactions Review Committee meetings.

Policies and Procedures

The Head of Compliance is responsible for reporting related party transactions proposed to be entered into by the Company which are within the purview of the Committee in terms of the Listing Rules for the Committee to review and to grant approval.

Moreover, on a quarterly basis, the Head of Compliance is required to report the related party transactions entered into by the Company during the period under Review for Committee's consideration.

Conclusion

The Committee is satisfied that the interests of the shareholders as a whole are taken into consideration when entering into related party transactions and that the transactions were not more favourable to related parties than those generally available to the general public.



A.S.M. Muzzammil

Chairman – Related Party Transactions Review Committee

5th April 2018
Colombo

Report of the Shari'ah Advisory Council



Shari'ah Audit Report to the Shareholders of Amana Takaful PLC

السلام عليكم ورحمة الله وبركاته

We have examined the operations of Amāna Takaful (PLC) (the "Company") for the year ending 31st December 2017. We have also conducted our review to form an opinion as to whether the Company has complied with the Shari'ah Rules and principles and also with the specific fatwas, regulations and guidelines issued by the Shari'ah Advisory Council.

Responsibilities

It is our responsibility, as Shari'ah Advisory Council, to ensure that the Takaful operations, financial arrangements, contracts and transactions entered into by the Company with its participants, clients and stakeholders are in compliance with Shari'ah rules and principles. It is the responsibility of the Company's Management to ensure that all rules, principles and guidelines set by the Shari'ah Advisory Council are complied with, and that all policies and services being offered are duly approved by the Shari'ah Advisory Council.

Scope of Audit and Basis of Opinion

The scope of our audit primarily involves the review of Company's compliance with the Shari'ah Regulations and Guidelines. Our review also includes examining, on a test basis of each type of product in relation to issuance, compensations and accountings.

Opinion

In our opinion and to the best of our information and belief and according to the explanations given to us:

- The Takaful operations and financial transactions undertaken by the Company, during the year 2017, were generally in accordance with the guidelines prescribed by the Shari'ah Advisory Council.
- All non-permissible income received should be utilised in accordance with the guidelines issued by the Shari'ah Advisory Council.

We seek Allah the Almighty to grant us all success and straight-forwardness.

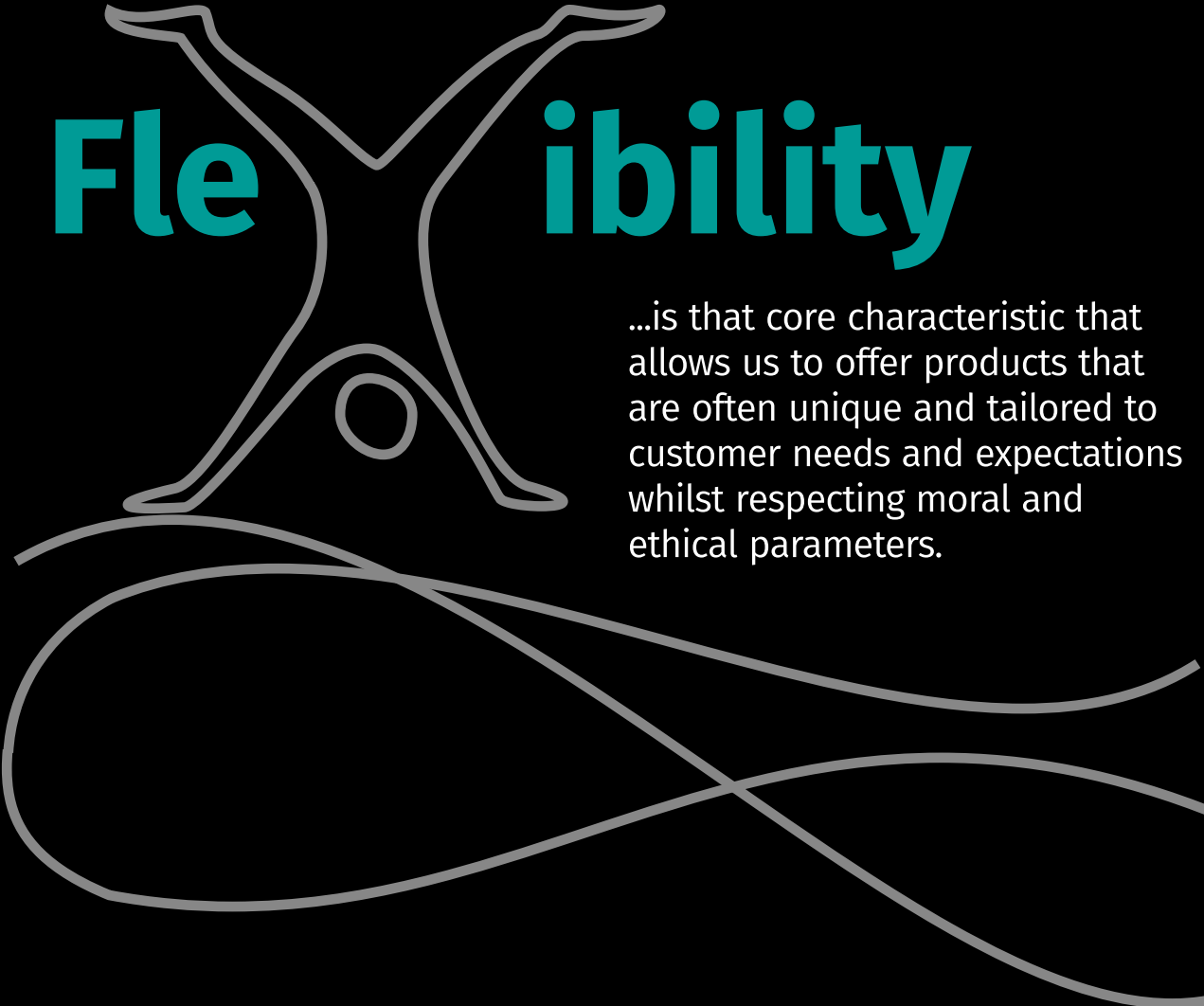
والسلام عليكم ورحمة الله وبركاته

Mufti M.I.M. Rizwe

Chairman – Shari'ah Advisory Council

Ash-Sheikh Murshid Mulaffar

Secretary – Shari'ah Advisory Council



Fle

ibility

...is that core characteristic that allows us to offer products that are often unique and tailored to customer needs and expectations whilst respecting moral and ethical parameters.

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Statement of Directors' Responsibilities

This statement sets out the responsibilities of the Directors in relation to Financial Statements of the Group and the Company. The Directors confirm that the Financial Statements for the year 2017 prepared and presented in this Annual Report are consistent with the requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000.

In preparing the Financial Statements, the Directors have adopted appropriate accounting principles and policies and where relevant, disclosed and explained material departures, if any. The Directors ensure that applicable accounting standards (SLFRS/LKAS) have been followed and that the judgements and estimates provided are reasonable and prudent and provide a true and fair view of the state of affairs as well as the profitability of the Company. The Directors also state that the Financial Statements are prepared on a going concern basis and a review of the Company's performance indicates that the Company has adequate resources to continue in operation.

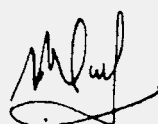
The Directors have taken proper and sufficient care to ensure the maintenance of adequate accounting records in conformity with the applicable provisions of the Regulation of Insurance Act No. 43 of 2000 and any other legislations including the Companies Act No. 07 of 2007 to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

The Company possesses an effective internal audit system commensurate with the size and nature of its business. Steps have also been taken to ensure that proper records are maintained and the information generated is reliable.

It is the responsibility of the Directors to provide the Auditors every opportunity to carry out necessary audit work to enable them to present their audit report. The Directors, are satisfied that all statutory payments, in relation to all relevant regulatory and statutory authorities, which were due and payable by the Company as at the reporting date have been paid or where relevant provided for.

The Directors are of the view that they have to the best of their knowledge, discharged their responsibilities as set out in this Statement.

For and on behalf of the Board,



Tyeab Akbarally

Chairman

5th April 2018
Colombo, Sri Lanka

Certificate of the Actuary – Family Takaful (Life)

To the Shareholders of Amāna Takaful Life PLC.

Actuarial Valuation of the Long-Term Insurance Business as at 31st December 2017

We have carried out an actuarial valuation of the Long-Term Insurance Business as at 31st December 2017. We hereby certify that, in our opinion –

1. Proper records have been kept by the Company, which are appropriate for the purpose of the actuarial valuation of the liabilities of the Long-Term Insurance Fund;
2. Adequate and proper reserves have been provided as at 31st December 2017, for insurance related risk liabilities in respect of the Long-Term Insurance Fund, taking into account all current and contingent liabilities as at that date.



Zainal Abidin Mohd. Kassim

Fellow of the Institute of Actuaries

Actuarial Partners Consulting Sdn Bhd
Suite 17.02, Kenanga International
Jalan Sultan Ismail
50250 Kuala Lumpur
Malaysia

Tel : 603 2161 0433

Fax : 603 2161 3595

28th March 2018

Certification of Incurred But Not Reported (IBNR) Claims and Liability Adequacy



Amāna Takaful PLC 31st December 2017 Net IBNR and LAT Certification

I hereby certify that the undiscounted Central Estimate of IBNR provision of Rs. 32,069,920 inclusive of claim handling expenses is adequate in relation to the Claim Liability of Amāna Takaful PLC as at 31st December 2017, net of Retakaful. This IBNR provision, together with the Case Reserves held by the Operator, is expected to be adequate to meet the future liabilities in respect of the Operator's reported claims obligations as at 31st December 2017, in many, but not all, scenarios of future experience.

At the end of each reporting period, companies are required to carry out a Liability Adequacy Test (LAT) as laid out in SLFRS 4. The LAT is performed to assess the adequacy of the carrying amount of the Unearned Contribution Reserve (UCR). I hereby certify that the UCR provision of Rs. 555,332,865.00 set by the Operator, net of retakaful is adequate in relation to the unexpired risks of Amāna Takaful PLC as at 31st December 2017, in many, but not all, scenarios of future experience.

The results have been determined in accordance with internationally accepted actuarial principles.

I have relied upon information and data provided by the management of the above operator and I have not independently verified the data supplied, beyond applying checks to satisfy myself as to the reasonability of the data.

A handwritten signature in black ink, appearing to read 'Phan Ngoc Hung'.

Phan Ngoc Hung

*Fellow of the Institute of Actuaries of France
For and on behalf of NMG Consulting*

2nd March 2018

Independent Auditors' Report



EY

Building a better
working world

Ernst & Young
Chartered Accountants
201 De Saram Place
P.O. Box 101
Colombo 10
Sri Lanka

Tel : +94 11 2463500
Fax Gen : +94 11 2697369
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eysl@lk.ey.com
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SPF/HLKC/MFI

Independent Auditors' Report to the Shareholders of Amāna Takaful PLC

Report on the Financial Statements

We have audited the accompanying financial statements of Amāna Takaful PLC, ("the Company") and the Consolidated financial statements of the Company and its subsidiaries ("Group"), which comprise the statement of financial position as at 31 December 2017, and the statement of comprehensive income, statement of changes in equity and, statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal controls as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group as at 31 December 2017, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Report on Other Legal and Regulatory Requirements

As required by Section 163(2) of the Companies Act No. 07 of 2007, we state the following:

- a. The basis of opinion and Scope and Limitations of the audit are as stated above.
- b. In our opinion:
 - We have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company and
 - The financial statements of the Company give a true and fair view of the financial position as at 31 December 2017 and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.
 - The financial statements of the Company and the Group, comply with the requirements of Sections 151 and 153 of the Companies Act No. 07 of 2007.

As required by Section 47(2) of the Regulation of Insurance Industry Act No. 43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

5 April 2018
Colombo

Partners: W R H Fernando FCA FCMA M P D Cooray FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA Ms. P V K N Sajeewani FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA

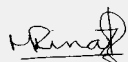
Principal T P M Ruberu FCA FCCA

A member firm of Ernst & Young Global Limited

Statement of Financial Position

		Group		Company	
As at 31st December		2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
	Notes				
Assets					
Intangible Assets	5	31,812,197	36,658,107	6,665,391	8,215,697
Property, Plant and Equipment	6	76,724,518	101,870,083	53,168,306	81,974,142
Deferred Tax Assets	35.2	105,048,241	104,330,875	97,451,909	97,594,408
Investment Property	7	79,925,000	78,500,000	79,925,000	78,500,000
Investments in Subsidiaries	8	–	–	1,074,322,352	1,074,322,352
Financial Assets	9	2,727,922,574	2,305,094,853	872,276,119	874,366,499
Retakaful (Reinsurance) Receivables		357,532,747	383,234,370	254,123,425	213,900,783
Contribution (Premium) Receivables	10	567,358,602	423,594,316	489,748,895	328,235,215
Other Assets	11	186,501,020	170,070,907	162,684,646	103,983,447
Other Assets – Unit Linked	12	–	–	–	–
Financial Assets – Unit Linked	13	1,526,678,553	1,473,331,683	–	–
Cash and Bank Balances	14	269,133,976	368,874,066	110,981,837	78,897,531
Cash and Bank Balances – Unit Linked	14	7,370,003	72,192,842	–	–
Total Assets		5,936,007,430	5,517,752,102	3,201,347,880	2,939,990,074
Liabilities					
Insurance Contract Liabilities – Non-Life	18	1,015,130,229	917,870,374	700,319,999	650,675,481
Insurance Contract Liabilities – Family Takaful Fund	19.1	580,710,123	559,913,844	–	–
Insurance Contract Liabilities – Unit Linked	19.2	1,525,135,501	1,504,144,873	–	–
Employee Benefits	20	50,016,182	38,871,095	28,996,165	23,997,243
Other Liabilities – Unit Linked	21	51,844,853	50,315,576	–	–
Other Liabilities	22	548,767,363	465,230,356	266,963,102	174,572,524
Subordinated Debt	23	200,000,000	200,000,000	200,000,000	200,000,000
Finance Lease Liability	24	6,379,446	12,503,061	1,244,605	6,302,143
Short-Term Borrowings	25	187,698,284	87,657,018	187,698,284	87,657,018
Bank Overdrafts	14	37,426	40,892,192	37,426	38,493,174
Total Liabilities		4,165,719,406	3,877,398,389	1,385,259,581	1,181,697,583
Shareholders' Equity					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	15	1,860,001,339	1,860,001,339	1,860,001,339	1,860,001,339
Other Reserves	16	83,090,398	85,869,346	30,331,677	34,331,677
Revenue Reserves	17	(455,558,905)	(567,429,563)	(74,244,716)	(136,040,525)
		1,487,532,532	1,378,441,122	1,816,088,300	1,758,292,491
Non-Controlling Interest		282,755,192	261,912,591	–	–
Total Equity		1,770,288,024	1,640,353,713	1,816,088,300	1,758,292,491
Total Equity and Liabilities		5,936,007,430	5,517,752,102	3,201,347,880	2,939,990,074

These Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.



M. Rinaz Niyas
Head of Finance



M. Fazal Ghaffoor
Chief Executive Officer

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the Board by,



Tyeab Akbarally
Chairman



M.H.M. Rafiq
Director

The Notes on pages 81 to 149 are an integral part of these Consolidated Financial Statements.

5th April 2018
Colombo

Statement of Profit or Loss and Other Comprehensive Income

Year Ended 31st December	Notes	Group		Company	
		2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
Gross Written Contribution (Premium)	26	3,640,635,096	3,406,904,790	1,792,031,034	1,618,163,799
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)		(792,904,261)	(896,277,479)	(378,254,928)	(387,443,446)
Net Written Contribution (Premium)		2,847,730,835	2,510,627,311	1,413,776,106	1,230,720,353
Net Change in Reserve for Unearned Contribution (Premium)		(185,078,348)	38,170,826	(129,645,176)	54,527,741
Net Earned Contribution (Premium)		2,662,652,487	2,548,798,137	1,284,130,930	1,285,248,094
Other Revenue					
Income from Investments	27	381,997,687	307,793,028	111,637,172	128,007,396
Impairment charges on Available-for-Sale Financial Instruments	9.3.2	–	(36,486,513)	–	–
Fair Value Gains and Losses		338,249	4,043,873	–	855,979
Other income	28	70,494,630	61,482,305	14,103,727	11,471,256
Total Revenue	29	3,115,483,053	2,885,630,830	1,409,871,829	1,425,582,725
Benefits, Losses and Expenses					
Takaful (Insurance) Claims and Benefits (Net)	30	(1,479,674,077)	(1,438,345,513)	(694,025,443)	(876,718,422)
Acquisition Cost (Net of Reinsurance Commission)		(202,355,823)	(238,515,121)	(69,514,133)	(82,238,893)
Change in Family Takaful Contract Liability		(40,535,552)	(301,047,944)	–	–
Other Operating and Administration Expenses	31	(1,185,770,573)	(1,011,703,736)	(551,349,790)	(573,985,814)
Amortisation	32	(5,369,888)	(4,594,130)	(1,550,306)	(1,331,931)
Total Claims, Benefits and Expenses		(2,913,705,913)	(2,994,206,444)	(1,316,439,672)	(1,534,275,060)
Profit/(Loss) from Operations	33	201,777,140	(108,576,615)	93,432,157	(108,692,335)
Finance Cost	34	(31,872,998)	(31,662,635)	(30,710,869)	(30,481,030)
Profit/(Loss) Before Taxation		169,904,142	(140,239,250)	62,721,287	(139,173,365)
Income Tax	35	(14,899,924)	(5,919,046)	(142,500)	–
Profit/(Loss) for the Year		155,004,218	(146,158,296)	62,578,787	(139,173,365)
Profit/(Loss) Attributable to:					
Equity Holders of the Parent		126,501,045	(154,434,189)	62,578,787	(139,173,365)
Non-Controlling Interest		28,503,068	8,725,893	–	–
		155,004,218	(146,158,296)	62,578,787	(139,173,365)
Earnings Per Share					
Basic, Diluted Earnings Per Share	36	0.10	(0.09)	0.04	(0.08)
Profit/(Loss) for the Period		155,004,218	(146,158,296)	62,578,787	(139,173,365)
Other Comprehensive Income					
Items that will Never be Reclassified to Profit or Loss					
Defined Benefit Plan Actuarial Losses	20.1	(5,467,989)	(2,652,387)	(4,782,978)	(2,446,671)
		(5,467,989)	(2,652,387)	(4,782,978)	(2,446,671)
Items that are or may be Reclassified to Profit or Loss					
Net Change in Fair Value of Available-for-Sale Financial Assets		–	(1,231,957)	–	(855,979)
Net Change in Fair Value of Available-for-Sale Financial Assets – Reclassified to Profit or Loss		–	14,524,006	–	(2,690,585)
Net Change in Fair Value of Available-for-Sale Financial Assets – Transfer (to)/from Policyholders Reserve		1,124,161	(2,777,644)	–	–
Foreign Currency Translation Differences for Foreign Operations		2,220,094	14,600,318	–	–
		3,344,255	25,114,723	–	(3,546,564)
Other Comprehensive Income, Net of Tax		(2,123,734)	22,462,336	(4,782,978)	(5,993,235)
Total Comprehensive Income for the Year		152,880,484	(123,695,960)	57,795,809	(145,166,600)
Total Comprehensive Income Attributable to:					
Equity Holders of the Parent		123,265,853	(146,309,912)	57,795,809	(145,166,600)
Non-Controlling Interest		29,614,526	22,613,952	–	–
		152,880,484	(123,695,960)	57,795,809	(145,166,600)

The Notes on pages 81 to 149 are an integral part of these Consolidated Financial Statements.

Statement of Changes in Equity

Year ended 31st December	Stated Capital	Other Reserves			Revenue Reserves			Non-Controlling Interest	Total
		Prepaid Share Reserve	Revaluation Reserve	Translation Reserve	Policyholders' Reserve	Available-for-Sale Reserve	Accumulated Loss		
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Group									
Balance as at 1st January 2016	1,650,001,188	-	36,501,152	43,604,300	(98,867)	(5,568,308)	(420,838,634)	205,893,654	1,509,494,485
Net Profit for the Year	-	-	-	-	-	-	(154,434,189)	8,275,893	(146,158,296)
Other Comprehensive Income									
Net Change in Fair Value of Available-for-Sale Financial Assets	-	-	-	-	-	(1,062,767)	-	(169,190)	(1,231,957)
Net Change in Fair Value of Available-for-Sale Financial Assets – Transferred to Profit or Loss	-	-	-	-	(317,466)	6,729,351	-	8,112,121	14,524,006
Foreign Currency Translation Differences for Foreign Operations	-	-	-	8,030,175	-	-	-	6,570,143	14,600,318
Net Change in Fair Value of Available-for-Sale Financial Assets – Transfer (to)/from Policyholders Reserve	-	-	-	-	(2,766,354)	-	-	(11,290)	(2,777,644)
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	-	-	-	(2,488,663)	(163,724)	(2,652,387)
Total Comprehensive Income	-	-	-	8,030,175	(3,083,820)	5,666,584	(156,922,852)	22,613,953	(123,695,960)
Transfer of Revaluation Surplus to Retained Earnings, at the Disposal	-	-	(2,049,333)	-	-	-	2,049,333	-	-
Dividend Paid	-	-	-	-	-	-	-	(17,004,949)	(17,004,949)
Expenses on Initial Public Offer	-	-	-	-	-	-	(13,440,014)	-	(13,440,014)
Ordinary Shares Issued	210,000,151	-	-	-	-	-	-	-	210,000,151
Changes in ownership Interests	210,000,151	-	(2,049,333)	-	-	-	(11,390,681)	(17,004,949)	179,555,188
Effect of Acquisitions, Disposals and Change in Percentage Holdings in Subsidiaries	-	-	(216,948)	-	9,887	-	24,797,128	50,409,933	75,000,000
Total Changes in Ownership Interests	-	-	(216,948)	-	9,887	-	24,797,128	50,409,933	75,000,000
Balance as at 31st December 2016	1,860,001,339	-	34,234,871	51,634,475	(3,172,800)	98,276	(564,355,039)	261,912,591	1,640,353,713
Net Profit for the Period	-	-	-	-	-	-	126,501,150	28,503,068	155,004,218
Other Comprehensive Income									
Foreign Currency Translation Differences for Foreign Operations	-	-	-	1,221,052	-	-	-	999,042	2,220,094
Net Change in Fair Value of Available-for-Sale Financial Assets – Transfer (to)/from Policyholders Reserve	-	-	-	-	1,011,745	-	-	112,416	1,124,161
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	-	-	-	(5,467,989)	-	(5,467,989)
Total Comprehensive Income	-	-	-	1,221,052	1,011,745	-	121,033,161	29,614,526	152,880,484
Transfer of Revaluation Surplus to Retained Earnings, at the Disposal	-	-	(4,000,000)	-	-	-	4,000,000	-	-
Dividend Paid	-	-	-	-	(14,174,248)	-	-	(8,771,926)	(22,946,174)
Total Changes in Ownership Interests	-	-	-	-	-	-	-	-	-
Balance as at 31st December 2017	1,860,001,339	-	30,234,871	52,855,527	(13,847,801)	98,276	(439,321,878)	282,755,192	1,770,288,024

Statement of Changes in Equity

Year ended 31st December	Other Reserves			Revenue Reserves		Total
	Stated Capital	Prepaid Share Reserve	Revaluation Reserve	Available-for-Sale Reserve	Accumulated Loss	
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Company						
Balance as at 1st January 2016	1,650,001,188	–	34,331,677	3,546,564	5,579,511	1,693,458,940
Total Comprehensive Income						
Net Loss for the Year	–	–	–	–	(139,173,365)	(139,173,365)
Other Comprehensive Income						
Net Change in Fair Value of Available-for-Sale Financial Assets Net of Deferred Tax	–	–	–	(855,979)	–	(855,979)
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred to Profit or Loss	–	–	–	(2,690,585)	–	(2,690,585)
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	–	–	–	–	(2,446,671)	(2,446,671)
Total Comprehensive Income	–	–	–	(3,546,564)	(141,620,036)	(145,166,600)
Ordinary Shares issued	210,000,151	–	–	–	–	210,000,151
Balance as at 31st December 2016	1,860,001,339	–	34,331,677	–	(136,040,525)	1,758,292,491
Net Profit for the Period	–	–	–	–	62,578,787	62,578,787
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	–	–	–	–	4,282,978	4,282,978
Total Comprehensive Income	–	–	–	–	57,795,809	57,795,809
Transfer of Revaluation Surplus to Retained Earnings of the Disposed	–	–	(4,000,000)	–	4,000,000	–
Balance as at 31st December 2017	1,860,001,339	–	30,331,677	–	(74,244,716)	1,816,088,300

The Notes on pages 81 to 149 are an integral part of these Consolidated Financial Statements.

Statement of Cash Flows

Year Ended 31st December	Notes	Group		Company	
		2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
Operating Activities					
Contribution (Premium) Received from Participants		3,496,870,810	3,511,751,577	1,630,517,354	1,612,597,491
Retakaful (Reinsurance) Premium Paid		(691,152,263)	(738,084,008)	(254,793,855)	(269,462,150)
Claims, Benefits and Expenses Paid		(1,843,108,519)	(1,669,175,704)	(955,417,123)	(1,175,485,469)
Retakaful (Reinsurance) Receipts in Respect of Claims		386,167,793	253,135,895	225,327,012	227,364,249
Cash Paid to and on Behalf of Employees		(421,522,439)	(395,934,141)	(235,882,228)	(224,556,588)
Profits Received from Investments and Other Income		232,744,414	144,714,992	57,171,138	25,717,947
Dividends Received		24,751,220	8,187,924	16,734,002	22,835,176
Finance Cost Paid	34	(31,872,998)	(31,662,635)	(30,710,869)	(30,481,030)
Other Operating Cash Payments		(758,335,005)	(950,761,965)	(383,666,958)	(385,513,811)
Cash Flow from/(used in) Operating Activities (Note A)		394,543,013	132,171,935	69,278,472	(196,984,185)
Gratuity Paid		(7,554,728)	(11,720,566)	(6,024,204)	(8,681,348)
Income Tax Paid		(10,715,077)	(9,487,143)	–	–
Net Cash Flow from/(used in) Operating Activities		376,273,209	110,964,226	63,254,268	(205,665,533)
Investing Activities					
Net Disposal/(Purchase) of Investment Securities		(93,258,634)	(573,450,796)	84,074,809	(418,506,818)
Purchase of Intangible Assets		(7,209,338)	(16,310,863)	(6,790,500)	(6,278,959)
Proceeds from Disposal of Intangible Assets		–	220,521	–	–
Purchase of Property, Plant and Equipment		(8,922,976)	(8,243,858)	(1,146,670)	(4,900,660)
Proceeds from Disposal of Property, Plant and Equipment		5,763,411	5,249,087	10,450,000	–
Disposal/(Investment in) of Subsidiaries		–	75,000,000	–	75,000,000
Net Cash Flows used in Investing Activities		(103,627,537)	(517,535,909)	86,587,639	(354,686,437)
Financing Activities					
Repayment of Lease Facility		(6,902,568)	(7,034,258)	(5,836,492)	(5,757,938)
Short-Term Loans Obtained		325,000,000	250,000,000	325,000,000	250,000,000
Repayment of Short-Term Borrowings		(206,398,390)	(162,342,982)	(101,521,567)	(162,342,982)
Dividend Paid		(19,463,127)	(17,004,949)	–	–
Costs on Initial Public Offer		–	(13,440,014)	–	–
Proceeds from Rights Issue		–	210,000,151	–	210,000,151
Net Cash Flows from Financing Activities		92,235,916	260,177,948	217,641,941	291,899,231
Increase/(Decrease) in Cash and Cash Equivalents (Note B)		364,881,587	(146,393,734)	367,483,848	(268,452,739)

Statement of Cash Flows

Year Ended 31st December	Notes	Group		Company	
		2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
Note A					
Reconciliation of Operating Profit/(Loss) with Cash Flows from Operations					
Profit/(Loss) from Operations		201,777,140	(108,576,615)	93,432,157	(108,692,335)
Depreciation	33	30,809,410	32,493,627	24,332,695	25,738,149
Amortisation		5,369,888	4,594,130	1,550,306	1,331,931
Provision for Gratuity		13,046,710	11,024,570	6,240,148	5,757,273
(Gain)/Losses from FVTPL Investments		(456,386)	(10,963,648)	–	59,753
(Increase)/Decrease in Debtors and Other Assets		(57,078,089)	(267,219,139)	(169,597,135)	(212,252,489)
Increase in Family Takaful (Long-Term Insurance) Fund		64,202,606	297,552,383	–	–
Increase/(Decrease) in Net Unearned Contribution (Premium)		185,078,347	(38,170,826)	129,645,176	(54,527,741)
Increase/(Decrease) in IBNR and General Reserve Provision		9,513,079	(2,685,830)	6,640,580	(77,325)
Increase/(Decrease) in Claims Provision		(97,331,572)	216,108,612	(86,641,238)	117,219,761
Increase/(Decrease) in Other Creditors		76,321,296	35,255,419	99,227,070	88,939,868
Profit on Sale of Property, Plant and Equipment		(3,415,418)	(578,113)	(3,415,418)	–
Finance Cost	34	(31,872,998)	(31,662,635)	(30,710,869)	(30,481,030)
(Gain)/Loss on Fair Value of Investment Property		(1,425,000)	(5,000,000)	(1,425,000)	(5,000,000)
Profit on Disposal of Subsidiary		–	–	–	(25,000,000)
Cash Flows from/(used in) Operating Activities		394,543,013	132,171,935	69,278,472	(196,984,185)
Note B					
Increase/(Decrease) in Cash and Cash Equivalents					
Cash and Cash Equivalents	14	1,067,175,486	702,293,899	519,559,087	152,075,239
Cash and Cash Equivalents at the End of the Period		1,067,175,486	702,293,899	519,559,087	152,075,239
Cash and Cash Equivalents at the Beginning of the Year	14	702,293,899	848,687,634	152,075,239	420,527,978
Increase/(Decrease) in Cash and Cash Equivalents		364,881,587	(146,393,735)	367,483,848	(268,452,739)

The Notes on pages 81 to 149 are an integral part of these Consolidated Financial Statements.

Segmental Analysis – Statement of Financial Position – 2017

Year Ended 31st December	Amāna Takaful PLC Rs.	Amāna Takaful Life PLC Rs.	Amāna Takaful Maldives PLC Rs.	Amāna Global Ltd. Rs.	Adjustments Rs.	Group Rs.
Assets						
Intangible Assets	6,665,391	22,250,369	7,411,960	–	(4,515,524)	31,812,197
Property, Plant and Equipment	53,168,306	21,164,995	2,321,626	69,589	–	76,724,516
Deferred Tax Asset	97,451,909	–	7,596,332	–	–	105,048,241
Investment Property	79,925,000	–	–	–	–	79,925,000
Investment in Subsidiaries	1,074,322,352	–	–	–	(1,074,322,352)	–
Financial Assets	872,276,119	1,040,576,008	815,070,447	15,106,341	(15,106,341)	2,727,922,574
Retakaful (Reinsurance) Receivables	254,123,425	250,000	103,159,402	–	–	357,552,828
Contribution (Premium) Receivables	489,748,895	33,059,196	44,550,511	–	–	567,358,602
Other Assets	146,113,354	28,816,883	53,954,722	–	(42,383,938)	186,501,020
Financial Assets – Unit Linked	–	1,526,678,553	–	–	–	1,526,678,553
Related Party Receivable	16,571,292	–	–	3,639,639	(20,210,931)	–
Cash and Bank Balances	110,981,837	129,461,474	28,229,176	461,489	–	269,133,976
Cash and Bank Balances – Unit Linked	–	7,370,003	–	–	–	7,370,003
Total Assets	3,201,347,880	2,809,627,481	1,062,294,178	19,277,057	(1,156,539,086)	5,936,007,430
Liabilities						
Insurance Contract Liabilities – Non-Life	700,319,999	–	314,810,230	–	–	1,015,130,229
Insurance Contract Liabilities – Family Takaful Fund	–	580,710,123	–	–	–	580,710,123
Insurance Contract Liabilities – Family Takaful Unit Linked	–	1,525,135,501	–	–	–	1,525,135,501
Retakaful (Reinsurance) Payables	196,491,452	11,714,253	67,813,027	–	–	276,018,732
Employee Benefits	28,996,165	6,013,000	15,007,016	–	–	50,016,181
Other Liabilities – Unit Linked	–	51,844,853	–	–	–	51,844,853
Other Liabilities	70,471,650	38,851,889	151,099,089	12,326,003	–	272,748,631
Murabaha Facility	–	–	–	–	–	–
Related Party Payable	–	16,435,130	9,210,131	17,218,164	(42,863,425)	–
Subordinated Debt	200,000,000	–	–	–	–	200,000,000
Finance Lease Liability	1,244,605	5,134,842	–	–	–	6,379,446
Short Term Borrowings	187,698,284	–	–	–	–	187,698,284
Bank Overdrafts	37,426	–	–	–	–	37,426
Total Liabilities	1,385,259,581	2,235,839,591	557,939,492	29,544,167	(42,863,425)	4,165,719,406
Shareholders' Equity						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	1,860,001,339	500,000,000	202,370,719	37,125,000	(739,495,719)	1,860,001,339
Other Reserves	30,331,677	(1,544,774)	96,055,050	–	(41,751,554)	83,090,398
Revenue Reserves	(74,244,716)	75,332,664	205,928,924	(47,392,109)	(615,183,772)	(455,558,905)
	1,816,088,290	574,787,890	504,354,699	(10,267,109)	(1,396,431,045)	1,490,020,229
Non Controlling Interest	–	–	–	–	282,755,192	282,755,192
Total Equity	1,816,088,290	574,787,890	504,354,699	(10,267,109)	(1,113,675,853)	1,772,775,526
Total Equity and Liabilities	3,201,347,880	2,809,627,481	1,062,294,178	19,277,057	(1,156,539,086)	5,936,007,430

The Notes on pages 81 to 149 are an integral part of these Consolidated Financial Statements.

Segmental Analysis – Statement of Profit or Loss and Other Comprehensive Income – 2017

Year Ended 31st December	Amāna Takaful PLC Rs.	Amāna Takaful Life PLC Rs.	Amāna Takaful Maldives PLC Rs.	Amāna Global Ltd. Rs.	Adjustments Rs.	Group Rs.
Gross Written Contribution (Premium)	1,792,031,034	792,173,604	1,056,430,458	–	–	3,640,635,096
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(378,254,928)	(26,823,377)	(387,825,957)	–	–	(792,904,261)
Net Written Contribution (Premium)	1,413,776,106	765,350,227	668,604,501	–	–	2,847,730,835
Add: Unearned Takaful Contribution (Premium) at the Beginning of the Year	425,687,689	–	110,683,783	–	–	536,371,472
Less: Unearned Takaful Contribution (Premium) at the End of the Year	(555,332,865)	(314,564)	(165,802,624)	–	–	(721,450,053)
Net Earned Contribution (Premium)	1,284,130,930	765,035,663	613,485,661	–	–	2,662,652,254
Other Income						
Income from Investments	111,637,172	253,100,870	27,024,548	734,166	(10,500,000)	381,997,687
Impairment Charges on Available-for-Sale Financial Instruments	–	–	–	–	–	–
Fair Value Gains and Losses	–	–	338,249	–	–	338,249
Other Operating Income	14,103,727	15,966,881	40,424,021	5,400,000	(5,400,000)	70,494,630
Total Revenue	1,409,871,829	1,034,103,415	681,272,479	6,134,166	(15,900,000)	3,115,482,819
Benefits, Losses and Expenses						
Takaful (Insurance) Claims and Benefits-Net	(694,025,443)	(423,475,426)	(362,173,207)	–	–	(1,479,674,077)
Acquisition Cost (Net of Reinsurance Commission)	(69,514,133)	(97,197,627)	(35,644,063)	–	–	(202,355,823)
Increase in Family Takaful (Long-Term Insurance) Fund	–	(40,535,552)	–	–	–	(40,535,552)
Less: Indirect Expenses						
Other Operating, Investment Related and Administration Expenses	(527,017,095)	(414,868,918)	(211,835,327)	(6,696,608)	5,400,000	(1,155,017,948)
Amortisation	(1,550,306)	(1,298,185)	(4,083,897)	–	1,562,500	(5,369,888)
Depreciation	(24,332,695)	(4,974,036)	(1,445,895)	–	–	(30,752,626)
Profit/(Loss) from Operations	93,432,157	51,753,671	66,090,089	(562,442)	6,962,500	201,776,906
Finance Cost	(30,710,869)	(1,162,129)	–	–	–	(31,872,998)
Profit/(Loss) Before Taxation	62,721,288	50,591,542	66,090,089	(562,442)	6,962,500	169,903,908
Income Tax	(142,500)	(759,963)	(13,823,623)	(173,838)	–	(14,899,924)
Profit/(Loss) for the period	62,578,787	49,831,579	52,266,467	(736,281)	6,962,500	155,004,218

The Notes on pages 81 to 149 are an integral part of these Consolidated Financial Statements.

Segmental Analysis – Statement of Financial Position – 2016

Year Ended 31st December	Amāna Takaful PLC Rs.	Amāna Takaful Life PLC Rs.	Amāna Takaful Maldives PLC Rs.	Amāna Global Ltd. Rs.	Adjustments Rs.	Group Rs.
Assets						
Intangible Assets	8,215,697	23,548,554	10,971,880	–	(6,078,024)	36,658,107
Property, Plant and Equipment	81,974,142	17,466,682	2,310,185	119,074	–	101,870,083
Deferred Tax Asset	97,594,408	–	6,736,467	–	–	104,330,875
Investment Property	78,500,000	–	–	–	–	78,500,000
Investment in Subsidiaries	1,074,322,352	–	–	43,122,540	(1,117,444,892)	–
Financial Assets	874,366,499	1,018,398,152	412,130,382	199,820	–	2,305,094,853
Retakaful (Reinsurance) Receivables	213,900,783	2,250,876	167,082,711	–	–	383,234,370
Contribution (Premium) Receivables	328,235,215	27,199,034	68,160,067	–	–	423,594,316
Other Assets	103,787,307	33,397,570	45,258,079	127,951	(12,500,000)	170,070,907
Other Assets – Unit Linked	–	32,055,415	–	–	–	32,055,415
Financial Assets – Unit Linked	–	1,441,276,268	–	–	–	1,441,276,268
Related Party Receivable	196,140	5,356,660	845,466	–	(6,398,266)	–
Call Deposit	–	13,698,184	–	–	–	13,698,184
Cash and Bank Balances	78,897,531	20,758,435	255,479,971	39,945	–	355,175,882
Cash and Bank Balances – Unit Linked	–	72,192,842	–	–	–	72,192,842
Total Assets	2,939,990,074	2,707,598,672	968,975,208	43,609,330	(1,142,421,182)	5,517,752,102
Liabilities						
Insurance Contract Liabilities – Non-Life	650,675,481	–	267,194,893	–	–	917,870,374
Insurance Contract Liabilities – Family Takaful Fund	–	559,913,844	–	–	–	559,913,844
Insurance Contract Liabilities – Family Takaful – Unit Linked	–	1,504,144,873	–	–	–	1,504,144,873
Employee Benefits	23,997,243	4,316,884	10,431,332	125,636	–	38,871,095
Deferred Tax Liability	–	–	–	–	–	23,997,243
Other Liabilities – Unit Linked	–	50,315,576	–	–	–	50,315,576
Short-Term Borrowings	87,657,018	–	–	–	–	87,657,018
Other Liabilities	169,215,867	59,189,422	227,955,432	21,369,637	(12,499,999)	465,230,356
Subordinated Debt	200,000,000	–	–	–	–	200,000,000
Finance Lease Liability	6,302,143	6,200,918	–	–	–	12,503,061
Related Party Payable	5,356,660	–	196,140	845,466	(6,398,266)	–
Bank Overdrafts	38,493,174	–	–	2,399,018	–	40,892,192
Total Liabilities	1,181,697,583	2,184,081,517	505,777,797	24,739,759	(18,898,267)	3,877,398,389
Shareholders' Equity						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	1,860,001,339	500,000,000	202,370,719	37,125,000	(739,495,719)	1,860,001,339
Other Reserves	34,331,677	120,142	93,751,553	–	(42,334,026)	85,869,346
Revenue Reserves	(136,040,525)	23,397,013	167,075,139	(18,255,429)	(603,605,761)	(567,429,563)
	1,758,292,491	523,517,155	463,197,411	18,869,571	(1,385,435,506)	1,378,441,122
Non-Controlling Interest	–	–	–	–	261,912,591	261,912,591
Total Equity	1,758,292,491	523,517,155	463,197,411	18,869,571	(1,123,522,915)	1,640,353,713
Total Equity and Liabilities	2,939,990,074	2,707,598,672	968,975,208	43,609,330	(1,142,421,182)	5,517,752,102

The Notes on pages 81 to 149 are an integral part of these Consolidated Financial Statements.

Segmental Analysis – Statement of Profit or Loss and Other Comprehensive Income – 2016

Year Ended 31st December	Amāna Takaful PLC Rs.	Amāna Takaful Life PLC Rs.	Amāna Takaful Maldives PLC Rs.	Amāna Global Ltd. Rs.	Adjustments Rs.	Group Rs.
Gross Written Contribution (Premium)	1,618,163,799	820,725,085	968,014,905	–	–	3,406,903,789
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(387,443,446)	(18,204,267)	(490,629,766)	–	–	(896,277,479)
Net Written Contribution (Premium)	1,230,720,353	802,520,818	477,385,139	–	–	2,510,626,310
Add: Unearned Takaful Contribution (Premium) at the Beginning of the Year	480,215,431	8,346,453	86,718,745	–	–	575,280,629
Less: Unearned Takaful Contribution (Premium) at the End of the Year	(425,687,690)	(4,811,475)	(106,610,638)	–	–	(537,109,803)
Net Earned Contribution (Premium)	1,285,248,094	806,055,796	457,493,246	–	–	2,548,797,136
Other Income						
Impairment charges on Available-for-Sale Financial Instruments	–	–	(36,486,513)	–	–	(36,486,513)
Income from Investments	128,007,396	201,646,516	31,483,908	1,439,035	(54,783,827)	307,793,028
Other Operating Income	11,471,256	18,364,941	32,408,572	5,237,536	(6,000,000)	61,482,305
Total Revenue	1,424,726,746	1,026,067,253	484,899,213	6,676,571	(60,783,827)	2,881,585,956
Fair Value Gains and Losses	855,979	2,777,644	410,250	–	–	4,043,873
Fair Value of Investment Transferred	–	–	–	–	–	–
Total Revenue Including Fair Value of Investment Transferred	1,425,582,725	1,028,844,897	485,309,463	6,676,571	(60,783,827)	2,885,629,829
Benefits, Losses and Expenses						
Takaful (Insurance) Claims and Benefits-Net	(876,718,422)	(320,181,335)	(241,445,756)	–	–	(1,438,345,513)
Acquisition Cost (Net of Reinsurance Commission)	(82,238,893)	(108,237,419)	(48,038,809)	–	–	(238,515,121)
Increase in Family Takaful (Long-Term Insurance) Fund	–	(301,047,944)	–	–	–	(301,047,944)
Less: Indirect Expenses						
Other Operating, Investment Related and Administration Expenses	(548,247,665)	(256,840,224)	(171,117,416)	(9,004,804)	6,000,000	(979,210,109)
Amortisation	(1,331,931)	(1,138,797)	(3,571,313)	(114,589)	1,562,500	(4,594,130)
Depreciation	(25,738,149)	(4,526,507)	(1,630,464)	(598,507)	–	(32,493,627)
Profit/(Loss) from Operations	(108,692,335)	36,872,671	19,505,705	(3,041,329)	(53,221,327)	(108,576,615)
Finance Cost	(30,481,030)	(1,181,605)	–	–	–	(31,662,635)
Profit/(Loss) Before Taxation	(139,173,365)	35,691,066	19,505,705	(3,041,329)	(53,221,327)	(140,239,250)
Income Tax	–	–	(4,919,046)	–	(1,000,000)	(5,919,046)
Profit/(Loss) for the period	(139,173,365)	35,691,066	14,586,659	(3,041,329)	(54,221,327)	(146,158,296)

The Notes on pages 81 to 149 are an integral part of these Consolidated Financial Statements.

Statement of Financial Position of Family Takaful (Life Insurance) – Supplemental

Year Ended 31st December	2017 Rs.	2016 Rs.
Assets		
Intangible Assets	22,250,369	23,548,554
Property, Plant and Equipment	21,164,995	17,466,682
Financial Assets	1,040,576,008	1,050,453,567
Retakaful (Reinsurance) Receivables	250,000	2,250,876
Contribution (Premium) Receivables	33,059,196	27,199,034
Other Assets	28,816,882	33,397,570
Financial Assets – Unit Linked	1,526,678,553	1,473,331,682
Cash and Bank Balances	129,461,474	34,456,619
Cash and Bank Balances – Unit Linked	7,370,003	72,192,842
Total Assets	2,809,627,481	2,707,598,672
Liabilities		
Insurance Contract Liability – Family Takaful Fund	580,710,123	559,913,844
Insurance Contract Liability – Family Takaful – Unit Linked	1,525,135,501	1,504,144,873
Employee Benefits	6,013,000	4,316,884
Other Liabilities – Unit Linked	51,844,853	50,315,576
Other Liabilities	67,001,273	59,189,422
Finance Lease Liability	5,134,842	6,200,918
Total Liabilities	2,235,839,592	2,184,081,517
Shareholders' Equity		
Stated Capital	500,000,000	500,000,000
Other Reserves	(1,544,774)	120,142
Accumulated Profit	75,332,664	23,397,013
Total Equity	573,787,890	523,517,155
Total Equity and Liabilities	2,809,627,481	2,707,598,672

Notes to the Financial Statements

1. Corporate Information

1.1 General

Amāna Takaful PLC ("Company") is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 660 – 1/1, Galle Road, Colombo 03.

The shares of the Company are listed on the Secondary Board of the Colombo Stock Exchange.

These Consolidated Financial Statements comprise the Company and its subsidiaries (collectively the "Group" and individually "Group companies").

1.2 Principal Activities and Nature of Operations

Company

During the year, the principal activity of the Company was General Takaful Insurance Business.

Subsidiary

The principal activity of Amāna Global Ltd. (100% stake) is providing services such as Technical Support, Research and Development, under Section 17 of the Board of Investment of Sri Lanka Law No. 4 of 1978.

Amāna Takaful (Maldives) PLC, which is a subsidiary (51.39% directly and 3.61% indirectly through Amāna Global Ltd.), Amāna Takaful PLC was incorporated to carry out Insurance Business in the Republic of Maldives and has obtained license from Maldivian Monetary Authority on 4th March 2010 to carry out General Takaful Business.

Amāna Takaful Life PLC (90% stake) was incorporated on 10th July 2014 in which principal activity of the Company is Life takaful insurance .

1.3 Date of Authorisation for issue

The Consolidated and Separate Financial Statements of Amāna Takaful PLC for the year ended 31st December 2017 was authorised for issue by the Board of Directors on 5th April 2018.

1.4 Responsibility for Financial Statements

The Board of Directors is responsible for these Financial Statements.

2. Basis of Preparation

The Group's Statement of Financial Position represents the assets, liabilities and equity of General Takaful (Non-Life Insurance), Family Takaful (Life Insurance) and Shareholders' Fund. The Family Takaful (Life Insurance) Fund Statement of Financial Position represents assets and liabilities of the Family Takaful (Life Insurance) Fund.

The Group's Statement of Financial Position includes the assets and liabilities of Amāna Global Ltd., Amāna Takaful (Maldives) PLC and Amāna Takaful Life PLC.

The Group's Statement of Profit or loss and Other Comprehensive Income reflects the underwriting results of General Takaful business, surplus from Family Takaful business and investment and other income of General Takaful, Family Takaful and Shareholders' Funds and related expenses. The results of Amāna Global Ltd., Amāna Takaful (Maldives) PLC and Amāna Takaful Life PLC, are also included in the Group Statement of Profit or loss and Other Comprehensive Income.

Financial assets and financial liabilities are offset and the net amount reported in the Consolidated Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously.

2.1 Statement of Compliance

The Consolidated Statement of Financial Position, the Consolidated Statement of Profit or Loss and Other Comprehensive Income, Changes in Equity and Cash Flows, together with accounting policies and notes, ("Financial Statements") as at and for the year then ended, have been prepared in accordance with Sri Lanka Accounting Standards (hereinafter referred to as SLFRS/LKAS) as issued by The Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka), and comply with the requirements of the Companies Act No. 07 of 2007, the Regulation of Insurance Industry Act No. 43 of 2000 and amendments thereto.

Notes to the Financial Statements

2.2 Basis of Measurement

The Consolidated and Separate Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

- Motor vehicles included in Property, Plant and Equipments measured at fair value
- Financial instruments at fair value through profit or loss are measured at fair value
- Available-for-sale financial assets are measured at fair value
- Investment properties, which are measured at fair value
- Policyholders' liabilities have been measured at actuarial determined values
- The liability for defined benefit obligations are actuarially valued and recognised at the present value

The Group presents its Statement of Financial Position broadly in the order of liquidity.

2.3 Functional and Presentation Currency

These consolidated and separate Financial Statements are presented in Sri Lankan Rupees (Rs.), which is the Company's functional and presentation currency.

2.4 Use of Estimates and Judgements

In the process of applying the Group accounting policies, Management is required to make judgements, apart from those involving estimations, which has the most significant effect on the amounts recognised in the Consolidated Financial Statements. Further, Management is required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The respective carrying amounts of assets and liabilities are given in related Notes to the Consolidated and Separate Financial Statements. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

The key items as such are discussed below:

2.4.1 Assumption and Estimation Uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31st December 2017 is included in the following Notes:

2.4.1.1 Note 7 – Investment Property

The Group has determined the fair value of its investment properties based on the valuation reports submitted by P. P. T. Mohideen (FIV, MRICS). The fair value is determined, taking into consideration the situation, location infrastructure facilities, amenities available, present market value of close properties etc.

2.4.1.2 Actuarial Valuations of the Insurance Provisions

The valuation of long-term Insurance Provision and General Insurance Provisions were carried out by Zainal Abidin Mohd Kassim (BSc, FIA, ASA) of Actuarial Partners Consulting Sdn Bhd. (formerly known as Mercer Zainal Consulting Sdn Bhd), Malaysia and NMG Consulting respectively.

(i) Note 18 – General Insurance Provision

Non-life insurance contract liabilities are recognised when contracts are entered into and premiums are charged. These liabilities are known as the outstanding claims provision, which are based on the estimated ultimate cost of all claims incurred but not settled at the reporting date, whether reported or not, together with related claims handling costs and reduction for the expected value of salvage and other recoveries. Delays can be experienced in the notification and settlement of certain types of claims, therefore the ultimate cost of these cannot be known with certainty at the reporting date. This calculation uses current estimates of future contractual cash flows, after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions. If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognised in the Statement of Profit or Loss and Other Comprehensive Income by setting up a provision for liability adequacy. The liability is not discounted for the time value of money. No provision for equalisation or catastrophe reserves is recognised. The liabilities are derecognised when the contract expires, is discharged or is cancelled.

The provision for unearned premiums represents premiums received for risks that have not yet expired. Generally, the reserve is released over the term of the contract and is recognised as premium income. At each reporting date, the Group reviews its unexpired risk and a liability adequacy test is performed to determine whether there is any overall excess of expected claims and over unearned premiums. This calculation uses current estimates of future contractual cash flows after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions.

If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognised in the Statement of Profit or Loss and Other Comprehensive Income by setting up a provision for liability adequacy.

Notes to the Financial Statements

(ii) Note 19 – Long-Term Insurance Provision – (Family Takaful Fund)

Life insurance liabilities are recognised when contracts are entered into and premiums are receivable. At each reporting date, an assessment is made of whether the recognised life insurance liabilities are adequate by using a liability adequacy test.

Significant estimates and assumptions made in respect of actuarial valuations have been disclosed in the Note 19.3 to the Financial Statements.

2.4.1.3 Note 20 – Employee Benefits

The defined benefit obligation and the related charge for the year are determined using assumptions required under actuarial valuation techniques. The valuation involves making assumptions about discount rates, future salary increases, staff turnover rates etc. Due to the long-term nature of such obligations these estimates are subject to significant uncertainty.

2.4.1.4 Note 35.2 – Deferred Tax Asset

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the best estimate of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

2.4.1.5 Note 8 – Investment in Subsidiaries**Fair Value of Investment Transferred**

The determination of fair value of investment transferred recorded on the Statement of Profit or Loss and Other Comprehensive Income and the corresponding entry being recorded in investment in subsidiary on the Statement of Financial Position is determined using a variety of valuation techniques that include the use of mathematical techniques. The inputs to these models are derived from observable market data where possible, but if this is not available, judgement is required to establish their fair values. The Board of Directors decided the fair value of share based on different valuation techniques.

2.5 Measurement of Fair Values

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e., derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following Notes:

- Note 6 – Property, Plant and Equipment
- Note 7 – Investment Property
- Note 9 and 13 – Financial Assets

2.6 Segment Reporting

A segment is a distinguishable component of the Group engaged in providing services, subject to risks and rewards that are different to those of other segments.

Segmental information is based on industry segments reflecting the Group's Management structure.

Segmentation has been determined, based on the activities of the companies or sectors into which the product or services are sold. The primary format is based on the core business, General, Family and Fund Management Services of Shareholders' Fund and Technical Services.

Inter-segment transactions are based on fair market prices.

Notes to the Financial Statements

Expenses directly identified to a particular segment, are charged accordingly. Expenses that cannot be directly identified to a particular segment, are allocated on basis decided by the Management and applied consistently throughout the period.

The Group's activities are located mainly in Sri Lanka and Maldives. Consequently, assets and liabilities by geographic region are considered not material to be disclosed.

2.7 Going Concern

The Directors, after making necessary inquiries and reviews of the Group's financial performance, position, future cash flows and potential borrowing facilities, have a reasonable expectation that the Group has adequate resources to continue as "a going concern" in the foreseeable future. Furthermore, Directors are not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern. Therefore, the Financial Statements continue to be prepared on the going concern basis.

There are no going concern issues identified during the current financial year 2017.

3. Summary of Significant Accounting Policies

The Group has consistently applied the following accounting policies to all periods presented in these Consolidated and Separate Financial Statements.

The comparative information has been re-classified wherever necessary to conform with the current year's presentation in order to provide a better presentation.

3.1 Basis of Consolidation

3.1.1 Business Combinations

The Group accounts for business combinations using the acquisition method when control is transferred to the Group. The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognised in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss.

Any contingent consideration payable is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the fair value of the contingent consideration are recognised in profit or loss.

3.1.2 Non-Controlling Interests (NCI)

Non-Controlling Interests are measured at their proportionate share of the acquiree's identifiable net assets at the acquisition date.

Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

3.1.3 Subsidiaries

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The Financial Statements of subsidiaries are included in the Consolidated Financial Statements from the date on which control commences until the date on which control ceases.

3.1.4 Loss of Control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related Non-Controlling Interests and other components of equity. Any resulting gain or loss is recognised in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

3.1.5 Transactions Eliminated on Consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated.

3.1.6 Common Control Transactions

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses ultimately are controlled by the same party or parties both before and after the combination, and that control is not transitory.

Notes to the Financial Statements

The acquirer of the common control transaction applies book value accounting for all common control transactions.

In applying book value accounting, no entries are recognised in profit or loss; instead, the result of the transaction is recognised in equity as arising from a transaction with shareholders.

3.1.7 Common Control Transactions in Separate Financial Statements

When an investment in a subsidiary, associate or joint venture is acquired in a common control transaction, the investment shall be measured at the fair value of the consideration given (be it cash, other assets or additional shares) plus, where applicable any costs directly attributable to the acquisition.

When the purchase consideration does not correspond to the fair value of the investment acquired, the transaction shall be recorded at fair value, irrespective of the actual consideration; any difference between fair value and agreed consideration will be a contribution to or a distribution of equity for a subsidiary, or an increase in the investment held or a distribution received by the Parent.

3.2 Foreign Currency

3.2.1 Foreign Currency Transactions

Transactions in foreign currencies are translated to the respective functional currencies of Group companies at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the exchange rate at the reporting date.

Non-monetary assets and liabilities that are measured at fair value in a foreign currency, are translated to the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured, based on historical cost in a foreign currency, are translated using the exchange rates as at the dates of the initial transactions.

Foreign currency differences are generally recognised in profit or loss.

However, foreign currency differences arising from the translation of available-for-sale equity investments (except on impairment, in which case foreign currency differences that have been recognised in Other Comprehensive Income, are reclassified to profit or loss); are recognised in Other Comprehensive Income:

3.2.2 Foreign Operations

The assets and liabilities of overseas subsidiaries deemed as foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated into Sri Lankan Rupees at the exchange rates at the reporting date. The income and expenses of foreign operations are translated into Sri Lankan Rupees at the exchange rates at the dates of the transactions.

Foreign currency differences are recognised in Other Comprehensive Income and accumulated in the translation reserve, except to the extent that the translation difference is allocated to Non-Controlling Interests.

When a foreign operation is disposed of in its entirety or partially, such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. If the Group disposes of part of its interest in a subsidiary but retains control, then the relevant proportion of the cumulative amount is reattributed to Non-Controlling Interests.

If the settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely to occur in the foreseeable future, then foreign currency differences arising from such item form, part of the net investment in the foreign operation. Accordingly, such differences are recognised in Other Comprehensive Income and accumulated in the translation reserve.

3.3 Income Tax

Income tax expense comprises current and deferred tax. It is recognised in profit or loss except to the extent that it relates to a business combination, or items recognised directly in equity or in Other Comprehensive Income.

3.3.1 Current Taxes

Current income tax assets and liabilities for the current and prior periods, are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue. The tax rates and tax laws used to compute the amount, are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure, as reported in the Consolidated and Separate Financial Statements and computed in accordance with the provisions of the Inland Revenue Act No. 10 of 2006 and the amendments thereto.

Notes to the Financial Statements

3.3.2 Deferred Taxation

Deferred income tax is provided, using the liability method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax assets and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

3.4 Intangible Assets

3.4.1 Goodwill

Goodwill arising on the acquisition of subsidiaries is measured at the acquisition date as –

- the fair value of the consideration transferred; plus
- the recognised amount of any non-controlling interests in the acquiree; plus
- if the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree; less
- the net recognised amount (fair value) of the identifiable assets acquired and liabilities assumed.

Subsequently, Goodwill is measured at cost less accumulated impairment losses.

Goodwill is reviewed for impairment, annually or more frequently if event or changes in circumstances indicate that the carrying value may be impaired.

3.4.2 Research and Development

Expenditure on development activities is capitalised only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable and the Group intends to and has sufficient resources to complete development and to use or sell the asset. Subsequent to initial recognition, development expenditure is measured at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is recognised in the Statement of Profit or Loss and Other Comprehensive Income on a systematic basis over 20 years to reflect the pattern in which the related economic benefits are recognised.

Research and other development expenditure is recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year it is incurred.

3.4.3 Other Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. Following the initial recognition of the intangible assets, the cost model is applied, requiring the assets to be carried at cost less any accumulated amortisation and accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate and treated as changes in accounting estimates.

The amortisation expense on intangible assets with finite lives is recognised in the Statement of Profit or Loss and Other Comprehensive Income in the expense category consistent with the nature of the intangible asset. Amortisation commences when the assets were available for use.

The useful lives and the amortisation methods of intangible assets with finite lives are as follows:

Class	Useful Life	Amortisation Method
Computer Software	08-20 years	Straight-line method

Notes to the Financial Statements

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit or Loss and Other Comprehensive Income when the asset is derecognised.

3.5 Prepaid Expenditure

Expenditure which is deemed to have a benefit or relationship to more than one financial year is classified as prepaid expenditure. Such expenditure is written off over the period to which it relates, on a straight-line basis.

3.6 Salvage Stock

Salvage Stocks are valued at since realised/realisable value.

3.7 Retakaful (Reinsurance) and Contribution (Premium) Receivable

The Group cedes insurance risk, in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each reporting date or more frequently when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Group may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Group will receive from the reinsurer. The impairment loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group also assumes reinsurance risk in the normal course of business for life insurance and non-life insurance contracts where applicable. Premiums and claims on assumed reinsurance are recognised as revenue or expenses in the same manner as they would be, if the reinsurance were considered direct business, taking into account the product classification of the reinsured business.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance.

Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expired or when the contract is transferred to another party.

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the Statement of Profit or Loss and Other Comprehensive Income.

3.8 Other Assets and Receivables

Other assets and receivables are stated at their estimated realisable value.

3.9 Property, Plant and Equipment

3.9.1 Cost

The Property, Plant and Equipment are stated at cost (except for motor vehicles) less accumulated depreciation and any accumulated impairment losses.

The cost of Property, Plant and Equipment is the cost of acquisition or construction, together with any expenses incurred in bringing the asset to its working condition for its intended use.

When parts of an item of Property, Plant and Equipment have different useful lives, they are accounted for as separate items (major components) of Property, Plant and Equipment.

Expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business has been treated as capital expenditure.

The Group has revalued its entire class of motor vehicles as at 31st December 2015 and has carried it at the revalued amount in the Consolidated and Separate Statement of Financial Position. The motor vehicles are revalued every three years on a rollover basis to ensure that the carrying amounts do not differ materially from the fair value at the reporting date.

An item of Property, Plant and Equipment is derecognised upon disposal or when no future economic benefits are expected from its use. Any gain or losses arising on derecognition of the asset is included in the Statement of Profit or Loss and Other Comprehensive Income in the year the asset is derecognised.

Notes to the Financial Statements

3.9.2 Restoration Cost

Expenditure incurred on repairs or maintenance of Property, Plant and Equipment in order to restore or maintain the future economic benefits expected from originally assessed standard of performance, is recognised in the Statement of Profit or Loss and Other Comprehensive Income as an expense when incurred.

3.9.3 Depreciation

The provision for depreciation is calculated by using a straight-line method on the cost or revalued amount of all Property, Plant and Equipment, in order to write-off such amounts less their estimated residual values over the estimated useful economic lives. Leased assets are depreciated over the shorter of the lease term and their useful lives, unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives of Property, Plant and Equipment are as follows:

Class	Useful Life
Motor Vehicles	04 – 05 Years
Computer Equipment	03 – 05 Years
Other Equipment	04 – 05 Years
Furniture and Fittings	05 – 10 Years
Leasehold Vehicle	04 – 05 Years

The Group provides depreciation from the date the assets are available for use, up to the date of disposal.

3.10 Leases

3.10.1 Finance Leases – Where the Group is the Lessee

Property, Plant and Equipment on finance leases, which effectively transfer to the Group substantially all risks and benefits incidental to ownership of the leased item are capitalised at the inception of the lease at the fair value of the leased property or, if lower, at the present value of the minimum lease payments. Capitalised leased assets are disclosed as Property, Plant and Equipment and depreciated consistently with that of owned assets, as described under Property, Plant and Equipment.

The corresponding principal amount payable to the lessor, together with the finance cost payable over the period of the lease is shown as a liability. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant periodic rate of finance cost on the remaining balance of the liability.

The cost of improvements to or on leasehold property is capitalised, disclosed as leasehold improvements and depreciated over the unexpired period of the lease or the estimated useful lives of the improvements, whichever is shorter.

3.10.2 Operating Leases

Leases where the lessor effectively retains substantially all risks and benefits of ownership over the leased term, are classified as operating leases.

Lease payments (excluding costs for services such as insurance and maintenance) paid under operating leases are recognised as an expense in the Statement of Profit or Loss and Other Comprehensive Income on a straight-line basis over the lease term.

3.11 Financial Assets

The Group classifies non-derivative financial assets into the following categories: financial assets at Fair Value Through Profit or Loss, Loans and Receivables and Available-for-Sale financial assets.

The Group classifies non-derivative financial liabilities into the Other Financial Liabilities category.

The classification depends on the purpose for which the investments were acquired or originated. Financial assets are classified as at fair value through profit or loss where the Group's documented investment strategy is to manage financial investments on a fair value basis, because the related liabilities are also managed on this basis. The available-for-sale and held-to-maturity categories are used when the relevant liability (including shareholders' funds) is passively managed and/or carried at amortised cost.

The Group's financial assets include cash and short-term deposits, trade and other receivables, loan and other receivables, quoted and unquoted financial instruments, and derivative financial instruments.

Notes to the Financial Statements

The Group's existing types of financial instruments and their classifications are shown in the table below:

Financial Asset	Category
Treasury Bonds	Available for Sale
Treasury Bills	Loans and Receivables
Equity Shares	Fair Value Through Profit or Loss and Available for Sale
Unit Trust	Available for Sale
Term Deposits/ Mudharabah Deposits	Loans and Receivables
Loans and Receivable	Loans and Receivables

Financial Liability	Category
Murabaha Facility	Other Financial Liabilities

3.11.1 Recognition of Financial Assets

The Group initially recognises loans and receivables on the date that they are originated. All other financial assets (including assets designated as at fair value through profit or loss) are recognised initially on the trade date, which is the date that the Group becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are offset and the net amount presented in the Consolidated and Separate Statement of Financial Position when, and only when, the Group has a legal right to offset the amounts and intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

3.11.2 Measurement

(a) Financial Assets at Fair Value Through Profit or Loss

Financial assets at fair value through profit or loss include financial assets held for trading and those designated at fair value through profit or loss at inception. Investments typically bought with the intention to sell in the near future are classified as held for trading. For investments designated as at fair value through profit or loss, the following criteria must be met:

The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on a different basis; or

The assets and liabilities are part of a group of financial assets, financial liabilities or both which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

These investments are initially recorded at fair value. Directly attributable transaction costs are recognised in the Statement of Profit or Loss and Other Comprehensive Income as incurred. Subsequent to initial recognition, these investments are remeasured at fair value. Fair value adjustments and realised gain and loss are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

(b) Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These investments are initially recognised at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortised cost, using the effective interest rate method. Gains and losses are recognised in the Statement of Profit or Loss and Other Comprehensive Income when the investments are derecognised or impaired, as well as through the amortisation process.

(c) Cash and Cash Equivalents

Cash and cash equivalents are defined as cash in hand, demand deposits and short-term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of Cash Flow Statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts. Investments with short maturities i.e., three months or less from the date of acquisition are also treated as cash equivalents. Interest and dividend received are classified as operating cash flows.

(d) Available-for-Sale Financial Assets

Available-for-sale financial assets are non-derivative financial assets that are designated as available-for-sale or are not classified in any of the three preceding categories. These investments are initially recorded at fair value plus any directly attributable transaction costs. After initial measurement, available-for-sale financial assets are measured at fair value.

Fair value gains and losses are reported as a separate component in other comprehensive income and accumulated in the available-for-sale reserve until the investment is derecognised or the investment is determined to be impaired.

On derecognition or impairment, the cumulative fair value gains and losses, previously reported in equity, are transferred to the Statement of Profit or Loss and Other Comprehensive Income.

Notes to the Financial Statements

(e) Other Financial Liabilities

Other financial liabilities are non-derivative financial liabilities, which are initially recognised at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these liabilities are measured at amortised cost using the effective interest method.

3.12 Impairment of Financial Assets

Financial assets, not classified as at fair value through profit or loss, are assessed at each reporting date to determine whether there is objective evidence of impairment.

Objective evidence that financial assets are impaired includes:

- default or delinquency by a debtor;
- restructuring of an amount due to the Group on terms that the Group would not consider otherwise;
- indications that a debtor or issuer will enter bankruptcy;
- adverse changes in the payment status of borrowers or issuers;
- the disappearance of an active market for a security; or
- observable data indicating that there is measurable decrease in expected cash flows from a group of financial assets.

(a) Assets Carried at Amortised Cost

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment. The impairment assessment is performed at each reporting date.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed.

Any subsequent reversal of an impairment loss is recognised in the Statement of Profit or Loss and Other Comprehensive Income, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date.

(b) Available-for-Sale Financial Assets

If an available-for-sale financial asset is impaired, an amount comprising the difference between its costs (net of any principal repayment and amortisation) and its current fair value, less any impairment loss previously recognised in other comprehensive income, is transferred from equity to the Statement of Profit or Loss and Other Comprehensive Income. Reversals in respect of equity instruments classified as available-for-sale are not recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Reversals of impairment losses on debt instruments classified at available for sale are reversed through the Statement of Profit or Loss and Other Comprehensive Income if the increase in the fair value of the instruments can be objectively related to an event occurring after the impairment losses were recognised in the Statement of Profit or Loss and Other Comprehensive Income.

(c) Financial Assets Carried at Cost

If there is objective evidence that an impairment loss has been incurred on an unquoted equity instrument, that is not carried at fair value because its fair value cannot be reliably measured, or on a derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the impairment loss is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

3.13 Derecognition of Financial Assets

A financial asset (or, when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when,

- The rights to receive cash flows from the asset have expired;
- The Group retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a "pass-through" arrangement;
- The Group has transferred its rights to receive cash flows from the asset and either;
- Has transferred substantially all the risks and rewards of the asset; or
- Has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

Notes to the Financial Statements

When the Group has transferred its right to receive cash flows from an asset and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Group's continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

When continuing involvement takes the form of a written and/or purchased option (including cash settled option or similar provision) on the transferred asset, the extent of the Group's continuing involvement is the amount of the transferred asset that the Group may repurchase, except that, in the case of a written put option (including a cash settled option or similar provision) on an asset measured at fair value, the extent of the Group's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire.

3.14 Investment Properties

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the costs of day-to-day servicing of an investment property.

Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair value of investment properties are included in the Statement of Profit or Loss and Other Comprehensive Income in the year in which they arise. Valuation of investment property by a professional valuer is carried out every year.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under Property, Plant and Equipment up to the date of change.

3.15.1 Liabilities

All known liabilities have been accounted for in preparing the Consolidated and Separate Financial Statement.

3.15.2 Provisions (Excluding Insurance Contracts)

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

3.16 Employee Benefits

3.16.1 Defined Benefit Plan – Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the Consolidated and Separate Financial Statements in respect of defined benefit plans is the present value of the defined benefit obligation as at the reporting date. The defined benefit obligation is calculated by a qualified actuary as at the reporting date using the Projected Unit Credit (PUC) method as recommended by LKAS 19 – "Employee Benefits".

However, under the Payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service. The Group is liable to pay gratuity in terms of relevant statute. In order to meet this liability, a provision is carried forward in the Consolidated and Separate Statement of Financial Position.

The item is stated under defined benefit liability in the Consolidated and Separate Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains or losses are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the period in which they arise.

Recognition of Past Service Cost

Past service costs are recognised as an expense on a straight-line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of, or changes to the plan, past service costs are recognised immediately.

Funding Arrangements

The gratuity liability is not externally funded.

Notes to the Financial Statements

3.16.2 Defined Contribution Plans – Employees’ Provident Fund and Employees’ Trust Fund

Employees are eligible for Employees’ Provident Fund contributions and Employees’ Trust Fund contributions in-line with the respective statutes and regulations. The Group contributes 12% and 3% of gross emoluments of employees to Employees’ Provident Fund and Employees’ Trust Fund respectively.

3.16.3 Short-Term Employee Benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid, if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

3.17 Impairment of Non-Financial Assets

The Group assesses at each reporting date, whether there is an indication that an asset may be impaired. If any such indication exists or when annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Impairment losses of continuing operations are recognised in the Statement of Profit or Loss and Other Comprehensive Income in those expense categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to equity. In this case, the impairment is also recognised in equity up to the amount of any previous revaluation.

For assets, an assessment is made at each reporting date, as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount, since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal

is recognised in the Statement of Profit or Loss and Other Comprehensive Income, unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

3.18 General Takaful Business (Non-Life Insurance Business)

3.18.1 Gross Written Contribution (Gross Written Premium)

Contributions (Premiums) are recognised earlier of the entity being on risk to provide coverage to the policyholders for insured event and the signing of the insurance contract. Upon inception of the contract, contributions (premiums) are recorded as written and are earned primarily on a pro rata basis over the term of the related policy coverage. However, for those contracts for which the period of risk differs significantly from the contract period, contributions (premiums) are earned over the period of risk in proportion to the amount of insurance protection provided.

3.18.2 Unearned Contribution (Premium)

The Unearned Contribution (Premium) Reserve represents the portion of the contributions (premiums) written in a year but relating to the unexpired terms of coverage.

The Unearned Premium is calculated applying 1/365 method on the net premium (Gross Written Premium minus Reinsurance and Management Fee).

3.18.3 Unexpired Risk

Provision is made where appropriate for the estimated amount required over and above unearned contribution (premium) to meet future claims and related expenses on the business in force as at 31st December.

3.18.4 Outward Retakaful (Reinsurance)

Contribution (premium) ceded to Retakaful companies (Reinsurers), is recognised as an expense in accordance with the pattern of Retakaful (Reinsurance) service received.

3.18.5 Claims

General insurance, include all claims occurring during the year, whether reported or not, related internal and external claims handling costs that are directly related to the processing and settlement of claims, a reduction for the value of salvage and other recoveries and any adjustments to claims outstanding from previous years.

Claims expense and liability for outstanding claims are recognised in respect of direct and inward Retakaful (reinsurance) business. The liability covers claims reported but not yet paid, Incurred But Not Reported claims ("IBNR") and the anticipated direct and indirect costs of settling those claims. Claims outstanding are assessed by review of individual claim files and estimating changes in the ultimate cost of settling claims. The provision in respect of IBNR is actuarially valued to ensure a more realistic

Notes to the Financial Statements

estimation of the future liability, based on past experience and trends. Whilst the Directors consider that the provision for claims are fairly stated on the basis of information currently available, the ultimate liability will vary as a result of subsequent information and events. This may result in adjustments to the amount provided. Such amount is reflected in the Consolidated and Separate Financial Statements for that period. The methods used and estimates made are reviewed regularly.

3.18.6 Deferred Acquisition Cost and Deferred Income

Acquisition cost/income is directly attributable to the profit or loss when policy is underwritten.

3.19 Family Takaful Business (Long-Term Insurance Business)

3.19.1 Takaful Contribution (Premium)

Contributions (premiums) from Family Takaful (traditional life insurance) contracts, including participating contracts and annuity policies with life contingencies, are recognised as revenue when payable by the policyholder. Benefits and expenses are provided against such revenue to recognise profits over the estimated life of the policies.

Moreover, for single contribution (premium) contracts, contributions (premiums) are recorded as income when received with any excess profit deferred and recognised in income in a constant relationship to the insurance in force or, for annuities, the amount of expected benefit payments.

3.19.2 Retakaful Contracts (Reinsurance Contracts)

Outward Retakaful contributions (reinsurance premiums) are recognised when payable. Retakaful (Reinsurance) recoveries are credited to match the relevant gross claims.

3.19.3 Claims

Death claims are recorded on the basis of notifications received. Maturities are recorded when due. Claims on participating business include profit. Claims payable include direct costs of settlement.

The interim payments (Part withdrawals) and surrenders are accounted only at the time of settlement.

3.19.4 Technical Provisions – Family Takaful Business Provision and Provision for Linked Liabilities

The Directors agree to the Family Takaful (long-term insurance) business provisions for the Group on the recommendation of reporting Actuary, following his annual investigation of the Family Takaful (life insurance) business.

The Actuary's valuation takes into account of all liabilities including contingent liabilities and is based on the assumptions recommended by the Consultant Actuary.

3.20 Revenue Recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue and associated costs incurred or to be incurred, can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue:

3.20.1 Wakala Fee (Agency/Management Fee)

3.20.1.1 Wakala Fee (Agency/Management fee) on Takaful Contribution (Insurance Premium)

The Shareholders' Fund is entitled for management fee on every Takaful Contribution (insurance premium) received in respect of the business received during the year on following basis:

General Takaful (Insurance) Business

The Shareholders' Fund is entitled for a management fee on contribution (premium) of General Takaful (insurance) certificates. However, the Shareholders' Fund has charged a reduced management fee at the rates given below in order strengthen the General Takaful (insurance) Fund.

Medical Takaful (Insurance) Policies	32.5%
All other General Takaful (Insurance) Policies	20% - 50%

Family Takaful (Life Insurance) Business

The management fee is charged on contribution of Family Takaful Certificates, at the following rates:

Family Takaful Products	First Year	80%
	Second Year	45%
	Third Year and After	02%
Mortgage Family Takaful (Insurance) Policies		20%
Group Family Takaful (Insurance) Policies		30%

3.20.1.2 Wakala Fee (Agency/Management Fee) on Investment Income

The Shareholders' Fund is entitled for agency fee of 50% on net investment income.

Notes to the Financial Statements

3.20.2 Investment Income

3.20.2.1 Interest Income

Interest income is recognised in the Statement of Profit or Loss and Other Comprehensive Income, as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognised as an adjustment to the effective interest rate of the instrument.

3.20.2.2 Dividend Income

Investment income also includes dividends, when the right to receive payment is established. For listed securities, this is the date the security is listed as ex-dividend.

3.20.2.3 Realised/Unrealised Gains and (Losses)

Realised gains and losses, recorded in the Statement of Profit or Loss and Other Comprehensive Income on investments, include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortised cost and are recorded on occurrence of the sale transaction.

3.21 Others

Other income is recognised on an accrual basis.

3.22 Expenditure Recognition

Expenses are recognised in the Statement of Profit or Loss and Other Comprehensive Income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the Property, Plant and Equipment in a state of efficiency, has been charged to the Statement of Profit or Loss and Other Comprehensive Income.

Surplus refund is made only when the Fund is in a surplus and to those participants who have not made any claims during the policy period.

For the purpose of presentation of Statement of Profit or Loss and Other Comprehensive Income, the Directors are of the opinion that nature of expenses method, presents fairly, the elements of the Group's performance, and hence such presentation method is adopted.

3.23 Events after the Reporting Period

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue. All material events after the reporting period have been considered and where appropriate, adjustments or disclosures have been made in the respective Notes to the Financial Statements.

3.24 Capital Commitments and Contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by occurrence or non-occurrence of uncertain future events not wholly within the control of the Group or present obligations where the transfer of economic benefits is not probable or cannot be reliably measured.

Capital commitments and contingent liabilities of the Group are disclosed in the respective Notes to the Financial Statements.

3.25 Stated Capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects.

3.26 Earnings per Share (EPS)

The Group presents basic earnings per share data for its ordinary shareholders. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares determined in accordance with LKAS – 33.

3.27 Statement of Cash Flows

The Cash Flow Statement has been prepared using the Direct Method of preparing Cash Flows in accordance with the Sri Lanka Accounting Standard (LKAS) 7 – "Statement of Cash flows".

For cash flow purposes, cash and cash equivalents are presented net of bank overdrafts.

Notes to the Financial Statements

4. Standards Issued But Not Yet Effective

Impending accounting standards/standards issued not yet effective.

Certain new accounting standards and amendments/improvements to existing standards have been published, that are not mandatory for 31st December 2017 reporting periods. None of those have been early adopted by the Company.

Sri Lanka Accounting Standard (SLFRS) 9 – “Financial Instrument: Recognition and Measurement” and amendments to Sri Lanka Accounting Standard (SLFRS) 4 – “Insurance Contracts”

SLFRS 9 replaces the existing guidance in LKAS 39 – “Financial Instruments: Recognition and Measurement”. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and derecognition of financial instruments from LKAS – 39.

SLFRS 9 is effective for annual reporting periods beginning on or after 1st January 2018, with early adoption permitted. However, based on the amendments to SLFRS 4 – “Insurance Contracts”, issued by CA Sri Lanka on 24th November 2016, the entities whose predominant activity is issuing insurance contracts are permitted to defer the full application of SLFRS 9 until earlier of 2021 due to forthcoming insurance contract standard which is currently expected to commence in 2020.

A preliminary evaluation of SLFRS 9 – has been performed. However, the Company is currently in the process of evaluating and quantifying the accounting impact.

SLFRS 15 Revenue from Contracts with Customers

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognised. It replaces existing revenue recognition guidance, including LKAS 18 – “Revenue”, LKAS 11 – “Construction Contracts” and IFRIC 13 – “Customer Loyalty Programs”.

SLFRS 15 is effective for annual reporting periods beginning on or after 1st January 2018, with early adoption permitted. A preliminary evaluation of the existing contracts has been performed relation to the adoption of SLFRS 15. The Company's current assessment has not revealed a significant change to the revenue recognition pattern. However, the Company is currently in the process of evaluating and quantifying the accounting impact and any impacts on the current systems and processors will be modified where necessary.

SLFRS 16 – “Leases”

SLFRS 16 provides a single lessee accounting model, requiring leases to recognise assets and liabilities for all leases unless the lease term is 12 months or less or the underlying asset has a low value even though lessor accounting remains similar to current practice. This supersedes: LKAS 17 – “Leases”, IFRIC 4 determining whether an arrangement contains a Lease, SIC 15 Operating Leases – Incentives; and SIC 27 evaluating the substance of transactions involving the legal form of a lease. Earlier application is permitted for entities that apply SLFRS 15 – “Revenue from Contracts with Customers”. SLFRS 16 is effective for annual reporting periods beginning on or after 1st January 2019. The impact on the implementation of the above Standard has not been quantified yet.

Notes to the Financial Statements

Year Ended 31st December

2017
Rs.2016
Rs.**5. Intangible Assets****5.1 Group****Cost**

Balance at the Beginning of the Year	100,914,372	83,954,169
Additions During the Year	–	16,310,863
Disposal During the Year	–	(226,342)
Exchange Gain/(Loss)	523,978	875,682
Balance at the End of the Year	101,438,350	100,914,372

Amortisation

Balance at the Beginning of the Year	64,256,265	59,250,860
Charges for the Year	6,593,513	6,156,630
Disposal during the Year	–	(128,437)
Exchange Gain/(Loss)	338,875	539,712
Elimination	(1,562,500)	(1,562,500)
Balance at the End of the Year	69,626,153	64,256,265
Carrying Amount	31,812,197	36,658,107

5.2 Company**Cost**

Balance at the Beginning of the Year	44,482,848	38,203,889
Additions During the Year	–	6,278,959
Balance at the End of the Year	44,482,848	44,482,848

Amortisation

Balance at the Beginning of the Year	36,267,151	34,935,220
Amortisation Charge for the Year	1,550,306	1,331,931
Balance at the End of the Year	37,817,457	36,267,151
Carrying Value	6,665,391	8,215,697

Notes to the Financial Statements

5.3 Acquisition of Intangible Assets During the Year

During the financial year, the Group has not acquired Intangible Assets (Computer Software). (2016 – Rs. 16,310,863/-).

5.4 Fully-Amortised Intangible Assets in Use

Intangible Assets includes fully amortised computer software which are in the use of normal business activates having an initial cost of Rs. 10,862,742/- (2016 – Rs. 10,862,742/-).

5.5 Title Restriction on Intangible Assets

There were no restrictions that existed on the title of the Intangible Assets of the Group as at 31st December 2017.

5.6 Assessment of Impairment of Intangible Assets

The Board of Directors has assessed the potential impairment indicators of Intangible Assets as at 31st December 2017. Based on the assessment, no impairment indicators were identified.

Group	Balance as at 1st January 2017	Additions/ Transfers	Disposals/ Transfers	Increase/ Decrease in Revaluation	Exchange Movement	Total as at 31st December 2017
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
6. Property, Plant and Equipment						
6.1 Cost/Valuation						
Freehold (Note 6.1.1)	285,466,253	20,046,023	(9,979,165)	–	276,254	295,809,365
Leasehold (Note 6.1.2)	22,960,725	–	(8,840,000)	–	–	14,120,725
	308,426,978	20,046,023	(18,819,165)	–	276,254	309,930,090

Group	Balance as at 1st January 2017	Additions/ Transfers	Disposals/ Transfers	Exchange Movement	Total as at 31st December 2017
	Rs.	Rs.	Rs.	Rs.	Rs.
6.1.1 Freehold Property, Plant and Equipment					
Cost/Valuation					
Motor Vehicles	14,612,888	7,440,000	(8,450,000)	22,908	13,625,796
Computer Equipment	73,040,154	2,644,409	(637,283)	86,915	75,134,195
Other Equipment	90,868,188	3,953,786	(373,644)	57,304	94,505,634
Furniture and Fittings	106,945,023	6,007,829	(518,238)	109,126	112,543,740
Total Value of Depreciable Assets	285,466,253	20,046,023	(9,979,165)	276,254	295,809,365

Notes to the Financial Statements

Group	Balance as at 1st January 2017 Rs.	Charge for the Year Rs.	Disposals/ Transfers Rs.	Exchange Movement Rs.	Total as at 31st December 2017 Rs.
Depreciation					
Motor Vehicles	4,323,218	3,585,533	(1,137,500)	22,908	6,794,160
Computer Equipment	67,337,594	3,884,949	(635,692)	80,333	70,667,183
Other Equipment	64,754,021	12,237,806	(354,019)	46,379	76,684,187
Furniture and Fittings	64,989,463	8,273,217	(500,776)	85,635	72,847,539
Total Depreciation	201,404,296	27,981,505	(2,627,988)	235,255	226,993,068
Carrying Amount	84,061,957				68,816,297

Group	Balance as at 1st January 2017 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Exchange Movement Rs.	Total as at 31st December 2017 Rs.
6.1.2 Leasehold Property, Plant and Equipment					
Cost/Valuation					
Motor Vehicles	18,647,725	–	(8,840,000)	–	9,807,725
Other Equipment	4,313,000	–	–	–	4,313,000
Total Value of Depreciable Assets	22,960,725	–	(8,840,000)	–	14,120,725

Group	Balance as at 1st January 2017 Rs.	Charge for the Year Rs.	Disposals/ Transfers Rs.	Exchange Movement Rs.	Total as at 31st December 2017 Rs.
Depreciation					
Motor Vehicles	2,912,235	1,965,305	(1,768,000)	–	3,109,540
Other Equipment	2,240,364	862,600	–	–	3,102,964
Total Depreciation	5,152,599	2,827,905	(1,768,000)	–	6,212,504
Carrying Amount	17,808,126			–	7,908,221

Notes to the Financial Statements

Year Ended 31st December	2017 Rs.	2016 Rs.
6.1.3 Net Book Values		
Freehold	68,816,297	84,061,957
Leasehold	7,908,221	17,808,126
Total Carrying Amount of Property, Plant and Equipment	76,724,518	101,870,083

6.1.4 Acquisition of Property, Plant and Equipment during the Year – Group

During the year, the Group acquired Property, Plant and Equipment to the aggregate value of Rs. 12,606,023/- (2016 – Rs. 5,913,371/-) for cash considerations.

6.1.5 Fully Depreciated Property, Plant and Equipment in Use – Group

Group Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs. 115,486,210/- (2016 – Rs. 115,486,210/-).

6.2 Property, Plant and Equipment Pledged as Security for Liabilities – Leasehold

The Property, Plant and Equipment pledged as securities for liabilities during the year has been disclosed in Note 42 to the Financial Statements.

6.3 Title Restriction on Property, Plant and Equipment

There are no restriction that existed on the title of the Property, Plant and Equipment of the Group as at the reporting date.

6.4 Assessment of Impairment

The Board of Directors has assessed the potential impairment indicators of Property, Plant and Equipment as at 31st December 2017. Based on the assessment, no impairment indicators were identified.

6.5 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs relating to the acquisition of Property, Plant and Equipment during the year.

6.6 Temporarily Idle Property, Plant and Equipment

There were no temporarily idle Property, Plant and Equipment as at the year ended 31st December 2017.

Notes to the Financial Statements

	Balance as at 1st January 2017 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Total as at 31st December 2017 Rs.
6.7 Company				
Cost/Valuation				
Freehold (Note 6.7.1)	256,902,111	9,911,359	(8,450,000)	258,363,470
Leasehold (Note 6.7.2)	13,153,000	–	(8,840,000)	4,313,000
	270,055,111	9,911,359	(17,290,000)	262,676,470

	Balance as at 1st January 2017 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Total as at 31st December 2017 Rs.
6.7.1 Freehold Property, Plant and Equipment				
Cost/Valuation				
Motor Vehicles	12,817,000	7,440,000	(8,450,000)	11,807,000
Computer Equipment	63,074,111	1,188,184	–	64,262,295
Other Equipment	85,077,491	771,029	–	85,848,520
Furniture and Fittings	95,933,509	512,146	–	96,445,655
Total Value of Depreciable Assets	256,902,111	9,911,359	(8,450,000)	258,363,470

	Balance as at 1st January 2017 Rs.	Charge for the Year Rs.	Disposals/ Transfers Rs.	Total as at 31st December 2017 Rs.
Depreciation				
Motor Vehicles	2,891,400	3,437,373	(1,137,500)	5,191,273
Computer Equipment	60,947,128	2,424,257	–	63,371,385
Other Equipment	61,531,768	11,274,491	–	72,806,259
Furniture and Fittings	58,702,309	6,333,974	–	65,036,283
Total Depreciation	184,072,605	23,470,095	(1,137,500)	206,405,200
Carrying Amount	72,829,506			51,958,270

Notes to the Financial Statements

	Balance as at 1st January 2017 Rs.	Additions/ Transfers Rs.	Disposals/ Transfers Rs.	Total as at 31st December 2017 Rs.
6.7.2 Leasehold Property, Plant and Equipment				
Cost/Valuation				
Motor Vehicles	8,840,000	–	(8,840,000)	–
Other Equipment	4,313,000	–	–	4,313,000
	13,153,000	–	(8,840,000)	4,313,000

	Balance as at 1st January 2017 Rs.	Charge for the Year Rs.	Disposals/ Transfers Rs.	Total as at 31st December 2017 Rs.
Depreciation				
Motor Vehicles	1,768,000	–	(1,768,000)	–
Generator	2,240,364	862,600	–	3,102,964
	4,008,364	862,600	(1,768,000)	3,102,964
Carrying Amount	9,144,636			1,210,036

Year ended 31st December	2017 Rs.	2016 Rs.
6.7.3 Net Book Values		
Freehold	51,958,270	72,829,506
Leasehold	1,210,036	9,144,636
Total Carrying Amount of Property, Plant and Equipment	53,168,306	81,974,142

Notes to the Financial Statements

6.7.4 Acquisition of Property, Plant and Equipment during the Year – Company

During the year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs. 9,911,359/- (2016 – Rs. 4,900,660/-) for cash considerations.

6.7.5 Fully-Depreciated Property, Plant and Equipment in Use – Company

Company Property, Plant and Equipment includes fully-depreciated assets having a gross carrying amount of Rs. 101,072,300/- (2016 – Rs. 101,072,300/-).

6.7.6 Revaluation

Company

In 2015, the Company's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd., which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level 3 in the fair value hierarchy. The revaluation surplus was transferred to the Revaluation Reserve. The carrying amount of revalued motor vehicles that would have been included in the Financial Statements had the assets been carried at cost would have been as follows:

Year Ended 31st December	2017 Rs.	2016 Rs.
Cost	12,817,000	34,045,087
Accumulated Depreciation	(2,891,400)	(31,261,942)
Carrying Value	9,925,600	2,783,145

Other Group Companies

Amāna Takaful Life PLC

In 2015, Amāna Takaful Life PLC's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd., which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level 3 in the fair value hierarchy. The revaluation surplus was transferred to the Revaluation Reserve. The carrying amount of revalued motor vehicles that would have been included in the Financial Statements had the assets been carried at cost would have been as follows:

Year Ended 31st December	2017 Rs.	2016 Rs.
Cost	537,011	537,011
Accumulated Depreciation	366,958	(259,555)
Carrying Value	170,053	277,456

Notes to the Financial Statements

6.8 Property, Plant and Equipment Pledged as Security for Liabilities-Leasehold

The Property, Plant and Equipment pledged as securities for liabilities during the year has been disclosed in Note 42 to the Financial Statements.

6.9 Title Restriction on Property, Plant and Equipment

There are no restriction that existed on the title of the Property, Plant and Equipment of the Company as at the reporting date.

6.10 Assessment of Impairment

The Board of Directors has assessed the potential impairment indicators of Property, Plant and Equipment as at 31st December 2017. Based on the assessment, no impairment indicators were identified.

6.11 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs relating to the acquisition of Property, Plant and Equipment during the year.

6.12 Temporarily Idle Property, Plant and Equipment

There were no temporarily idle Property, Plant and Equipment as at the year ended 31st December 2017.

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
7. Investment Property				
Balance as at 1st January	78,500,000	73,500,000	78,500,000	73,500,000
Net Gain from Fair Value Adjustment	1,425,000	5,000,000	1,425,000	5,000,000
Balance as at 31st December	79,925,000	78,500,000	79,925,000	78,500,000

7.1 During the financial year, the Company has incurred direct operating expenses on the investment property to the aggregate value of Rs. 240,000/- (2016 – Rs. 250,280/-).

7.2 Fair Value Hierarchy

The fair value of investment property was determined by external, independent property valuers, P.P.T. Mohideen (FIV, FRICS) having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuer provides the fair value of the Group's investment property portfolio annually. The Group's entire class of investment properties were revalued on 31st December 2017.

The fair value measurement for investment property of Rs. 79,425,000/- (2016 – Rs. 78,500,000/-) has been categorised as a Level 3 fair value based on the inputs to the valuation technique used.

Notes to the Financial Statements

7.3 Valuation Technique

In determining the fair value, the current condition of the properties, further usability and associated redevelopment requirements have been considered. The Valuer has also made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are approximated within appropriate range of values which are as follows:

Address	Extent	Fair Value 2017 Rs.	Per Perch/ Sq. Feet Value Rs.	Fair Value 2016 Rs.	Per Perch/ Sq. Feet Value Rs.
General Takaful Fund					
a. Yalegoda Estate, Piligalla, Kandy					
– Land	50 Perches	10,500,000	210,000 per Perch	10,000,000	200,000 per Perch
– Building	1,485 sq.ft.	2,000,000	1,350 per sq.ft.	2,000,000	1,350 per sq.ft.
b. 58/19, Ramyaweera Mawatha, Orugodawattha					
– Land	39 Perches	22,425,000	575,000 per Perch	21,500,000	551,282 per Perch
Share-Holder Fund					
c. 107/15, Buthgamuwa Road, Rajagiriya					
– Building	1,700 sq.ft.	45,000,000	26,471 per sq. ft.	45,000,000	26,471 per sq. ft.

Company	Holding		Number of Shares		Cost	
	2017 %	2016 %	2017	2016	2017 Rs.	2016 Rs.
8. Investments in Subsidiaries						
Amāna Global Ltd.	100	100	33,333	33,333	37,125,000	37,125,000
Amāna Takaful Life PLC	90	90	450,000,000	450,000,000	450,000,000	450,000,000
Amāna Takaful Maldives PLC	51.39	51.39	10,402,558	10,402,558	587,197,352	587,197,352
					1,074,322,352	1,074,322,352

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
9. Financial Assets				
Financial Assets at Fair Value Through Profit and Loss (Note 9.2.1)	58,506,357	26,751,433	–	–
Available-for-Sale Financial Assets (Note 9.2.2)	299,558,531	87,440,084	525,000	525,000
Loans and Receivable (Note 9.2.3)	2,369,857,686	2,190,903,336	871,751,119	873,841,499
	2,727,922,574	2,305,094,853	872,276,119	874,366,499

Notes to the Financial Statements

9.1 Fair Value Through Profit or Loss Investments and Available-for-Sale Investments have been valued at fair value. Loans and Receivable are valued at amortised cost.

As at 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
9.2 Classification of Financial Assets				
9.2.1 Financial Assets at Fair Value Through Profit and Loss				
Investments in Equity Securities (Note 9.3.1)	58,506,357	26,751,433	–	–
	58,506,357	26,751,433	–	–
9.2.2 Available-for-Sale Financial Assets				
Investments in Equity Securities – Quoted (Note 9.3.2)	34,561,038	37,593,383	–	–
Unit Trust			–	–
– Candor Balance Fund	12,684,213	12,448,401	–	–
– Candor Income Fund	32,247,203	29,729,718	–	–
Investments in Equity Securities – Unquoted (Note 9.3.3) (**)	220,066,078	7,668,582	525,000	525,000
	299,558,531	87,440,084	525,000	525,000

****** The Company carries the unquoted financial assets at cost, since such financial assets do not have a market price in an active market and in the absence of any similar securities with observable market data, fair value of the same cannot be measured reliably.

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
9.2.3 Loans and Receivable				
Repurchase Agreements	714,764,891	503,228,391	275,624,660	218,928,769
Murabaha Investments	250,930,016	265,126,704	–	–
Mudharaba Investments	1,147,670,227	1,071,917,784	482,534,863	538,790,356
Commercial papers	241,580,148	338,499,864	101,000,000	104,967,918
Advances to Company Officers (9.2.4)	14,912,404	12,130,593	12,591,596	11,154,456
	2,369,857,686	2,190,903,336	871,751,119	873,841,499

Investments in Government Securities are made for the purpose of meeting the requirements of the Regulation of Insurance Industry Act No. 43 of 2000.

Notes to the Financial Statements

Year ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
9.2.4 Advances to Company Officers				
Balance at the Beginning of the Year	12,130,593	10,515,129	11,154,456	10,478,831
Loans granted during the Year	15,623,775	16,398,580	14,279,105	14,954,315
Exchange Movement	-	20,890	-	-
Less: Repayments during the Year	(12,841,964)	(12,429,147)	(12,841,965)	(11,903,831)
Balance at the End of the Year	14,912,404	14,505,452	12,591,596	13,529,315
Less: Provision for Impairment	-	(2,374,859)	-	(2,374,859)
	14,912,404	12,130,593	12,591,596	11,154,456

Year Ended 31st December	Group				Company			
	2017 Number of Shares	Market Value Rs.	2016 Number of Shares	Market Value Rs.	2017 Number of Shares	Market Value Rs.	2016 Number of Shares	Market Value Rs.
9.3 Investments in Equity Securities								
9.3.1 Quoted								
Access Engineering PLC	140,000	3,290,000	140,000	3,471,997	-	-	-	-
Alumex PLC	47,500	878,750	95,000	1,919,000	-	-	-	-
Ceylon Glass PLC	301,209	1,747,012	301,209	1,596,407	-	-	-	-
Chevron Lubricants Lanka PLC	40,100	4,771,900	40,100	6,299,710	-	-	-	-
Colombo Dockyard PLC	22,341	1,977,179	22,341	1,756,002	-	-	-	-
Dhivehi Raajjeyege Gulhun PLC	2,000	1,581,936	2,000	1,573,781	-	-	-	-
Dialog Axiata PLC	225,000	2,925,000	225,000	2,362,498	-	-	-	-
Haycarb	10,000	1,475,000	10,000	1,500,000	-	-	-	-
Kelani Valley Plantations PLC	11,100	1,003,440	11,100	664,890	-	-	-	-
Textered Jersey Lanka PLC	50,000	1,700,000	50,000	2,140,004	-	-	-	-
Tokyo Cement Company (Lanka) PLC – Voting	-	-	15,070	892,144	-	-	-	-
Tokyo Cement Company (Lanka) PLC – Non-Voting	60,000	3,540,000	50,000	2,575,000	-	-	-	-
Ooreedoo	100,000	33,616,140	-	-	-	-	-	-
At Fair Value Through Profit or Loss		58,506,357		26,751,433		-		-

Notes to the Financial Statements

Year Ended 31st December	Group				Company			
	2017 Number of Shares	Market Value Rs.	2016 Number of Shares	Market Value Rs.	2017 Number of Shares	Market Value Rs.	2016 Number of Shares	Market Value Rs.
9.3.2 Quoted								
Amāna Bank PLC	9,398,344	34,561,038	9,398,344	52,630,726	–	–	–	–
Reversal of Previously Recognised Fair Value Losses	–	–	–	21,449,170	–	–	–	–
Less: Total Impairment Recognised in Profit or Loss	–	–	–	(36,486,513)	–	–	–	–
Available-for-Sale Investments at Fair Value		34,561,038		37,593,383		–		–
9.3.3 Unquoted								
Cleanco (Pvt) Ltd.	35,000	525,000	35,000	525,000	35,000	525,000	35,000	525,000
Pak Kuwait Takaful Co Ltd.	–	–	500,000	7,143,582	–	–	–	–
Maldives Islamic Bank	9,000	219,541,078	–	–	–	–	–	–
Available-for-Sale Investments at Fair Value		220,066,078		7,668,582		525,000		525,000

9.4 Financial Instruments – Fair Value and Risk Management

Fair Value Hierarchy for Assets Carried at Fair Value

The different levels have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The following table shows the fair value hierarchy of the financial assets carried at fair value.

9.4.1 Accounting Classifications and Fair Values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities.

The financial assets not measured at fair value are financial instruments for which their carrying amounts are a reasonable approximation of fair values, because for example they are short term in nature or re-prices to current market rates frequently.

Notes to the Financial Statements

31st December 2017	Carrying Amount			Fair Value				
	Loans and Receivables	Available for Sale	Fair Value Through Profit or Loss	Total	Level 1	Level 2	Level 3	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Group								
Financial Assets Measured at Fair Value								
Equity Securities – Quoted	–	34,561,038	58,506,357	93,067,394	93,067,394	–	–	93,067,394
Equity Securities – Unit Linked	–	–	109,653,738	109,653,738	109,653,738	–	–	109,653,738
Unit Trust	–	–	–	–	–	–	–	–
Unit Trust – Unit Linked	–	25,158,906	–	25,158,906	–	25,158,906	–	25,158,906
	–	59,719,944	168,160,095	227,880,039	202,721,133	25,158,906	–	227,880,039
Financial Assets not Measured at Fair Value								
Repurchase Agreements	714,764,891	–	–	714,764,891	–	–	–	–
Equity Securities – Unquoted	–	220,066,078	–	220,066,078	–	–	–	–
Commercial Paper	241,580,148	–	–	241,580,148	–	–	–	–
Murabaha Investments	250,930,016	–	–	250,930,016	–	–	–	–
Mudharaba Investments	1,147,670,227	–	–	1,147,670,227	–	–	–	–
Advances to Company Officers	14,912,404	–	–	14,912,404	–	–	–	–
Repurchase Agreements – Unit Linked	40,965,518	–	–	40,965,518	–	–	–	–
Mudharaba Investments – Unit Linked	1,350,900,391	–	–	1,350,900,391	–	–	–	–
	3,761,723,595	220,066,078	168,160,095	3,981,789,673	–	–	–	–
	3,761,723,595	279,786,022	168,160,095	4,209,669,712	202,721,133	25,158,906	–	227,880,039
9.4.2 Company								
Financial Assets not Measured at Fair Value								
Repurchase Agreements	275,624,660	–	–	275,624,660	–	–	–	–
Mudharaba Investments	482,534,863	–	–	482,534,863	–	–	–	–
Commercial Paper	101,000,000	–	–	101,000,000	–	–	–	–
Equity Securities – Unquoted	525,000	–	–	525,000	–	–	–	–
Advances to Company Officers	12,591,596	–	–	12,591,596	–	–	–	–
	872,276,119	–	–	872,276,119	–	–	–	–

Notes to the Financial Statements

31st December 2016	Carrying Amount				Fair Value			
	Loans and Receivables	Available- for-Sale	Fair Value Through Profit or Loss	Total	Level 1	Level 2	Level 3	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.

9.4.3 Group**Financial Assets Measured
at Fair Value**

Equity Securities – Quoted	–	37,593,383	26,751,433	64,344,816	64,344,816	–	–	64,344,816
Equity Securities – Unit Linked	–	–	96,108,685	96,108,685	96,108,685	–	–	96,108,685
Unit Trust	–	42,178,119	–	42,178,119	–	42,178,119	–	42,178,119
Unit Trust – Unit Linked	–	21,669,060	–	21,669,060	–	21,669,060	–	21,669,060
	–	101,440,562	122,860,118	224,300,680	160,453,501	63,847,179	–	224,300,680

**Financial Assets not
Measured at Fair Value**

Repurchase Agreements	503,228,391	–	–	503,228,391	–	–	–	–
Equity Securities – Unquoted	–	7,668,582	–	7,668,582	–	–	–	–
Murabaha Investments	265,126,704	–	–	265,126,704	–	–	–	–
Mudharaba Investments	1,103,973,119	–	–	1,103,973,119	–	–	–	–
Commercial Papers	338,499,864	–	–	338,499,864	–	–	–	–
Advances to Company Officers	12,130,593	–	–	12,130,593	–	–	–	–
Repurchase Agreements – Unit Linked	8,068,014	–	–	8,068,014	–	–	–	–
Mudharaba Investments – Unit Linked	1,315,430,509	–	–	1,315,430,509	–	–	–	–
	3,546,457,274	7,668,582	–	3,554,125,856	–	–	–	–
	3,546,457,274	109,109,144	122,860,118	3,778,426,536	160,453,501	63,847,179	–	224,300,680

9.4.4 Company**Financial Assets not
Measured at Fair Value**

Equity Securities – Quoted	–	–	–	–	–	–	–	–
Unit Trust	–	–	–	–	–	–	–	–
	–	–	–	–	–	–	–	–

**Financial Assets not
Measured at Fair Value**

Repurchase Agreements	218,928,769	–	–	218,928,769	–	–	–	–
Equity Securities – Unquoted	–	525,000	–	525,000	–	–	–	–
Mudharaba Investments	538,790,356	–	–	538,790,356	–	–	–	–
Commercial Paper	104,967,918	–	–	104,967,918	–	–	–	–
Advances to Company Officers	11,154,456	–	–	11,154,456	–	–	–	–
Repurchase Agreements – Unit Linked	–	–	–	–	–	–	–	–
	873,841,499	525,000	–	874,366,499	–	–	–	–
	873,841,499	525,000	–	874,366,499	–	–	–	–

Notes to the Financial Statements

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
10. Premium (Contribution) Receivables				
Contribution (Premiums) Receivable from Participants	403,306,248	331,381,163	325,696,541	236,022,062
Contribution (Premium) Receivable from Agents, Brokers and Intermediaries	164,052,354	92,213,153	164,052,354	92,213,153
Contribution (Premium) Receivable – Net	567,358,602	423,594,316	489,748,895	328,235,215

The Board of Directors has assessed potential impairment loss of premium receivable as at 31st December 2017. Based on the assessment, no impairment provision has been made in the Consolidated and Separate Financial Statements as at the reporting date in respect of premium receivable.

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
11. Other Assets				
Financial Assets (Note 11.1)	45,133,114	71,436,291	76,149,851	50,331,595
Non-Financial Assets (Note 11.2)	141,367,906	98,634,616	86,534,795	53,651,852
	186,501,020	170,070,907	162,684,646	103,983,447
11.1 Financial Assets				
Other Receivables	45,133,114	71,436,291	59,578,559	50,135,455
Amount Due from Related Party – Amāna Takaful Life PLC	–	–	16,571,292	196,140
	45,133,114	71,436,291	76,149,851	50,331,595
11.2 Non-Financial Assets				
Deposits, Advances and Prepayments	141,367,906	98,634,616	86,534,795	53,651,852
	141,367,906	98,634,616	87,534,795	53,651,852

12. Other Assets – Unit Linked

The presentation and classification of the following items in these Financial Statements are amended to ensure the Comparability with the current year:

	As disclosed Previously Rs.	Current Presentation Rs.	Adjustment Rs.
Other Assets – Unit Linked	32,055,415	–	(32,055,415)
Financial Investments – Unit Linked	1,441,276,267	1,473,331,682	32,055,415

Notes to the Financial Statements

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
13. Financial Assets – Unit Linked				
Financial Assets at Fair Value Through Profit and Loss (Note 13.1)	109,653,738	96,108,685	–	–
Available For Sale (Note 13.2)	25,158,906	21,669,060	–	–
Loans and Receivable (Note 13.3)	1,391,865,910	1,323,498,522	–	–
	1,526,678,553	1,441,276,268	–	–

Financial investments – unit linked, includes a provision of Rs. 124,984,521/- (2016 – Nil). The said provision will be revised upon recovery.

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
13.1 Financial Assets at Fair Value Through Profit and Loss				
Investment in Equity Securities (Note 13.4)	109,653,738	96,108,685	–	–
	109,653,738	96,108,685	–	–
13.2 Available for Sale				
Unit Trust – Candor Income Fund	25,158,906	21,669,060	–	–
	25,158,906	21,669,060	–	–
13.3 Loans and Receivable				
Repurchase Agreements	40,965,518	8,068,013	–	–
Mudharaba Investments	1,350,900,391	1,315,430,509	–	–
	1,391,865,910	1,323,498,522	–	–

Year ended 31st December	2017		2016	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
13.4 Investments in Equity Securities – Unit Linked				
Access Engineering PLC	797,148	18,732,978	797,148	19,769,270
ACL Cables PLC	78,142	3,313,221	–	–
Alumex PLC	184,653	3,416,081	412,774	8,338,035
Dipped Products PLC	28,137	2,391,645	35,626	3,092,337
Colombo Dockyard PLC	22,948	2,030,898	22,948	1,900,733
Piramal Glass Ceylon PLC	522,240	3,028,992	522,240	2,767,872
Chevron Lubricants Lanka PLC	287,439	34,205,241	61,000	9,486,080
Hayleys MGT Knitting Mills PLC	430,000	5,805,000	430,000	6,450,000
Tokyo Cement Company (Lanka) PLC – Non-Voting	622,537	36,729,683	297,080	17,587,136
Tokyo Cement Company (Lanka) PLC – Voting	–	–	518,781	26,717,222
		109,653,738		96,108,685

Notes to the Financial Statements

Year ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
14. Cash and Cash Equivalents in Cash Flow Statement				
14.1 Components of Cash and Cash Equivalents				
Cash and Bank Balances	269,133,976	368,874,066	110,981,837	78,897,531
Cash and Bank Balances – Unit Linked	7,370,003	72,192,842	–	–
Bank Overdrafts	(37,426)	(40,892,192)	(37,426)	(38,493,174)
Investments in Government Securities	790,708,932	302,119,183	408,614,676	111,670,882
	1,067,175,486	702,293,899	519,559,087	152,075,239

Year ended 31st December	Company		Company	
	2017 Number of Shares	Rs.	2016 Number of Shares	Rs.
15. Stated Capital				
Fully-Paid Ordinary Shares – Voting (Note 15.1)	1,800,001,296	1,860,001,339	1,800,001,296	1,860,001,339

All issued shares carry equal voting rights. The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

15.1 Right Issue of Ordinary Shares

In June 2016, shareholders of the Company at a General Meeting approved a rights issue of 300,000,216 ordinary shares with one ordinary share for every five existing ordinary shares at an exercise price of Rs. 0.70 per share.

300,000,216 ordinary shares were subscribed and paid in August 2016. Allotment of the subscribed shares was concluded in August 2016.

Effect on the Stated Capital after the conclusion of the Right Issue is as follows:

Year Ended 31st December 2016	Number of Shares	Rs.
Stated Capital Prior to Right Issue	1,500,001,080	1,650,001,188
Right Issue	300,000,216	210,000,151
Stated Capital After Right Issue – Fully-Paid	1,800,001,296	1,860,001,339

Notes to the Financial Statements

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
16. Other Reserves				
Reserves consists of the following:				
Revaluation Reserve (Note 16.1)	30,234,871	34,234,871	30,331,677	34,331,677
Translation Reserve (Note 16.2)	52,855,527	51,634,475	–	–
	83,090,398	85,869,346	30,331,677	34,331,677

16.1 Revaluation Reserve

The Revaluation Reserve relates to the revaluation of Property, Plant and Equipment

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
Balance as at 1st January	34,234,871	36,501,152	34,331,677	34,331,677
Transfer of Revaluation on Disposal of Investment in Subsidiary	–	(216,948)	–	–
Change in Fair Value of Property, Plant and Equipment	–	–	–	–
Transfer of Revaluation Surplus to Retained Earnings, at the Disposal	(4,000,000)	(2,049,333)	(4,000,000)	–
Balance as at 31st December	30,234,871	34,234,871	30,331,677	34,331,677

16.2 Translation Reserve

The Translation Reserve Comprises all foreign currency differences arising from the translation of the Financial Statements of foreign operations.

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
Balance as at 1st January	51,634,475	43,604,300	–	–
Foreign Currency Translation Differences for Foreign Operations	1,221,052	8,030,175	–	–
Balance as at 31st December	52,855,527	51,634,475	–	–

Notes to the Financial Statements

As at 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
17. Revenue Reserve				
Accumulated Profit/(Losses)				
Balance as at 1st January	(567,429,563)	(426,505,809)	(136,040,525)	9,126,075
Net Profit for the Year	126,501,180	(154,434,189)	62,578,787	(139,173,365)
Fair Value Changes taken to OCI	1,011,745	2,582,764	-	(3,546,564)
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	(5,467,989)	(2,488,663)	(4,782,978)	(2,446,671)
Gain on Disposal of Investment in Subsidiary	-	24,807,015	-	-
IPO Cost	-	(13,440,014)	-	-
Dividend Paid	(14,174,248)	-	-	-
Transfer of Revaluation Reserve on Disposal	4,000,000	2,049,333	4,000,000	-
Balance as at 31st December	(455,558,905)	(567,429,563)	(74,244,716)	(136,040,525)

17.1 Life Policyholders' Reserve Fund

The Life Policyholder Reserve Fund includes the fair value changes recorded under Other Comprehensive Income in respect of available-for-sale financial assets related to Family Takaful Fund.

17.2 Available-for-Sale Reserve

The available-for-sale reserve comprises the cumulative net change in the fair value of available-for-sale financial assets until the assets are derecognised or impaired.

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
18. Insurance Contract Liabilities – Non-Life				
18.1 Unearned Contribution (Premium)				
Gross	855,865,377	662,239,611	689,637,394	553,206,803
Retakaful (Reinsurance)	(134,304,550)	(127,519,113)	(134,304,550)	(127,519,113)
Net	721,560,827	534,720,498	555,332,844	425,687,690
18.2 Gross Claims Reserve				
Claims Outstanding	235,764,234	334,857,787	95,854,155	182,495,371
Claims Incurred But Not Reported (IBNR)	57,805,168	48,292,089	49,133,000	42,492,420
	293,569,402	383,149,876	144,987,155	224,987,791
Insurance Provision	1,015,130,229	917,870,374	700,319,999	650,675,481

Notes to the Financial Statements

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
18.3 General Takaful (Insurance) Technical Reserves				
General Insurance (Non-Life) Provision	1,015,130,229	917,870,374	700,319,999	650,675,481
Retakaful (Reinsurance) Receivable on Outstanding Claims	(93,740,837)	(103,989,162)	(93,740,837)	(103,989,162)
	921,389,392	813,881,212	606,579,162	546,686,319

The Incurred But Not Reported (IBNR) claim reserve has been actuarially computed by NMG Consulting as per SLFRS 4. The valuation is based on internationally accepted valuation methods, which analyses the past experience and pattern of the claims. Based on the actuaries recommendations, the Group and the Company have provided Rs. 57,805,168/- (2016 – Rs. 48,292,089/-) and Rs. 49,133,000/- (2016 – Rs. 42,492,420/-) for IBNR claims reserve respectively, and there was no requirement for Unexpired Risk Reserve for the year ended 31st December 2017 (2016 – Nil).

19. Insurance Contract Liabilities – Family Takaful Fund

The Family Takaful Fund (Life Insurance Reserve) as shown in the Statement of Financial Position represents the following:

As at 31st December	2017 Rs.	2016 Rs.
19.1 Insurance Contract Liabilities – Family Takaful Fund		
Participant Investment Fund (PIF)	475,221,961	464,512,092
Participant Tabarru Fund (PTF) and Group Fund (GF)	100,362,123	90,590,277
Unearned Premium – Group Family Takaful	5,126,039	4,811,475
	580,710,123	559,913,844
19.2 Insurance Contract Liabilities – Family Takaful Unit Linked		
Unit Fund UFUL	1,497,531,383	1,457,715,529
Participant Tabarru Fund – PTFUL and Group Fund - GFUL	27,604,118	46,429,344
	1,525,135,501	1,504,144,873
19.3 Insurance Contract Liability	2,070,428,258	2,018,316,178
Surplus of the Fund	35,417,365	45,742,539
Total Insurance Contract Liability – Family Takaful Fund (Note 19.1, Note 19.2)	2,105,845,623	2,064,058,717
19.4 The movement in Family Takaful Fund is as follows:		
Balance as at 1st January	2,059,168,595	1,758,120,651
Net Change in Contract Liabilities	40,535,552	301,047,944
Balance as at 31st December	2,099,704,147	2,059,168,595

Notes to the Financial Statements

19.5.1 Actuarial Assumptions

Valuation Interest Rate

For Participant Tabarru Fund (PTF) of Family Takaful and Unit Linked business, the Group has chosen Valuation Interest Rate of 2%. For Mortgage Fund, Valuation Interest Rate of 7.2% is used which is based on average of the last five years yield of the fund whereas for the Takaful Operator's Fund, Valuation Interest Rate of 100% of the risk-free yield is assumed.

Fund-Based Yield

The Group has used fund yield ranging from 2.5% to 9% for various products. It calculates yield based on the ratio of twice the profits and other investment income received/receivable during the year net of Mudharabah share and sum of fund size at the beginning and end of the year net of profits made during the year.

Mortality and Morbidity Assumption

The Group has used the standard table SLA07/09 based on the Sri Lanka Assured Lives Mortality Study Report 2013 from Munich Re to calculate the best estimate assumptions for mortality, due to insufficient in-house mortality and morbidity experience. The Total and Permanent Disability (TPD) rates is assumed to be 10% of mortality rates. The risk margin loading factor assumed for mortality and TPD is +/- 10% in compliance with RBC standards.

Lapse Assumption

Lapse rate assumptions are based on a combination of the Group's experience for early durations as well as industry experience in Sri Lanka. The Group has used different lapse assumption of each product to suit the specific nature of the product and business. A different lapse rate assumption has been used for Unit-Linked Prosper as they are likely to exhibit different lapse experience due to single contribution. The risk margin loading factor assumed for lapses is +/- 20% for regular and single contribution plans.

Expense Assumption

The Group performs internal expense study which constitutes approximating renewal or policy servicing expenses against the fixed cost. The fixed expense assumptions are applied to Family Takaful and Unit-Linked Policies. For Riders, only the variable expenses are applied in the Gross Premium Valuation (GPV). It is assumed the fixed expenses are met by the basic plans.

Bonus Assumption

No guarantees apply to any of the Takaful funds, and all funds except the unit fund and the mortgage fund are subject to sharing of investment income between the certificate holders and the Takaful Operator.

19.5.2 Other Information

The valuation of the Insurance Provisions (Family Takaful Fund), as at 31st December 2017 was made by Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn. Bhd. (formerly known as Mercer Zainal Consulting Sdn. Bhd.), Malaysia.

In the opinion of the consultant actuary, the provision is adequate to cover the liabilities pertaining to Long-Term Insurance (Family Takaful) Fund. It is not required to perform a valuation on Participating Investment Fund since it represents an accumulation of investments made by the policy holders.

19.6 Liability Adequacy Testing (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance Contract Liability was carried out by Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn. Bhd. (formerly known as Mercer Zainal Consulting Sdn. Bhd.), Malaysia as at December 2017 as required by SLFRS 4 – Insurance Contracts. When performing the LAT, all contractual cash flows were discounted and this amount was compared with the carrying value of the liability. According to the Consultant Actuary's report, assets are sufficiently adequate as compared to the discounted cash flow reserves and in contrast to the reserves as at 31st December 2017.

Notes to the Financial Statements

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
20. Employee Benefits				
Employee Benefits – Gratuity				
Balance at 1st January	38,871,095	36,626,660	23,997,243	24,474,647
Net Benefit Expense (Note 20.1)	18,514,699	13,676,957	11,023,126	8,203,944
	57,388,794	50,303,617	35,020,369	32,678,591
Foreign Exchange Movement	185,115	288,044	–	–
Payments During the Year	(7,554,728)	(11,720,566)	(6,024,204)	(8,681,348)
Balance at 31st December	50,016,182	38,871,095	28,996,165	23,997,243
20.1 Net Benefit Expense				
Included in Profit or Loss				
Interest Cost	8,782,167	6,635,240	2,807,677	2,325,091
Current Service Cost	4,264,543	4,389,330	3,432,471	3,432,182
	13,046,710	11,024,570	6,240,148	5,757,273
Included in Other Comprehensive Income				
Actuarial Losses/(Gains) on Obligations	5,467,699	2,652,387	4,782,978	2,446,671
Transferred from/(to) Amāna Takaful Life PLC	–	–	–	–
Actuarial Losses/(Gains) on Obligations	5,467,699	2,652,387	4,782,978	2,446,671
Net Benefit Expense	18,514,699	13,676,957	11,023,126	8,203,944

The gratuity liability was actuarially valued under the Projected Unit Credit Cost method by Piyal S. Goonetilleke (Fellow of the Society of Actuaries – USA) in 2017 as requires by LKAS 19 – “Employee Benefits”.

Principal actuarial assumptions used for the Group and the Company are as follows:

Year Ended 31st December	Percentage Per Annum	
	2017	2016
a. Discount Rate	10.1	11.7
b. Salary Increase	9	10
c. Incidence of Withdrawals	23	26
d. Retirement Age	55 years	55 years
e. Expected Average Future Working Life of the Active Participants	4.5 Years	4.6 Years

The Liability is not externally funded.

Notes to the Financial Statements

20.2 Sensitivity of Assumptions Employed in Actuarial Valuations

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation as shown below:

	31 December 2017		31 December 2016	
	Increase	Decrease	Increase	Decrease
Discount Rate (1% Movement)	30,628,931	(27,531,167)	36,954,706	40,940,632
Future Salary Growth (1% Movement)	(30,601,838)	27,528,328	40,912,986	36,956,561

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
21. Other Liabilities – Unit Linked				
Financial Liabilities (Note 21.1)	21,503,728	16,054,926	–	–
Non-Financial Liabilities (Note 21.2)	30,341,125	34,260,650	–	–
	51,844,853	50,315,576	–	–
21.1 Financial Liabilities				
Retakaful Payable	21,503,728	16,054,926	–	–
	21,503,728	16,054,926	–	–
21.2 Non-Financial Liabilities				
Advances Received	14,711,321	19,945,838	–	–
Other Creditors	15,629,804	14,314,812	–	–
	30,341,125	34,260,650	–	–

Notes to the Financial Statements

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
22. Other Liabilities				
Financial Liabilities (Note 22.1)	304,923,012	249,338,398	203,150,100	119,899,805
Non-Financial Liabilities (Note 22.2)	243,844,351	215,891,958	63,813,002	54,672,719
	548,767,363	465,230,356	266,963,102	174,572,524
22.1 Financial Liabilities				
Retakaful Payable	276,018,730	215,614,387	196,491,452	110,645,821
Commission Payable	28,904,282	33,724,011	6,658,648	3,897,324
Amount Due to a Related Party – Amāna Takaful Life PLC	–	–	–	5,356,660
	304,923,012	249,338,398	203,150,100	119,899,805
22.2 Non-Financial Liabilities				
Accrued Liabilities	138,337,500	38,417,353	35,885,908	30,634,983
Other Creditors	96,042,946	172,137,544	27,927,094	24,037,736
Income Tax Payable	9,463,905	5,337,061	–	–
	243,844,351	215,891,958	63,813,002	54,672,719

As at 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
23. Subordinated Debt				
Unsecured Subordinated Redeemable Debt	200,000,000	200,000,000	200,000,000	200,000,000
	200,000,000	200,000,000	200,000,000	200,000,000

The details of the above Instrument are as follows:

Issue Date	Purpose/Rationale	Invested Party	Relationship	Face Value Rs.	Profit Rate %	Profit Payable Frequency	Repayment Terms	Maturity Date
31 December 2015	To meet the Risk-Based Capital Requirements	Amāna Holdings Limited	Related Company	185,000,000	11	Annually	5 Years	31st December 2020
31 December 2015	To meet the Risk-Based Capital Requirements	Amāna Candor Shari'ah Balance Fund	Investor	15,000,000	11	Annually	5 Years	31st December 2020

Notes to the Financial Statements

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
24. Finance Lease Liability				
Opening Balance	15,571,180	13,033,038	7,275,100	13,033,038
Lease Obtained	–	9,572,400	–	–
Repayments	(7,043,612)	(7,034,258)	(5,129,132)	(5,757,938)
	8,527,568	15,571,180	2,145,968	7,275,100
Unamortised Profit	(2,148,121)	(3,068,119)	(901,363)	(972,957)
Net Liability	6,379,446	12,503,061	1,244,605	6,302,143

	1 Year or Less Rs.	2-5 Years Rs.	Total Rs.
24.1 Maturity Analysis			
Gross Liability	4,060,448	4,467,120	8,527,568
Unamortised Profits	(1,530,824)	(617,297)	(2,148,121)
Net Liability	2,529,624	3,849,823	6,379,446

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
25. Short-Term Borrowings – Wakala Facility				
Opening Balance	87,657,018	–	87,657,018	–
Obtained During the Year	260,000,000	250,000,000	260,000,000	250,000,000
Repayments	(159,958,734)	(162,342,982)	(159,958,734)	(162,342,982)
At the End of the Year	187,698,284	87,657,018	187,698,284	87,657,018

25.1 Short-term Wakala Facility represents the short-term loan facility obtained from the Bank of Ceylon (“BOC”) to finance flood claim and other claim settlements in 2016. The total loan facility is obtained on an instalment basis when claims are settled. Proceeds from reinsurance will be used to settle the wakala facility.

25.2 The Company’s shares in Amāna Takaful Life PLC (Subsidiary), valued at Rs. 450,000,000/- have been pledged as security for this facility.

Notes to the Financial Statements

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
26. Gross Written Contribution				
Long-Term Policies				
General Takaful (Insurance)				
Motor	974,887,675	1,320,595,152	930,150,452	963,779,721
Fire	468,184,901	512,866,211	170,321,257	144,636,865
Marine	174,258,235	172,970,938	50,049,017	46,143,461
Medical	255,280,089	208,073,838	255,280,089	208,073,838
Miscellaneous	975,850,592	371,672,565	386,230,219	255,529,914
	2,848,461,492	2,586,178,704	1,792,031,034	1,618,163,799
Family Takaful	101,059,718	106,314,067	–	–
Mortgage and Group Family Takaful	39,729,789	55,040,630	–	–
Unit Linked	651,384,097	659,371,389	–	–
	792,173,604	820,726,086	–	–
	3,640,635,096	3,406,904,790	1,792,031,034	1,618,163,799

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
27. Income from Investments				
Investment Income (Note 27.1)	374,383,257	291,829,380	110,212,172	123,067,149
Fair Value Gain on Investment Properties	1,425,000	5,000,000	1,425,000	5,000,000
Net Realised Capital Gain or (Losses)	1,124,161	(2,016,603)	–	–
Unrealised Capital Gain or (Losses)	5,065,269	12,980,251	–	(59,753)
	381,997,687	307,793,028	111,637,172	128,007,396
27.1 Investment Income				
Dividend Income	11,235,600	8,187,924	10,610,250	31,244,215
Income from Murabaha Investment	20,251,573	26,151,284	–	–
Income from Mudharaba Investments	286,065,075	210,008,953	78,207,786	43,909,848
Sale of Shares of Subsidiary	–	–	–	25,000,000
Interest Income from investment in Government Securities (Note 27.2)	56,381,009	44,878,068	21,394,136	20,222,501
Transferred to Profit or Loss	–	2,603,151	–	2,690,585
	374,383,257	291,829,380	110,212,172	123,067,149

27.2 Interest income from Government Securities has been recognised based on a special approval given by the Council of Islamic Scholars of the Company in 2009.

Notes to the Financial Statements

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
28. Other Income				
Profit on Disposal of Property, Plant and Equipment	3,415,418	578,113	3,415,418	–
Sundry Income	17,942,509	22,030,712	7,206,546	8,829,049
Fund Management Fee Income	45,654,940	36,958,199	–	–
Salvage Income	1,106,800	1,024,500	1,106,800	1,024,500
Exchange Gain/(Loss)	2,374,963	890,781	2,374,963	1,617,707
	70,494,630	61,482,305	14,103,727	11,471,256

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
29. Revenue				
Gross Written Contribution (Premium)	3,640,635,095	3,406,903,789	1,792,031,033	1,618,163,799
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(792,904,261)	(896,277,479)	(378,254,928)	(387,443,446)
Net Written Contribution (Premium)	2,847,730,835	2,510,626,310	1,413,776,105	1,230,720,353
Net Change in Reserve for Unearned Contribution (Premium)	(185,078,348)	38,170,826	(129,645,176)	54,527,741
Net Earned Contribution (Premium)	2,662,652,487	2,548,797,136	1,284,130,929	1,285,248,094
Income from Investments	381,997,687	307,793,028	111,637,172	128,007,396
Fair Value Gains and Losses	338,249	4,043,873	–	855,979
Impairment Charges on Available-for-sale Financial Instruments	–	(36,486,513)	–	–
Other Income	70,494,630	61,482,305	14,103,727	11,471,256
Total Revenue including Fair Value of Investment Transferred	3,115,483,053	2,885,629,828	1,409,871,829	1,425,582,725

Notes to the Financial Statements

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
30. Insurance Claims and Benefits (NET)				
General Takaful (Insurance)				
Gross Claims Incurred				
Motor	553,198,012	970,150,567	550,701,515	767,047,616
Fire	176,604,298	335,415,433	138,269,661	259,041,999
Marine	48,480,643	23,615,329	38,049,819	13,091,963
Medical	169,525,111	145,853,051	169,525,111	145,853,051
Miscellaneous	392,648,012	37,206,623	29,583,739	15,653,319
	1,340,456,076	1,512,241,003	926,129,844	1,200,687,948
Retakaful (Reinsurance) Recoveries	(284,257,426)	(394,076,825)	(232,104,401)	(323,969,526)
General Insurance Claims and Benefits (Net)	1,056,198,650	1,118,164,178	694,025,443	876,718,422
Family Takaful (Long-Term Insurance)				
Claims Incurred	80,009,096	56,504,385	–	–
Surrenders	295,192,689	221,838,804	–	–
Policy Maturities	16,487,198	25,387,133	–	–
Interim Payments/Part Withdrawals	31,786,443	16,451,013	–	–
Long-Term Insurance Claims and Benefits	423,475,426	320,181,335	–	–
	1,479,674,077	1,438,345,513	694,025,443	876,718,422

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
31. Other Operating, Investment Related and Administration Expenses				
Staff Expenses (Note 31.1)	489,248,429	406,958,711	251,929,168	230,313,861
Administration and Establishment Expenses	449,180,737	328,324,380	138,180,345	156,757,068
Selling Expenses	56,456,952	78,088,181	42,498,031	54,168,576
Depreciation	30,752,626	32,493,627	24,332,695	25,738,149
Consultancy Fees	26,541,755	30,353,422	3,480,844	8,964,926
Travel Expenses	133,491,355	135,485,415	90,928,707	98,043,234
	1,185,671,856	1,011,703,736	551,349,790	573,985,814

Notes to the Financial Statements

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
31.1 Staff Expenses				
Wages, Salaries and Bonuses	334,219,907	260,697,469	172,925,821	144,167,836
Contribution to Defined Contribution Plans – EPF and ETF	53,229,075	56,266,493	41,307,385	37,009,685
Staff Welfare	67,706,808	57,010,277	18,744,933	29,339,347
Staff Training	11,404,443	14,771,180	4,929,881	9,110,307
Medical Claims	10,731,667	7,188,722	7,781,000	4,929,413
Gratuity	11,956,530	11,024,570	6,240,148	5,757,273
	489,248,429	406,958,711	251,929,168	230,313,861

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
32. Amortisation				
Intangible Asset	5,369,888	4,594,130	1,550,306	1,331,931
	5,369,888	4,594,130	1,550,306	1,331,931

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
33. The Profit from Operations for the Year				
is stated after charging/(crediting) the following:				
Directors' Emoluments – Executive	16,591,232	25,382,642	9,634,578	8,018,646
– Non-Executive	4,949,117	7,571,570	3,717,933	3,094,353
Auditors' Remuneration (Fees)				
– Audit	3,084,842	2,067,792	1,000,500	870,000
– Audit-Related Other	975,205	886,550	–	466,550
– Non-Audit	1,673,814	1,426,419	2,267,419	1,931,369
Depreciation	30,752,626	32,493,627	24,332,695	25,738,149
Advertisement Costs	85,896,999	78,088,181	59,585,434	54,168,576
Amortisation of Intangibles	5,369,888	4,594,130	1,550,306	1,331,931
Staff Cost	489,248,429	406,958,711	251,929,168	230,313,861
Profit on Disposal of Property, Plant and Equipment	3,415,418	578,113	3,415,418	–

Notes to the Financial Statements

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
34. Finance Cost				
Profit Mark up on Lease (Ijara) Facility	2,676,761	2,005,617	1,514,632	824,012
Finance Cost on Subordinated Debt	22,000,000	22,000,000	22,000,000	22,000,000
Profit Mark up on Wakala Facility	7,196,237	7,657,018	7,196,237	7,657,018
	31,872,998	31,662,635	30,710,869	30,481,030

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
35. Income Tax Expense				
Current Income Tax	(14,757,425)	(7,441,602)	(13,214,894)	-
Fair Value Gain of Investment Property	(142,500)	-	(142,500)	-
WHT Adjustment	(1,002,363)	(1,000,000)	-	-
Over/(Under) Provision from Previous Years	-	(2,105,713)	-	-
	(15,902,288)	(10,547,315)	(13,357,394)	-
Deferred Tax	717,366	4,628,269	13,214,894	-
	717,366	4,628,269	13,214,894	-
	(14,899,924)	(5,919,046)	(142,500)	-
Recognised in Profit or Loss	(14,899,924)	(5,919,046)	(142,500)	-
Recognised in Other Comprehensive Income	-	-	-	-
	(14,899,924)	(5,919,046)	(142,500)	-

35.1 Tax Reconciliation Statement

Accounting Profit before Tax	169,904,142	(140,239,250)	62,769,725	(139,173,365)
Aggregate Disallowed Items	108,921,682	109,494,453	47,228,016	51,032,377
Aggregate Allowable Expenses	(153,832,341)	(240,727,377)	(36,191,033)	(98,821,128)
Total Statutory Income/(Losses)	124,993,484	(271,472,174)	73,806,709	(186,962,116)
Losses Incurred During the Year	-	321,082,854	-	(186,962,116)
Utilisation of Tax Losses	(26,610,660)	-	(26,610,660)	-
Taxable Income	98,382,824	49,610,680	47,196,049	-
Tax @ 15%/28%	14,757,425	7,441,602	13,214,894	-
Income Tax Expense for the Year	14,757,425	7,441,602	13,214,894	-

Notes to the Financial Statements

35.1.1 Amāna Takaful (Maldives) PLC is liable for income tax at 15% (2016 – 15%) on the taxable income for the year of assessment 2017, and the income tax expense recognised during the year is from Amāna Takaful (Maldives) PLC.

35.1.2 Amāna Takaful PLC is liable for income tax at 28% (2016 – 28%) on the taxable income for the Year of Assessment 2017.

35.1.3 Amāna Global Ltd. is liable for income tax at 15% (2016 – 15%) on the taxable income for the Year of Assessment 2017.

35.1.4 Amāna Takaful Life PLC is liable for income tax at 28% (2016 – 28%) on the taxable income for the Year of Assessment 2017.

35.1.5 Income Tax Assessment Relating to Years of Assessment 2010/11, 2011/12, 2012/13 and 2013/14

The Department of Inland Revenue has raised an assessment for the following years of assessment:

- Year of Assessment 2010/11: assessing the General Insurance business to pay an income tax liability of Rs. 578,898/- inclusive of penalty and a assessment on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2011/12: an intimation on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said intimation.
- Year of Assessment 2012/13: assessing the Life Insurance business to pay an income tax liability of Rs. 188,249/- and the Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2013/14: assessing the Life Insurance business to pay an income tax liability of Rs. 11,070,604/- and the Company has lodged a valid appeal against the said assessment.

Directors are of the view that it has followed due process and acted in accordance with the prevailing laws in its tax submissions for Years of Assessment 2010/11, 2011/12, 2012/13 and 2013/14. Therefore, the above assessments have no rationale or basis in law.

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
35.2 Deferred Tax Asset				
Tax Losses Brought Forward	1,764,928,432	1,760,510,730	1,123,813,741	1,119,396,039
Tax Losses of which Deferred Tax Asset was not Recognised	(1,111,131,757)	(1,389,484,255)	(819,091,947)	(748,369,564)
Available-for-Sale Financial Assets	43,782,586	39,443,771	–	–
Defined Benefit Obligation	38,215,718	34,428,575	28,996,165	23,997,243
	735,794,979	444,898,821	333,717,959	395,023,718
Deferred Tax Assets @ 15% and 28%	110,369,247	118,087,907	93,441,029	110,606,641
Recognised Deferred Tax Asset	110,369,247	118,087,907	93,441,029	110,606,641
Deferred Tax Liability				
Property, Plant and Equipment	(31,792,913)	(46,437,588)	(31,446,478)	(41,472,259)
Available-for-Sale Financial Assets	(2,255,462)	–	–	–
Revaluation Gain – Fair Value	–	–	–	–
Fair Value Gain of Investment Property	(1,425,000)	(5,000,000)	(1,425,000)	(5,000,000)
Total Taxable Temporary Differences	(35,473,375)	(51,437,588)	(32,871,478)	(46,472,259)
Deferred Tax Liability @ 15% and 28%	(5,321,006)	(13,757,032)	(9,204,014)	(13,012,233)
Deferred Income Tax Charge/(Reversal)	–	–	13,214,894	–
Net Deferred Tax Asset	105,048,241	104,330,875	97,451,909	97,594,408

Notes to the Financial Statements

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
35.3 Movement in Temporary Differences during the Year				
Balance at 1st January	104,330,875	99,702,606	97,594,408	97,594,408
Recognised in Total Comprehensive Income				
Tax Losses Brought Forward	4,017,905	6,949,621	1,335,397	862,801
Defined Benefit Obligation	1,413,695	1,698,373	1,399,698	133,673
Fair Value Gain of Investment Property	(142,500)	–	(142,500)	–
Property, Plant and Equipment	(1,006,439)	(996,474)	(2,735,095)	(996,474)
Available-for-Sale Financial Assets	(3,565,295)	(3,023,251)	–	–
	717,366	4,628,269	(142,500)	–
Balance at 31st December	105,048,241	104,330,875	97,451,909	97,594,408

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based on the likely timing and the level of future taxable profits together with future tax planning strategies.

However, Amāna Takaful PLC has recorded a deferred tax asset of Rs.97,451,909/- (2016 – Rs. 97,594,408/-) as recognised up to the extent that it will be recognised within foreseeable future.

Amāna Takaful Life PLC has not recognised a deferred tax asset on tax losses amounting to Rs. 894,697,382/- (2016 – Rs. 641,114,691/-), since it is not probable that future taxable profits will be available within a foreseeable future.

36. Earnings Per Share

36.1 Basic earnings per share is calculated by dividing the net profit/(loss) for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year. However, the surplus/(deficit) of the General Takaful Fund is also taken under the profit/(loss), which is not a part of the profit attributable to shareholders.

36.2 The following reflects the income and share data used in the basic earnings per share computations:

For the Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
Amount used as the Numerator:				
Net Profit Attributable to Ordinary Shareholders	155,004,218	(146,158,296)	62,578,787	(139,173,365)
	Number	Number	Number	Number
Number of Ordinary Shares used as Denominator:				
Weighted Average Number of Ordinary Shares in Issue	1,625,001,170	1,657,272,005	1,625,001,170	1,657,272,005
Earnings Per Share (Rs.)	0.10	(0.09)	0.04	(0.08)

Notes to the Financial Statements

36.3 There were no potential dilutive ordinary shares outstanding at any time during the year. Therefore, diluted earnings per share is same as basic earnings per share shown above.

37. Related Party Disclosures

The Group carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 – “Related Party Disclosures”. Transactions with related parties were made on the basis of the price lists in force with non-related parties, but subject to approved discounts. Outstanding balances with related parties other than balances relating to investment-related transactions as at the reporting date are unsecured and interest free. Settlement will take place in cash. Such outstanding balances have been included under respective assets and liabilities. Details of related party transactions are reported below:

(A) Transactions with the Parent, Subsidiaries and Fellow Subsidiaries

Group

Relationship	Nature of Transaction	2017 Rs.	2016 Rs.
Ultimate Parent	Takaful Premium	743,007	730,457
	Takaful Premium Receivable	–	20,832
	Claims Paid	–	404,370
Parent	Investment in Equity	–	144,821,285
	Takaful Premium Receivable	12,437	–
	Reimbursement Cost	–	17,993,742
	Current Account Settlements	–	9,961,728
	Investment Placed	–	37,000,000
	Investment Income Earned	–	32,438
Other Related Companies	Takaful Premium	43,620,173	78,340,293
	Claim Paid	10,850,356	11,133,879
	Takaful Premium Receivable	10,047,957	5,089,003
	Fund Management Fees	3,156,988	7,641,152
	Investment Guarantee	45,658,958	–
	Reimbursement Cost	–	6,983,361
Subsidiaries	Investment	–	–
	Disposal of Equity	–	50,000,000
	Takaful Premium Received	2,003,728	1,961,872
	Claims Paid	1,479,434	2,372,585
	Takaful Premium Receivable	64,101	121,912
	Reimbursement Cost	130,699,444	113,309,628
	Management Fee	8,400,000	8,400,000
	Current Account Settlement	87,085,004	179,932,154
	Dividend Received	–	30,618,154

The Parent company has diluted the controlling ownership of the Company in the month of September 2017. Accordingly from October 2017 there is no parent or ultimate parent for the Company.

Notes to the Financial Statements

Company

Relationship	Nature of Transaction	2017 Rs.	2016 Rs.
Ultimate Parent	Takaful Premium	743,007	730,457
	Takaful Premium Receivable	–	20,832
	Claims Paid	–	404,370
Parent	Investment in Equity	–	144,821,285
	Claims Paid	2,000	–
	Takaful Premium	201,600	–
	Reimbursement Cost	–	9,440,029
	Current Account Settlements	–	9,961,728
Other Related Companies	Takaful Premium	43,620,173	78,340,293
	Claim Paid	10,850,356	11,133,879
	Takaful Premium Receivable	10,047,957	5,089,003
	Fund Management Fees	2,056,988	2,980,845
Subsidiaries	Investment	–	–
	Disposal of Equity	–	50,000,000
	Takaful Premium	1,868,728	984,959
	Claims Paid	229,434	1,807,585
	Takaful Premium Receivable	64,101	121,912
	Claims Received	–	565,000
	Reimbursement Cost	122,199,444	100,606,701
	Management Fees	8,400,000	8,400,000
	Current Account Settlement	87,085,004	157,529,250
	Current Account Balance	16,497,664	4,451,232
	Dividend	10,500,000	29,202,747
	Fair Value of Investment Transferred	–	–

The Parent company has diluted the controlling ownership of the Company in the month of September 2017. Accordingly from October 2017 there is no parent or ultimate parent for the Company.

(B) Compensation of Key Management Personnel

The total compensation to those individuals classified as Key Management Personnel, being those having authority and responsibility for planning, directing and controlling the activities of the Company.

According to Sri Lanka Accounting Standard (LKAS) 24 – “Related Party Disclosure”, Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Directors (including Executive and Non-Executive Directors) of the Company and its Parent have been classified as Key Management Personnel of the Group.

Notes to the Financial Statements

The Group carries out transactions with KMPs and their close family members in the ordinary course of business on an arms length basis at commercial rates.

Year Ended 31st December	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
Salary and Other Short-Term Benefits	46,247,443	47,460,420	15,054,983	18,382,999
Contributions made by the Company to Provident Fund and Trust Fund	2,563,950	1,949,026	1,677,713	982,500
Termination Benefits	3,120,000	2,047,500	3,120,000	–
Non-Cash Benefits	3,690,000	3,405,000	2,820,000	2,100,000
	52,771,393	54,861,946	19,552,696	21,465,499

38. Principal Subsidiaries

The following disclosure excerpt highlights the Group composition and the proportion of ownership interests held by NCI.

Company and Country of Incorporation/Operation	Principal Activities	Class of Shares Held	Proportion of Class Held by the Company %	Group Interest %	Non-Controlling Interest %
Sri Lanka					
Amāna Takaful Life PLC	Life Insurance	Ordinary	90	90	10
Amāna Global Ltd.	Asset/Investment Management	Ordinary	100	100	0
Maldives					
Amāna Takaful (Maldives) PLC	General Takaful Insurance	Ordinary	51	55	45

Notes to the Financial Statements

38.1 Summary Financial Information for Subsidiaries that have Non-Controlling Interests that are Material to the Group

The following table summarises the information relating to the Group's subsidiary that has material NCI, before any intra group eliminations.

31st December 2017	Amāna Takaful Life PLC	Amāna Takaful (Maldives) PLC
NCI Percentage (%)	10	45
Total Assets	2,809,627,481	1,062,294,178
Total Liabilities	(2,235,839,592)	(557,939,492)
Net Assets	573,787,889	504,354,686
– Attributable to Non-Controlling Interest	57,378,789	225,390,457
– Attributable to Parent	516,409,100	278,964,229
Net Earned Contribution (Premium)	765,035,663	613,485,661
Profit for the Period	49,831,579	52,266,467
– Profit Attributable to Non-Controlling Interest	4,983,158	23,519,910
– Profit Attributable to Parent	44,848,421	28,746,557
Other Comprehensive Income, Net of Tax	439,150	2,220,094
Total Comprehensive Income for the Year	50,270,729	54,486,561
Cash Flows from/(used) in Operating Activities	125,815,466	160,926,653
Cash Flows from/(used) in Investment Activities	97,174,633	(373,198,126)
Cash Flows used in Financing Activities	(1,162,129)	(19,513,138)
Net Increase/(Decrease) in Cash and Cash Equivalents	221,827,970	(231,784,611)

31st December 2016	Amāna Takaful Life PLC	Amāna Takaful (Maldives) PLC
NCI Percentage (%)	10	45
Total Assets	2,707,598,672	968,975,208
Total Liabilities	(2,184,081,517)	(505,777,797)
Net assets	4,891,680,189	463,197,411
– Attributable to Non-Controlling Interest	52,351,717	261,912,591
– Attributable to Parent	47,165,438	201,284,820
Net Earned Contribution (Premium)	806,055,796	457,493,246
Profit for the Period	35,691,066	14,586,659
– Profit Attributable to Non-Controlling Interest	1,711,897	6,563,996
– Profit Attributable to Parent	33,979,169	8,022,663
Other Comprehensive Income, Net of Tax	(4,327,450)	31,351,497
Total Comprehensive Income for the Year	12,810,996	88,411,120
Cash Flows from Operating Activities	356,215,952	(647,351)
Cash Flows used in Investment Activities	(436,067,644)	254,916,494
Cash Flows used in Financing Activities	(24,716,331)	(37,493,890)
Net Increase in Cash and Cash Equivalents	(104,568,023)	216,775,253

Notes to the Financial Statements

39. Commitments and Contingencies

39.1 Commitments

The Group does not have significant capital commitments as at the reporting date.

39.2 Contingencies

A contingent liability at a fair value of Rs. 268.5 Mn has been determined from five claims where, Amāna Takaful PLC's liability on the retention after recovery of reinsurance is assessed at Rs. 21 Mn, if any. The said claims are subject to legal proceeding. At the reporting date, the lawyers are of the view that these five cases will be favourable to the Company.

The Group operates in the insurance industry and is subject to legal proceedings in the normal course of business. While it is not practicable to forecast or determine the final results of all pending or threatened legal proceedings, Management does not believe that such proceedings (including litigation) will have a material effect on its results and financial position.

The Group is also subject to insurance solvency regulations in all the territories where it operates and has complied with all these solvency regulations. There are no contingencies associated with the Group's compliance or lack of compliance with such regulations.

40. Transfer Pricing

Provision on transfer pricing under Sections 104 and 104 (A) of the Inland Revenue Act No. 10 of 2006 covers the transactions with associated undertakings. Since compliance reporting will be enforced from the year of assessment 2015/16.

During the financial year, certain transactions including provision of insurance solutions and placement of deposits have been taken place with Parent entity (Associated undertaking). The Group is of the view that the transactions with its related entities have taken place on arm's length price.

As the aggregate value of transactions of each company with associated undertaking is more than Rs. 50 Mn, the Group is required to maintain separate documentation as prescribed by Transfer Pricing Regulations. All companies are in the process of seeking professional advice from tax consultants to prepare required documentation to comply with Transfer Pricing Regulation.

41. Events Occurring After the Reporting Period

There has been no event occurring after the reporting date that require adjustments to or disclosures in these Financial Statements.

42. Assets Pledged

The following assets have been pledged as security for liabilities:

Nature of Assets	Nature of Liability	Carrying Amount Pledged	Included Under
		2017 Rs.	2016 Rs.
Leased Vehicle	Pledged Against Finance Lease Liabilities	6,698,185	5,927,765 Property, Plant and Equipment
Repurchase Agreements	Bank Guarantee for a Performance Bond	1,000,000	1,000,000 Financial Assets – Shareholders' Fund
Investment in Subsidiary	Short-Term Wakala Facility	450,000,000	587,197,352 Investment in Subsidiary

Notes to the Financial Statements

43. Comparative Information

Comparative information has been reclassified where necessary to conform with the current year presentation.

44. Risk Management

44.1 Overview

All entities face uncertainty and the challenge for the Group is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Primarily, Risk Management Framework enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

44.2 Risk Management Framework

The Group's Risk Management Framework forms an integral part of the Management and Board processes and decision-making framework across the Group. The Group has a robust Enterprise Risk Management Framework to mitigate the identified risks exposed at multiple levels of the operation. We believe, while having the governance practices and the Standard Operating Procedures (SOP's), having the right people at the right place will mitigate more than half the risks.

However, the Board of Directors have the overall responsibility for the establishment and oversight of the Group's Risk Management Framework and thus, their approval is necessary for the Risk management Strategies. The Group's Risk Management Framework is categorised into four lines of defence as follows:

1. Front Line People – Risk awareness of the people in the front line is the first line of defence.
2. Policies and Procedures – The Standard Operating Procedures will mitigate the risks at operational level.
3. Key Personnel – Appointing key personnel at the key positions will assist mitigating through right decision-making and approval controls at Senior Management level.
4. Governance – The governance practices to mitigate the risks at Board level.

The Board has appointed a Subcommittee (Board Risk Committee) to monitor closely the affairs of risk management of the Group.

This section discusses the salient features of the risks exposed by the Group in terms of financial instruments and other areas as an insurance operator. The Financial instruments of the Group are exposed to the following Risks:

1. Financial Risk
2. Market Risk
3. Insurance Risk
4. Liquidity Risk

Notes to the Financial Statements

44.3 Financial Risk

44.3.1 Capital Management

a. Objectives and policies

The Group has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- Optimise capital utilisation within the regulatory and Shari'ah guidelines.
- To maintain the required level of solvency of the Group, thereby providing a degree of security to policyholders.
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders, policyholders and other stakeholders.
- To retain financial flexibility by maintaining strong liquidity.
- To align the profile of assets and liabilities, taking account of risks inherent in the Group's line of business.

The Group currently has stated capital worth Rs. 1.86 Bn which is well above the minimum regulatory requirement of the Insurance Regulatory Commission of Sri Lanka (IRCSL). Operations of the Group are also subject to statutory requirements of the IRCSL (Capital, investments, solvency etc.,) of which, adaptations are made to internal processes from time to time as and when regulations are amended. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions on events such as capital adequacy and solvency to minimise the risk of default and insolvency on the part of the insurance companies to meet unforeseen liabilities. Furthermore, the Group firmly adheres to Islamic financial principles i.e. the strict adherence of Shari'ah guidelines in terms of investments, marketing activities and so on, and restrictions in borrowing capital etc., give more stability to the financial strength of the Group.

b. Approach to Capital Management

Capitals of all investments are maintained strictly within the investment guidelines of the Insurance Regulatory Commission of Sri Lanka (IRCSL). This primarily helps the Group to maintain the required levels of solvency at all the times at different funds. In meeting the objectives mentioned above, the Capital management and asset allocation decisions are reviewed and approved by the Executive Committee and the Board Investment Committee which meet regularly on a monthly basis. The Board Investment Committee operates under clear terms of reference to thoroughly analyse the new investment proposals, review the past performance and provide guidance in terms of future investments and movements of assets.

44.3.2 Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation.

How credit risk could arise –

1. Premium receivable
2. Re-Insurance receivable
3. Investments in debt securities

The following policies and procedures are in place to mitigate the Group's exposure to credit risk:

- The Group has a stringent credit policy and a detailed SOP outlining the authority and approval limits to manage credit granted to customers.
- All Re-insurers are selected based on the ratings as required by IRCSL.
- The Investment Committee evaluates the exposure and the new investments in instruments in order to reduce the risks.
- The executive committee regularly reviews the credit position of the Group i.e. outstandings and overdues. In addition the Group also ensures that there are sufficient provisions created in the case of doubtful debts.

Notes to the Financial Statements

Industry Analysis – 2017	Financial Services	Asset Management	Government	Telecommunication	Construction, Manufacturing, Power and Chemicals	Others	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets							
Financial Assets at Fair Value through Profit or Loss							
Investments in Equity Securities	-	-	-	38,123,076	17,402,662	2,980,619	58,506,357
Investments in Equity Securities – Unit Linked	-	-	-	-	107,622,840	2,030,898	109,653,738
Available-for-Sale Financial Assets							
Investment in Equity Securities	34,561,038	-	-	-	-	-	34,561,038
Unit Trust	-	44,931,416	-	-	-	-	44,931,416
Unit Trust – Unit Linked	-	25,158,906	-	-	-	-	25,158,906
Unquoted	219,541,078	-	-	-	525,000	-	220,066,078
Loans and Receivables							
Repurchase Agreements	-	-	714,764,891	-	-	-	714,764,891
Repurchase Agreements – Unit Linked	-	-	40,965,518	-	-	-	40,965,518
Murabaha Investments	250,930,016	-	-	-	-	-	250,930,016
Mudharaba Investments	1,147,670,227	-	-	-	-	-	1,147,670,227
Mudharaba Investments – Unit Linked	1,350,900,391	-	-	-	-	-	1,350,900,391
Commercial Paper	-	-	-	-	101,000,000	140,580,148	241,580,148
Advances to Company Officers	-	-	-	-	-	14,912,404	14,912,404
Total Credit Exposure	3,003,602,750	70,090,322	755,730,410	38,123,076	226,550,503	160,504,068	4,254,601,128

Notes to the Financial Statements

Industry Analysis – 2016	Financial Services	Asset Management	Government	Telecommunication	Construction, Manufacturing, Power and Chemicals	Others	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets							
Financial Assets at Fair Value through Profit or Loss							
Investments in Equity Securities	–	–	–	3,936,279	20,394,262	2,420,892	26,751,433
Investments in Equity Securities – Unit Linked					94,207,952	1,900,733	96,108,685
Available-for-Sale Financial Assets							
Investment in Equity Securities	37,593,383	–	–	–	–	–	37,593,383
Unit Trust	–	42,178,119	–	–	–	–	42,178,119
Unit Trust – Unit Linked	–	21,669,060	–	–	–	–	21,669,060
Unquoted	7,143,582	–	–	–	525,000	–	7,668,582
Loans and Receivables							
Repurchase Agreements	–	–	503,228,391	–	–	–	503,228,391
Repurchase Agreements – Unit Linked	–	–	8,068,014	–	–	–	8,068,014
Murabaha Investments	265,126,704	–	–	–	–	–	265,126,704
Mudharaba Investments	1,103,973,199		–		–	–	1,103,973,199
Mudharaba Investments – Unit Linked	1,315,430,509		–		–	–	1,315,430,509
Commercial Paper	37,444,000		–		301,055,864	–	338,499,864
Advances to Company Officers	–	–	–	–	–	12,130,593	12,130,593
Total Credit Exposure	2,766,711,377	63,847,179	511,296,405	3,936,279	416,183,078	16,452,218	3,778,426,536

Notes to the Financial Statements

44.3.2.1 Credit Exposure

The Group's maximum exposure to credit risk for the components of the Statement of Financial Position at 31st December 2017 and 2016, is the carrying amounts of respective financial instruments.

Credit Exposure – 31st December 2017

	Neither Past Due nor Impaired Rs.	Past Due but Not Impaired	Individually Impaired Rs.	As at 31st December 2017 Rs.
Financial Assets				
Financial Assets at Fair Value through Profit or Loss				
Investment in Equity Securities	58,506,357	–	–	58,506,357
Investment in Equity Securities – Unit Linked	109,653,738	–	–	109,653,738
Available-for-Sale Financial Assets				
Investment in Equity Securities – Quoted	34,561,038	–	–	34,561,038
Unit Trust	–	–	–	–
Unit Trust – Unit Linked	25,158,906	–	–	25,158,906
Investment in Equity Securities - Unquoted	220,066,078	–	–	220,066,078
Loans and Receivables				
Repurchase Agreements	714,764,891	–	–	714,764,891
Repurchase Agreements – Unit Linked	40,965,518	–	–	40,965,518
Murabaha Investments	250,930,016	–	–	250,930,016
Mudharaba Investments	1,147,670,227	–	–	1,147,670,227
Commercial Paper	185,080,148	56,500,000	–	241,580,148
Mudharaba Investments – Unit Linked	1,350,900,391	–	–	1,350,900,391
Advance to Company Officers	14,912,404	–	–	14,912,404
Other Assets Related to Financial Risk				
Retakaful (Reinsurance) Receivables	360,020,248	–	–	360,020,248
Contribution (Premium) Receivables	567,358,602	–	–	567,358,602
Cash and Bank Balances	276,503,979	–	–	276,503,979
Total Credit Exposure	5,357,052,541	56,500,000	–	5,413,552,541

Notes to the Financial Statements

Credit Exposure – 31st December 2016

	Neither Past Due nor Impaired Rs.	Past Due but Not Impaired Rs.	Individually Impaired Rs.	As at 31st December 2016 Rs.
Financial Assets				
Financial Assets at Fair Value through Profit or Loss				
Investment in Equity Securities	26,751,433	–	–	26,751,433
Investment in Equity Securities – Unit Linked	96,108,685	–	–	96,108,685
Available-for-Sale Financial Assets				
Investment in Equity Securities – Quoted	37,593,383	–	–	37,593,383
Unit Trust	42,178,119	–	–	42,178,119
Unit Trust – Unit Linked	21,669,060	–	–	21,669,060
Investment in Equity Securities - Unquoted	7,668,582	–	–	7,668,582
Loans and Receivables				
Repurchase Agreements	503,228,391	–	–	503,228,391
Repurchase Agreements – Unit Linked	8,068,014	–	–	8,068,014
Murabaha Investments	265,126,704	–	–	265,126,704
Mudharaba Investments	1,103,973,199	–	–	1,103,973,199
Commercial Paper	338,499,864	–	–	338,499,864
Mudharaba Investments – Unit Linked	1,315,430,509	–	–	1,315,430,509
Advance to Company Officers	9,755,734	–	2,374,859	12,130,593
Other Assets Related to Financial Risk				
Retakaful (Reinsurance) Receivables	383,234,370	–	–	383,234,370
Contribution (Premium) Receivables	423,594,316	–	–	423,594,316
Cash and Cash Equivalents	441,066,908	–	–	441,066,908
Total Credit Exposure	5,023,947,271	–	2,374,859	5,026,322,130

Notes to the Financial Statements

The following table provided information regarding the credit risk exposure on investments of the Group as at 31st December 2017 as a percentage of respective credit ratings of the investee. AAA is considered the highest possible rating, while assets that fall outside the range of AAA to BBB- are classified as speculative grade. No credit exposure limits were exceeded by the Group during the year.

Investment in Repurchase Agreements are Government Securities and can be categorised as risk free investment. Further, investments in shares and units are not considered, since credit rating is not applicable.

Credit Rating	Exposure
A+	28
A	19
A-	18
AA-	6
AA	11
BB	18

44.4 Market Risk

Market risk involves all the fluctuations in the demand and supply forces in the capital and insurance markets for the Group. The capital market forces determine interest rates, equity prices, yield on other investment assets, while the market forces in the insurance market determines the net premiums and gross premium values. Further, prices of goods and services in general i.e., inflation, determines the cost of administration.

44.4.1 Interest Rate Risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in the market interest rates. Floating rate instruments expose the Group to cash flow interest risk, whereas fixed interest rate instruments expose the Group to fair value interest risk.

The Group invests in Treasury Bills primarily to meet the mandatory requirement of the investment IRCSL and to park the cash inflow within the admissible assets category until a suitable option is identified within the available time space.

Notes to the Financial Statements

44.4.2 Equity Risk

Listed equity investments are prone to market risk arising from uncertainties faced in the future values of the securities. In order to diversify its risk the Group and the Company have a diversified investment policy based on fundamental analysis which has helped balance the uncertainty faced. It is also notable that the Group and the Company invests only in sound fundamental value giving investments to the Group and the Company; providing greater security in its invested equity securities.

Amāna Takaful Equity Exposure (Group) – Quoted

Sector	2017		2016	
	Exposure Rs.	Sector Weight %	Exposure Rs.	Sector Weight %
Construction	3,290,000	6	3,471,997	4
Financial Services	34,561,038	58	52,630,726	68
Manufacturing	14,112,662	24	15,003,265	19
Plantation	1,003,440	2	664,890	1
Telecommunication	4,506,936	8	3,936,279	5
Trading	1,977,179	2	1,756,002	2
	59,451,254	100	77,463,159	100
Construction	1,645,000	10	1,736,000	9
Manufacturing	14,389,841	84	16,538,264	87
Plantation	1,003,440	6	664,890	4
	19,069,179	111	23,607,759	120

Amāna Takaful Equity Exposure (Company) – Quoted

Sector	2017		2016	
	Exposure Rs.	Sector Weight %	Exposure Rs.	Sector Weight %
Construction	24,077,097	22	21,670,003	23
Manufacturing	85,576,642	78	74,438,681	77
	109,653,738	100	96,108,685	100

Notes to the Financial Statements

44.4.3 Foreign Currency Risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group has exposure to foreign currency risk where it has cash flows in overseas operations and foreign currency transactions which are affected by foreign exchange movements.

44.5 Insurance Risk

Being in the Insurance Industry, risks related to the insurance business i.e. Insurance Risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this Category:

- Underwriting Risks
- Claims Risks
- Reinsurance Risk

In addition to the above Life Insurance is specifically subject to the following risks:

1. Mortality Risk – risk of loss arising due to policyholder death experience being different than expected.
2. Morbidity Risk – risk of loss arising due to policyholder health experience being different than expected
3. Investment Return Risk – risk of loss arising from actual returns being different than expected
4. Expense Risk – risk of loss arising from expense experience being different than expected
5. Policyholder Decision Risk – risk of loss arising due to policyholder experiences (lapses and surrenders) being different than expected.

In order to mitigate such risk the Group has adopted the following strategy. The Group's strategy is driven by the comprehensive screening of policyholders in order to ascertain current medical status, family medical history, the key been the comprehensive screening of participants. Further, the Group ensures that the overall risk is reduced by diversifying the product portfolio across widespread geographical and industry-wide segments.

The Group also rejects the payment of fraudulent claims once fully exhausting its investigative capacity. The insurance risk described above is also affected by the contract holder's right to pay reduced premiums or no future premiums, to terminate the contract completely. As a result, the amount of insurance risk is also subject to contract holder behaviour.

Notes to the Financial Statements

44.5.1 Under-writing Risks

In insurance, underwriting risk may either arise from an inaccurate assessment of the risks entailed in writing an insurance policy, or from factors wholly out of the underwriter's control. As a result, the policy may cost the insurer much more than it has earned in premiums.

Management Strategy

- i. **Price** – The Group has strict pricing mechanisms which need to be adhered in respect of various classes of products. Whilst pricing is periodically reviewed in respect of market activity it is notable that discounting is strictly monitored with authority levels only at the highest level whilst also been on a multi-level basis.
- ii. **Exposure** – The Group fully ensures that the Group does not underwrite risk which does not suit its risk profile and further ensures all high volume non-motor risks are reinsured.
- iii. **Personnel** – The Group ensures that all underwriting personnel in both General and Life are adequately trained. Further, all staff inclusive of underwriting staff have been given specific Key Performance Indicators (KPI's) with regard to revenue and profitability of product segments. The Life segment has its own in-house actuary, who reviews the Life business closely and guides the Management when taking crucial product based decisions.

Further, it should be noted that the Group monitors product profitability of all main classes of insurance on a month by month basis.

44.5.2 Claims Risk

The key risk facing insurance companies is the claims risk where an extremely high amount of risks i.e., a significantly high claims ratio in comparison to the earned premium could drastically affect Group performance.

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully-emphasised in Key Performance indicators of all staff levels.

44.5.3 Reinsurance Risk

Insurance companies in events where sum insured is extremely high in comparison to premium earned decide on reinsuring the policy with another insurer in order to mitigate/share its loss in the case of disaster. The risk borne would add up to the premium foregone in the event that disaster does not occur to the said policy.

Management Strategy

The Board Risk Committee annually reviews the list of reinsurers to ensure that the Group's exposure is hedged to maximum effect, whilst periodically monitoring the financial status and condition of the same. The Group employs pre-agreed treaty insurance agreements to hedge against day-to-day insurance exposure, whilst engages in facultative insurance to hedge against extraordinary insurance risks in the line of day-to-day business.

Notes to the Financial Statements

Statement of Reinsurance Arrangements (General Insurance) Outward Treaty Reinsurance
Amāna Takaful PLC

Class of Business	Name of the Reinsurer	Reinsurer's Country of Origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Marine	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	07.12.2017
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	30.11.2017
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	28.02.2017
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	25.08.2017
	Kenya Re	Kenya	B+ (Good)	BBB-	A.M. Best	22.02.2018
Fire	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	07.12.2017
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	30.11.2017
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	28.02.2017
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	25.08.2017
Motor	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	07.12.2017
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	30.11.2017
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	28.02.2017
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	25.08.2017
Liability	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	07.02.2017
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	30.11.2017
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	28.02.2017
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	25.08.2017
Miscellaneous	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	07.02.2017
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	30.11.2017
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	28.02.2017
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	25.08.2017
Travel PA	Ironshore	Malaysia	A (Excellent)	A	A.M. Best	01.03.2018
Engineering	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	07.02.2017
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	30.11.2017
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	28.02.2017
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	25.08.2017

Notes to the Financial Statements

Amāna Takaful Life PLC

Class of Business	Name of the Reinsurer	Reinsurer’s Country of Origin	Name of the Regulatory Authority which Approval Obtained to Transact Reinsurance Business	License validity period of the reinsurer	Rating		Rating Agency	Date of Rating
					Financial Strength	Credit		
Life								
1. Long-Term Takaful Plans (Endowments)	Score Global Life SE Hanover Re	Malaysia	Labuan FSA	Yearly Renewal Unlimited	AA-	AA-	S&P	07.09.2017
		Baharain	Central Bank of Baharain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	30.10.2017
Other								
1. All family Takaful Policies (CAT Cover)	Hanover Re	Baharain	Central Bank of Baharain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	30.10.2017
2. Unit Link Takaful	Score Global Life SE	Malaysia	Labuan FSA	Yearly Renewal Unlimited	AA-	AA-	S&P	07.09.2017
3. Group Family	Hanover Re	Baharain	Central Bank of Baharain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	30.10.2017
4. Credit & Mortgage Takaful	Score Global Life SE	Malaysia	Labuan FSA	Yearly Renewal Unlimited	AA-	AA-	S&P	07.09.2017

Notes to the Financial Statements

Amāna Takaful (Maldives) PLC

Class of Business	Name of the Reinsurer	Reinsurer's Country of Origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Marine	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	07.12.2017
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	30.11.2017
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	28.02.2017
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	25.08.2017
	Kenya Re	Kenya	B+ (Good)	BBB-	A.M. Best	22.02.2018
Fire	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	07.12.2017
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	30.11.2017
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	28.02.2017
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	25.08.2017
Motor	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	07.12.2017
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	30.11.2017
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	28.02.2017
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	25.08.2017
Liability	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	07.02.2017
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	30.11.2017
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	28.02.2017
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	25.08.2017
Miscellaneous	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	07.02.2017
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	30.11.2017
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	28.02.2017
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	25.08.2017
Travel PA	Ironshore	Malaysia	A (Excellent)	A	A.M. Best	01.03.2018
Engineering	Swiss Retakaful	Switzerland	A+ (Superior)	AA-	A.M. Best	07.02.2017
	Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	A-	A.M. Best	30.11.2017
	General Insurance Corporation of India	India	A- (Excellent)	A-	A.M. Best	28.02.2017
	Trust International Insurance and Reinsurance B.S.C.(c) Trust Re	Kingdom of Bahrain	A- (Excellent)	A-	A.M. Best	25.08.2017

Notes to the Financial Statements

44.6 Liquidity Risk

Liquidity risk is when a possibility arises that an entity will encounter difficulty in meeting obligations associated with financial instruments. The Group has a standard set of guidelines set up by an Investment policy under the purview of the Investment Committee which is followed in accordance with the IBSL guidelines.

The following policies and procedures are in place to mitigate the Group's exposure to liquidity risk:

- The Group maintains a diverse maturity profile in its assets, in order to ensure sufficient funding available to meet insurance and investment contracts obligations.
- The Investment Committee regularly reviews the liquidity levels and takes appropriate action to improve the liquidity whilst ensuring maximum possible yield and efficiency in investments.
- Efficient forecasting of future commitments and making investments to meet the payouts to mitigate any possible liquidity concerns.

Maturity profile of Group investments based on remaining maturity is given below:

Maturity Analysis – 2017	Within One Year	1-3 Years	3-5 Years	More Than 5 Years	No. Stated Maturity	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Investments in Quoted Equity Securities	48,330,436	–	–	–	44,736,958	93,067,394
Unit Trust	44,931,416	–	–	–	–	44,931,416
Unquoted Investments	–	–	–	220,066,078	–	220,066,078
Repurchase Agreements	714,764,891	–	–	–	–	714,764,891
Murabaha Investments	132,650,115	73,013,699	20,979,452	24,286,750	–	250,930,016
Mudharaba Investments	1,147,670,227	–	–	–	–	1,147,670,227
Commercial Paper	241,580,148	–	–	–	–	241,580,148
Other Assets – Other Receivables	45,133,114	–	–	–	–	45,133,114
Other Assets – Unit Linked	–	–	–	–	–	–
Advances to Company Officers	14,912,404	–	–	–	–	14,912,404
Contribution (Premium) Receivables	567,358,602	–	–	–	–	567,358,602
Total	2,957,331,354	73,013,699	20,979,452	244,352,828	44,736,958	3,340,414,290
Liabilities						
Other Liabilities – Unit Linked	51,844,853	–	–	–	–	51,844,853
Other Liabilities	548,767,363	–	–	–	–	548,767,363
Short-Term Borrowings	187,698,284	–	–	–	–	187,698,284
Subordinated Debt	–	–	200,000,000	–	–	200,000,000
Finance Lease Liability	2,529,624	3,849,823	–	–	–	6,379,446
Total	790,840,123	3,849,823	200,000,000	–	–	994,689,945

Notes to the Financial Statements

Maturity Analysis – 2016	Within One Year	1-3 Years	3-5 Years	More Than 5 Years	No. Stated Maturity	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Investments in Quoted Equity Securities	19,607,858	–	–	–	44,736,958	64,344,816
Unit Trust	24,595,617	–	–	–	17,582,502	42,178,119
Unquoted Investments	–	–	–	7,668,582	–	7,668,582
Repurchase Agreements	503,228,391	–	–	–	–	503,228,391
Murabaha Investments	146,846,803	73,013,699	20,979,452	24,286,750	–	265,126,704
Mudharaba Investments	1,071,917,784	–	–	–	–	1,071,917,784
Commercial Paper	338,499,864	–	–	–	–	338,499,864
Other Assets – Other Receivables	71,436,291	–	–	–	–	71,436,291
Other Assets – Unit Linked	32,055,415	–	–	–	–	32,055,415
Advances to Company Officers	12,130,593	–	–	–	–	12,130,593
Contribution (Premium) Receivables	423,594,316	–	–	–	–	423,594,316
Total	2,220,318,616	73,013,699	20,979,452	31,955,332	62,319,460	2,832,180,875
Liabilities						
Other Liabilities – Unit Linked	50,315,576	–	–	–	–	50,315,576
Other Liabilities	465,230,356	–	–	–	–	465,230,356
Short-Term Borrowings	87,657,018	–	–	–	–	87,657,018
Subordinated Debt	–	–	200,000,000	–	–	200,000,000
Finance Lease Liability	4,833,734	7,669,327	–	–	–	12,503,061
Total	608,036,684	7,669,327	200,000,000	–	–	815,706,011

Notes to the Financial Statements

45. Maturity Profile of Assets and Liabilities

Year Ended 31st December 2017	Group					
	Within 12 Months Rs.	2017 After 12 Months Rs.	Total Rs.	Within 12 Months Rs.	2016 After 12 Months Rs.	Total Rs.
Assets						
Cash and Bank Balances	269,133,976	–	269,133,976	368,874,066	–	368,874,066
Cash and Bank Balances – Unit Linked	7,370,003	–	7,370,003	72,192,842	–	72,192,842
Financial Assets	2,344,839,638	383,082,937	2,727,922,574	2,179,146,370	125,948,483	2,305,094,853
Financial Assets – Unit Linked	1,526,678,553	–	1,526,678,553	1,441,276,268	–	1,441,276,267
Retakaful (Reinsurance) Receivables	360,020,248	–	360,020,248	383,234,370	–	383,234,370
Contribution (Premium) Receivables	567,358,602	–	567,358,602	423,594,316	–	423,594,316
Investment Property	–	79,925,000	79,925,000	–	78,500,000	78,500,000
Property, Plant and Equipment	–	76,724,518	76,724,518	–	101,870,083	101,870,083
Intangible Assets	–	31,812,197	31,812,197	–	36,658,107	36,658,107
Deferred Tax Assets	–	105,048,241	105,048,241	–	104,330,875	104,330,875
Other Assets	186,501,020	–	186,501,020	170,070,907	–	170,070,907
Other Assets – Unit Linked	–	–	–	32,055,415	–	32,055,415
Total Assets	5,261,902,040	676,592,892	5,938,494,933	5,070,444,553	447,307,548	5,517,752,101
Liabilities						
Bank Overdrafts	37,426	–	37,426	40,892,192	–	40,892,192
Short-Term Borrowings	187,698,284	–	187,698,284	87,657,018	–	87,657,018
Insurance Contract Liabilities – Non-Life	1,015,130,229	–	1,015,130,229	917,870,374	–	917,870,374
Insurance Contract Liabilities – Family Takaful Fund	–	580,710,124	580,710,124	–	559,913,844	559,913,844
Insurance Contract Liabilities – Family Takaful Unit Linked	–	1,525,135,501	1,525,135,501	–	1,504,144,873	1,504,144,873
Employee Benefits	–	50,016,182	50,016,182	–	38,871,095	38,871,095
Subordinated Debt	–	200,000,000	200,000,000	–	200,000,000	200,000,000
Finance Lease Liability	2,529,624	3,849,823	6,379,446	4,925,830	7,577,231	12,503,061
Other Liabilities – Unit Linked	51,844,853	–	51,844,853	50,315,576	–	50,315,576
Other Liabilities	548,767,363	–	548,767,363	465,230,356	–	465,230,356
Total Liabilities	1,806,007,777	2,359,711,628	4,165,719,405	1,566,891,346	2,310,507,043	3,877,398,389
Net Balance	3,455,894,263	(1,683,118,735)	1,772,775,528	3,503,553,208	(1,863,199,495)	1,640,353,712

Notes to the Financial Statements

Year Ended 31st December 2017	Company					
	Within 12 Months Rs.	2017 After 12 Months Rs.	Total Rs.	Within 12 Months Rs.	2016 After 12 Months Rs.	Total Rs.
Assets						
Cash and Bank Balances	110,981,837	–	110,981,837	78,897,531	–	78,897,531
Cash and Bank Balances – Unit Linked	–	–	–	–	–	–
Financial Assets	871,751,119	525,000	872,276,119	873,841,499	525,000	874,366,499
Retakaful (Reinsurance) Receivables	256,610,926	–	256,610,926	213,900,783	–	213,900,783
Contribution (Premium) Receivables	489,748,895	–	489,748,895	328,235,215	–	328,235,215
Investments in Subsidiaries	–	1,074,322,352	1,074,322,352	–	1,074,322,352	1,074,322,352
Investment Property	–	79,925,000	79,925,000	–	78,500,000	78,500,000
Property, Plant and Equipment	–	53,168,306	53,168,306	–	81,974,142	81,974,142
Intangible Assets	–	6,665,391	6,665,391	–	8,215,697	8,215,697
Deferred Tax Assets	–	97,451,909	97,451,909	–	97,594,408	97,594,408
Other Assets	162,684,646	–	162,684,646	103,983,447	–	103,983,447
Total Assets	1,891,777,424	1,312,057,958	3,203,835,381	1,598,858,475	1,341,131,599	2,939,990,074
Liabilities						
Bank Overdrafts	37,426	–	37,426	38,493,174	–	38,493,174
Short-Term Borrowings	187,698,284	–	187,698,284	87,657,018	–	87,657,018
Insurance Contract Liabilities – Non-Life	700,319,999	–	700,319,999	650,675,481	–	650,675,481
Employee Benefits	–	28,996,165	28,996,165	–	23,997,243	23,997,243
Subordinated Debt	–	200,000,000	200,000,000	–	200,000,000	200,000,000
Finance Lease Liability	871,223	373,381	1,244,605	4,411,500	1,890,643	6,302,143
Other Liabilities	266,963,102	–	266,963,102	174,572,524	–	174,572,524
Total Liabilities	1,155,890,034	229,369,546	1,385,259,581	955,809,697	225,887,886	1,181,697,583
Net Balance	735,887,390	1,082,688,411	1,818,575,801	643,048,778	1,115,243,713	1,758,292,491



...is the tangible outcome of our strategy, process and technology and is manifest across everything we do...from customer response to “nimble footed” decision-making and more.

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Form of Proxy – Enclosed

Group Value Added Statement

	2017 Rs. Mn	2016 Rs. Mn
Net Earned Contribution (Premium)	2,663	2,549
Investment and Other Income	453	373
Net Claims and Benefits	(1,480)	(1,438)
Cost of External Services	(905)	(884)
Total Value Added	731	600
To employees as Salaries and Other Benefits	489	407
To the Government as Taxes	15	6
Increase in Family Takaful (Long-Term Insurance) Fund	41	301
Retained with the Business	–	–
– depreciation	31	32
– in reserves	155	(146)
Total Value Added	731	600

Share Information

1. Analysis of the Distribution of Shareholders as at 31st December 2017

Shareholding	Resident			Non-Resident			Total	
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares
1 – 1,000	2508	871,235	0.05	4	2,600	0.00	2,512	873,835
1,001 – 10,000	2347	10,713,887	0.60	8	36,650	0.00	2,355	10,750,537
10,001 – 100,000	1207	40,589,176	2.25	5	293,391	0.02	1,212	40,882,567
100,001 – 1,000,000	318	96,889,268	5.38	4	705,000	0.04	322	97,594,268
Over 1,000,000	42	1,647,998,241	91.56	1	1,901,848	0.11	43	1,649,900,089
	6,422	1,797,061,807	100	22	2,939,489	0.16	6,444	1,800,001,296

The percentage of shares held by the public as at 31st December 2017 was 23.01% (31st December 2016 – 23.18%), where the number of shareholders was 6,434 (31st December 2016 – 6,654)

Share Information

2. Top 20 Shareholders as at 31st December 2017

	2017 No. of Shares	%	2016 No. of Shares	%
Hatton National Bank PLC/Amāna Holdings Ltd.	729,595,185	40.53	1,073,586,222	59.64
Amāna Bank PLC	274,614,686	15.26	274,614,686	15.26
Osman Kassim/K. Kassim	127,174,307	7.07	6,691,624	0.37
Shafik Kassim	123,859,739	6.88	–	0.00
Sattar Kassim	102,731,591	5.71	1,818,432	0.10
Expolanka Holdings PLC	79,096,234	4.39	79,096,234	4.39
Sampath Bank PLC/Dr. T. Senthilverl	48,643,135	2.70	48,643,135	2.70
Seylan Bank PLC/Dr. Thirugnanasambandar Senthilverl	36,349,546	2.02	35,483,544	1.97
Amāna Holdings Ltd.	26,779,411	1.49	26,779,411	1.49
Falcon Trading (Pvt) Ltd.	23,686,801	1.32	23,686,801	1.32
Mohamed Haji Omar	5,515,137	0.31	5,245,075	0.29
Mohamed Imtiaz Samsudeen	4,980,667	0.28	–	0.00
Pattini Deva Asoka Swarnakanthi Beruwalage	4,226,846	0.23	4,226,846	0.23
Seylan Bank PLC/Jayantha Dewage	4,143,082	0.23	4,143,082	0.23
Waldock Mackenzie Ltd./M.I. Samsudeen	3,781,001	0.21	220,000	0.01
Joseph Rohan Victoria	3,352,094	0.19	–	0.00
Mujahira Mohamed Fazeel	3,267,000	0.18	33,500	0.00
Yoosuf Ali Shameela	3,102,000	0.17	3,100,000	0.17
Sithambaram Pillai Jayakumar	3,000,000	0.17	3,000,000	0.17
Nabeela Haroon	2,700,000	0.15	2,700,000	0.15
	1,610,598,462	89.48	1,593,068,592	88.50
Others	189,402,834	10.52	206,932,704	11.50
Total	1,800,001,296	100.00	1,800,001,296	100.00

Share Information

	Group		Company	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
3. Investor Ratios				
Earnings/(Loss) per Share	0.10	(0.09)	0.04	(0.08)
Dividend per Share	-	-	-	-
Net Assets per Share	0.83	0.77	1.01	0.98
4. Market Value of Shares				
Highest Value	1.30	1.50		
Lowest Value	0.60	0.80		
Year End Value	0.80	0.90		

Ten Year Summary

Group

Statement of Income for the Year Ended	31.12.2017 Rs. '000	31.12.2016 Rs. '000	31.12.2015 Rs. '000	31.12.2014 Rs. '000	31.12.2013 Rs. '000	31.12.2012 Rs. '000	31.12.2011 Rs. '000	31.12.2010 Rs. '000	31.12.2009 Rs. '000	31.12.2008 Rs. '000
Gross Written Contribution (Premium)	3,640,635	3,406,904	3,237,609	2,652,008	2,373,301	2,153,770	1,613,979	1,173,348	1,160,895	1,023,864
Net Earned Contribution (Premium)	2,662,652	2,548,797	2,511,374	2,081,401	1,964,884	1,618,797	1,253,696	945,650	817,128	746,567
Income from Investments and Other Income	452,831	373,319	240,612	302,752	184,024	204,744	80,866	69,896	47,732	64,275
Net Claims Incurred	(1,479,674)	(1,438,346)	(1,337,090)	(895,861)	(929,340)	(778,767)	(652,614)	(517,552)	(476,266)	(378,319)
Net Commission Incurred	(202,356)	(238,515)	(226,904)	(187,263)	(130,096)	(84,304)	(65,589)	(20,691)	(34,036)	(23,384)
Expenses	(1,223,014)	(1,084,447)	(976,552)	(867,768)	(757,034)	(686,400)	(555,622)	(437,392)	(345,744)	(397,479)
Increase in Family Takaful (Long-Term Insurance) Fund	(40,536)	(301,048)	(482,827)	(346,831)	(221,141)	(167,048)	(131,213)	(75,283)	(60,820)	(60,818)
Profit/(Loss) Before Taxation	169,904	(140,239)	(271,387)	86,429	111,298	107,022	(70,476)	(35,372)	(52,005)	(49,157)
Income Tax Expenses	(14,900)	(5,919)	(9,113)	16,582	46,560	(16,689)	(918)	-	-	-
Net Profit/(Loss) for the year	155,004	(146,158)	(280,500)	103,011	157,857	90,333	(71,394)	(35,372)	(52,005)	(49,157)
Basic Earnings/(Loss) per Share (Rs.)	0.10	(0.09)	(0.18)	0.07	0.13	0.06	(0.09)	(0.05)	(0.10)	(0.98)

Ten Year Summary

General Insurance Business

Statement of Income for the Year Ended	31.12.2017 Rs. '000	31.12.2016 Rs. '000	31.12.2015 Rs. '000	31.12.2014 Rs. '000	31.12.2013 Rs. '000	31.12.2012 Rs. '000	31.12.2011 Rs. '000	31.12.2010 Rs. '000	31.12.2009 Rs. '000	31.12.2008 Rs. '000
Gross Written Contribution (Premium)	2,848,461	2,586,178	2,309,315	1,972,979	1,830,315	1,789,011	1,296,082	933,192	953,798	835,188
Net Earned Contribution (Premium)	1,897,617	1,742,740	1,603,309	1,416,151	1,426,921	1,261,846	942,842	713,535	614,051	559,563
Income from Investments and Other Income	183,763	150,530	110,409	165,763	118,458	170,769	71,615	46,610	31,683	51,341
Net Claims Incurred	(1,056,199)	(1,118,164)	(1,129,518)	(734,623)	(749,794)	(698,422)	(569,253)	(446,969)	(406,636)	(326,946)
Net Commission Incurred	(105,158)	(130,278)	(129,582)	(113,552)	(82,355)	(67,852)	(45,946)	(637)	(15,962)	(1,295)
Expenses	(800,711)	(820,759)	(744,069)	(647,310)	(594,987)	(559,319)	(469,734)	(347,911)	(275,141)	(331,822)
Profit/(Loss) Before Taxation	119,312	(175,931)	(289,451)	86,429	118,243	107,022	(70,476)	(35,372)	(52,005)	(49,157)

Ten Year Summary

Amāna Takaful Life PLC/Long-Term (Family Takaful) Insurance Business

Statement of Income for the Year Ended	31.12.2017 Rs. '000	31.12.2016 Rs. '000	31.12.2015 Rs. '000	31.12.2014 Rs. '000	31.12.2013 Rs. '000	31.12.2012 Rs. '000	31.12.2011 Rs. '000	31.12.2010 Rs. '000	31.12.2009 Rs. '000	31.12.2008 Rs. '000
Gross Written Contribution (Premium)	792,174	820,726	928,294	679,029	542,986	364,759	317,897	240,156	207,097	188,676
Net Earned Contribution (Premium)	765,036	806,057	908,064	665,250	537,963	356,951	310,854	232,115	203,077	187,005
Income from Investments and Other Income	269,068	222,789	130,203	136,988	65,566	33,975	9,251	23,286	16,049	12,934
Net Claims Incurred	(423,475)	(320,181)	(207,572)	(161,238)	(179,545)	(80,345)	(83,361)	(70,583)	(69,630)	(51,374)
Net Commission Incurred	(97,198)	(108,237)	(97,322)	(73,711)	(47,741)	(16,452)	(19,643)	(20,054)	(18,074)	(22,089)
Expenses	(422,303)	(263,688)	(232,484)	(220,458)	(162,046)	(127,081)	(85,888)	(89,481)	(70,603)	(65,658)
Increase in Family Takaful (Long-Term Insurance) Fund	(40,536)	(301,048)	(482,827)	(346,831)	(221,141)	(167,048)	(131,213)	(75,283)	(60,820)	(60,818)
Profit/(Loss) Before Taxation	50,592	35,691	18,064	–	(6,945)	–	–	–	–	–

Ten Year Summary

Group

Statement of Financial Position as at	31.12.2017 Rs. '000	31.12.2016 Rs. '000	31.12.2015 Rs. '000	31.12.2014 Rs. '000	31.12.2013 Rs. '000	31.12.2012 Rs. '000	31.12.2011 Rs. '000	31.12.2010 Rs. '000	31.12.2009 Rs. '000	31.12.2008 Rs. '000
Assets										
Financial Assets	2,727,923	2,305,095	2,448,385	1,754,470	1,655,539	1,877,583	993,838	809,489	–	–
Investments	79,925	78,500	73,500	101,800	173,531	184,105	750,946	88,853	573,210	621,147
Financial Assets – Unit Linked	1,526,679	1,473,332	1,092,154	637,572	353,566	127,335	91,882	–	–	–
Intangible Assets	31,812	36,658	24,703	24,159	29,002	29,199	40,365	25,681	28,692	30,307
Property, Plant and Equipment	76,726	101,870	123,231	127,570	96,720	83,385	39,654	49,610	56,534	55,199
Other Assets	1,485,573	1,450,105	937,383	1,000,999	916,957	532,335	578,647	525,610	568,858	351,377
Cash – Unit Linked	7,370	72,193	46,639	95,837	36,434	14,512	6,187	–	–	–
Total Assets	5,936,007	5,517,752	4,745,995	3,742,407	3,261,750	2,848,454	2,501,519	1,499,243	1,227,294	1,058,030
Liabilities										
Insurance Provision – Non Life (General Takaful Fund)	1,015,130	917,870	742,618	625,154	698,682	597,736	454,936	374,619	346,430	203,274
Insurance Provision – Long Term (Family Takaful Fund)	580,710	559,914	574,711	551,211	550,220	577,899	494,321	413,141	335,186	274,364
Insurance Provision – Long-Term (Family Takaful Fund) – Unit Linked	1,525,136	1,504,145	1,191,795	730,799	380,958	138,447	50,364	–	–	–
Other Liabilities	992,898	845,154	687,939	443,988	329,820	433,522	550,861	543,217	357,060	361,539
Other Liabilities – Unit Linked	51,845	50,316	39,437	20,116	9,042	2,985	2,176	–	–	–
Total liabilities	4,165,719	3,877,398	3,236,500	2,371,268	1,968,722	1,750,589	1,552,658	1,330,977	1,038,676	839,177
Shareholders' Equity										
Equity Attributable to Equity Holders of the Parent										
Stated Capital	1,860,001	1,860,001	1,650,001	1,250,001	1,250,001	1,250,001	1,250,001	500,000	500,000	500,000
Other Reserves	83,090	85,869	80,105	65,949	30,128	30,140	14,711	17,505	20,648	–
Revenue Reserves	(455,559)	(567,430)	(426,506)	(121,500)	(142,051)	(324,619)	(417,740)	(367,112)	(334,280)	(282,264)
	–	1,378,441	1,303,601	1,194,450	1,138,078	955,522	846,971	150,393	186,368	217,736
Minority Interest	282,755	261,913	205,894	176,689	154,951	142,343	101,889	17,873	2,250	1,117
Total Equity	1,770,288	1,640,354	1,509,494	1,371,139	1,293,028	1,097,865	948,861	168,266	188,618	218,853
Total Equity and Liabilities	5,936,007	5,517,752	4,745,995	3,742,407	3,261,750	2,848,454	2,501,519	1,499,243	1,227,294	1,058,030

Ten Year Summary

Amāna Takaful Life PLC/Long Term (Family Takaful) Insurance Business

Statement of Financial Position as at	31.12.2017 Rs. '000	31.12.2016 Rs. '000	31.12.2015 Rs. '000	31.12.2014 Rs. '000	31.12.2013 Rs. '000	31.12.2012 Rs. '000	31.12.2011 Rs. '000	31.12.2010 Rs. '000	31.12.2009 Rs. '000	31.12.2008 Rs. '000
Assets										
Financial Assets	1,040,576	1,018,398	1,089,313	590,099	506,956	539,756	328,486	424,414	–	–
Investments	–	–	–	43,683	71,908	73,463	161,666	50,750	327,066	273,439
Financial Assets – Unit Linked	1,526,679	1,473,332	1,092,154	637,572	353,566	127,335	91,882	–	–	–
Intangible Assets	22,250	23,549	18,408	–	–	–	–	–	21,977	23,744
Property, Plant and Equipment	21,165	17,467	14,932	–	–	–	–	–	1,744	4,734
Other Assets	191,588	102,661	142,505	64,612	37,992	43,936	27,420	10,913	18,400	11,951
Cash – Unit Link	7,370	72,193	46,639	95,837	36,434	14,512	6,187	–	–	–
Total Assets	2,809,627	2,707,599	2,403,951	1,431,804	1,006,855	799,002	615,641	486,077	369,187	313,868
Liabilities										
Family Takaful Fund Balance (Insurance Provision – Long-Term)	580,710	559,914	574,711	551,211	550,220	577,899	494,321	413,141	335,186	274,364
Family Takaful Fund (Insurance Provision – Long-Term) – Unit Linked	1,525,136	1,504,145	1,191,795	730,799	380,958	138,447	50,364	–	–	–
Other Liabilities	78,149	69,708	82,414	129,678	66,636	79,171	23,251	72,936	34,001	39,504
Other Liabilities – Unit Linked	51,845	50,316	39,437	20,116	9,042	3,485	47,705	–	–	–
Total Liabilities	2,235,840	2,184,082	1,888,357	1,431,804	1,006,855	799,002	615,641	486,077	369,187	313,868
Shareholders' Equity										
Equity Attributable to Equity Holders of the Parent										
Stated Capital	500,000	500,000	500,000	–	–	–	–	–	–	–
Other Reserves	(1,545)	(2,669)	2,169	–	–	–	–	–	–	–
Revenue Reserves	75,333	26,186	13,424	–	–	–	–	–	–	–
Total Equity	573,788	523,517	515,594	–	–	–	–	–	–	–
Total Equity and Liabilities	2,809,627	2,707,599	2,403,951	1,431,804	1,006,855	799,002	615,641	486,077	369,187	313,868

Geographic Locations

Head Office

No. 660-1/1, Galle Road,
Colombo 03.
11 750 1000

Akkaraipattu

No. 77, Main Street,
Akkaraipattu.
067 750 1100

Akurana

No. 207/B, Matale Road,
Akurana.
081 750 1150

Akuressa

No. 160, Kaburupitiya Road,
Tibbatuwawa, Akuressa.

Anuradhapura

No. 81, Bank Site,
Anuradhapura.
025 750 1103

Batticaloa

No. 32, Bar Street, Batticaloa.
065 750 1100

Beruwala

No. 201, Galle Road, Beruwala.
034 750 1138

Dehiwala

No. 142, Galle Road, Dehiwala.
011 750 1275

Galle

No. 41, Sri Devamiththa Mawatha,
China Garden, Galle.
091 750 1128

Gampola

No. 134/A, Kandy Road,
Gampola.
081 750 1104

Hambantota

No. 104, Tissa Road,
Hambantota.
047 750 1100

Jaffna

No. 249/1, 1st Floor,
Power House Road, Jaffna.
021 750 1100

Kaduruwela

No. 379A, Main Street,
Kaduruwela.
027 750 1120

Kalmunai

No. 32, Mallika Building,
Main Street, Kalmunai.
067 750 1116

Kalpitiya

No. 210, Main Street, Kalpitiya.
032 750 1100

Kalutara

No. 161, Main Street,
Kalutara South.
034 750 1132

Kandy

No. 111-1/1, Kotugodella Street,
Kandy.
081 750 1100

Kattankudy

No. 287, Main Street,
Kattankudy.
065 750 1118

Kinniya

No. 124, Main Street, Kinniya.
026 750 1115

Kurunegala

No. 07, South Circular Road,
Kurunegala.
037 750 1110

Matale

No. 510, Main Street, Matale.
066 750 1101

Matara

No. 36/1st.
Thomas' Mawatha,
Matara.
041 750 1130

Mawanella

No. 207, New Kandy Road,
Mawanella.
035 750 1107

Muttur

No. 115, Main Street,
Muttur.
026 750 7150

Negombo

No. 121 1/1, St. Joseph's Street,
Negombo.
031 750 1121

Nugegoda

No. 331A, High Level Road,
Nugegoda.
11 750 1290

Pettah

No. 51-53, 1st Floor, Bankshall
Street, Colombo 11.
011 750 1212

Puttalam

No. 128, Mannar Road,
Puttalam.
032 750 1124

Ratnapura

No. 310/1, Main street,
Kudugalwatta, Ratnapura.
045 750 1100

Samanthurai

No. 52, Fuard Building, Main
Street, Ampara

Thihariya

No. 122-1, Parakumba Mahal,
Kandy Road, Thihariya.
033 750 1100

Trincomalee

No. 71, Thirugnanasambanthar
Street, Trincomalee.
026 750 1100

Vavuniya

No. 9/80, 1st Cross Street,
Vavuniya.
024 750 1100



Glossary

Acquisition Expenses – General Takaful (Insurance)

All expenses which vary with and are primarily related to the acquisition of the new insurance contracts and the renewal of existing insurance contracts.

Acquisition Expenses – Family Takaful (Life)

All expenses which vary with and are primarily related to the acquisition of new insurance contracts.

Actuary

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

Claims

The amount payable under a contract of insurance arising from the occurrence of an insured event, such as, the destruction or damage of property and related death or injuries, the incurring of hospital or medical bills, death or disability of the insured, the maturity of an endowment policy and the amount payable on the surrender of a policy.

Claims Incurred

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the claims outstanding provisions at the beginning and the end of the accounting period.

Claims Incurred But Not Reported (IBNR)

A reserve to cover the expected cost of losses that have occurred by the balance sheet date but have not yet been reported to the insurer.

Claim Outstanding – General Takaful (Insurance) Business

The amount provided to cover the estimated ultimate cost of settling claims arising out of events which have occurred by the balance sheet date including claims handling expenses, less amounts already paid in respect of those claims.

Commissions

A payment made to intermediaries in return for selling and servicing an insurer's products.

Earned Premium

Written premium adjusted by the unearned premium provisions at the beginning and the end of the accounting period.

General Insurance Business (General Takaful)

Insurance business falling within the classes of insurance specified as General Insurance Business, under the Regulation of Insurance Industry Act No. 43 of 2000.

Ijara – (Leasing)

A contract under which, the Bank buys and leases out equipment required by its client for a rental fee. The duration of the lease and rental fees are agreed in advance. Ownership of the equipment remains with the Bank and only the usufruct is transferred to the client. The client is gifted the item at the end of the lease period based on a separate understanding taken by the Bank to gift the asset subject to certain conditions.

Insurance Provision – Family Takaful (Long Term)

The fund or funds to be maintained by an insurer in respect of its Long Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

Insurance Provision – General Takaful (Insurance)

This includes net unearned premium, provisions for unexpired risks, outstanding claims reserve and IBNR reserve.

Life Insurance Business (Family Takaful)

Insurance business falling within the classes of insurance specified as Long Term Insurance, under the Regulation of Insurance Act No. 43, 2000.

Mudharaba

This is an agreement made between two parties. The Investor, who provides 100% of the capital for the project and the Mudharib manages the entire project using his entrepreneurial skills. The Investor has no control over the management of the project. Profits arising from the project are distributed according to a predetermined ratio. Losses are borne by the provider of the capital.

Net Earned premium

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

Premium (Contribution)

The consideration payable by the insured for an insurance contract.

Retakaful (Reinsurance)

Transfer of all or part of the risk assumed by an insurer under one or more insurance to another insurer, called the re-insurer.

Risk-Based Capital

A "Risk Based" approach to assess the Capital Adequacy, determined as per Solvency Margin (Risk-Based Capital) Rules 2015.

Shari'ah

Is the code of law for the Islamic way of life which has been derived from the *Quran* and the *Sunnah* (The Practice of the holy Prophet Muhammad – Peace be upon him).

Shari'ah Advisory Council (SAC)

This comprises of Shari'ah Scholars or/and well versed personnel in Shari'ah, which ensures Shari'ah compliance in the operations of the Company. The SAC advises the Company on all Shari'ah matters in its business activities and involves in endorsing and validating relevant documentation, such as products manuals, policy terms and conditions, marketing materials, sales illustrations, etc.

Solvency Margin – Family Takaful (Life)

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long-Term Insurance business, determined as per Solvency Margin (Long-Term Insurance) Rules, 2002.

Solvency Margin – General Takaful (Insurance)

The difference between the value of the assets and the value of the liabilities required to be maintained by the insurer who carries on general insurance business as per Solvency Margin (General insurance) Rules, 2004.

Surrender

The act of canceling of an insurance contract before it reaches its date of maturity.

Takaful

Is an Arabic word, which means "guaranteeing each other". It is a system of risk management based on the principle of mutual assistance (TA-AWUN) and contributions (Tabarru) where the risk is shared collectively by the Group voluntarily.

Underwriting

The process of selecting which risks an insurance company can cover, and deciding the premium and terms of acceptance.

Unearned Premium/Unearned Premium Reserve

It represents the portion of premium already entered in the accounts as due but which relates to a period of risk subsequent to the balance sheet date.

Written Premium

Total premium received or due from all insurance contracts during a period.

Notice of Meeting

NOTICE IS HEREBY GIVEN that the 19th Annual General Meeting of Amāna Takaful PLC will be held on 8th May 2018 at 9.30am at the Committee Room B, Bandaranaike Memorial International Conference Hall (BMICH), Bauddhaloka Mawatha, Colombo 07, for the following purposes:

1. To receive and consider the Annual Report of the Board of Directors on the affairs of the Company for the year ended 31st December 2017 and the Report of the Auditors thereon.
2. Re-election of Directors by Rotation in terms of Article 83 of the Articles of Association of the Company -
 - a. To re-elect Osman Kassim as a Director of the Company, who retires as per Article 83 of the Articles of Association of the Company, and being eligible, offers himself for re-election as a Director.
 - b. To re-elect A.S.M. Muzzammil as a Director of the Company, who retires as per Article 83 of the Articles of Association of the Company, and being eligible, offers himself for re-election as a Director.
 - c. To re-elect M.R.M. Nayeem as a Director of the Company, who retires as per Article 83 of the Articles of Association of the Company, and being eligible, offers himself for re-election as a Director.
3. Re-election of Directors in terms of Section 211 of the Companies Act No. 07 of 2007 -
 - To re-elect Dr. Ifthikarudeen Ahamed Ismail and the following resolution to be passed for this purpose, if thought fit:

IT IS HEREBY RESOLVED: To re-elect Dr. Ifthikarudeen Ahamed Ismail who is 80 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dr. Ifthikarudeen Ahamed Ismail.

- To re-elect M.H.M. Rafiq and the following resolution to be passed for this purpose, if thought fit:

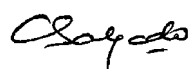
IT IS HEREBY RESOLVED: To re-elect M.H.M. Rafiq who is 73 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said M.H.M. Rafiq.

- To re-elect Dato' Mohd Fadzli Yusof and the following resolution to be passed for this purpose, if thought fit:

IT IS HEREBY RESOLVED: To re-elect Dato' Mohd Fadzli Yusof who is 73 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dato' Mohd Fadzli Yusof.

4. To reappoint the retiring Auditors, Messrs Ernst & Young, Chartered Accountants for the ensuing year and to authorise the Directors to determine their remuneration.

By Order of the Board,
Amāna Takaful PLC



Managers & Secretaries (Private) Ltd.

Secretaries

5th April 2018

Notes:

1. A member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote in his/her behalf. A proxy need not be a member of the Company.
2. A Form of Proxy is enclosed for this purpose.
3. The instrument appointing a proxy must be completed and deposited at the Registered Office of the Company, No. 660, 1/1, Galle Road, Colombo 03, not less than forty eight hours prior to the time appointed for holding the meeting.

Form of Proxy

I/We the undersigned

bearing NIC No., of

being a member/members of Amāna Takaful PLC, hereby appoint

..... of

.....being NIC No. or failing him

Tyeab Akbarally of Colombo or failing him

Osman Kassim of Colombo or failing him

Dato' Mohd Fadzli Yusof of Malaysia or failing him

Dr. A.A.M. Haroon of Colombo or failing him

M.H.M. Rafiq of Colombo or failing him

A.S.M. Muzzamil of Colombo or failing him

Dr. I.A. Ismail of Colombo or failing him

R. Gopinath of India or failing him

M.R.M. Nayeem of Colombo or failing him

M.H.S. Kassim of Colombo

as my/our proxy to represent me/us and to vote for me/us on my/our behalf at the Annual General Meeting to be held on 8th May 2018 at 9.30am and at any adjournment thereof and at every poll which may be taken in consequence thereof.

As witness my/our hands this day of 2018.

.....
Signature

INSTRUCTIONS AS TO COMPLETION

1. In order to appoint a proxy, this form shall in the case of an individual be signed by the shareholder or by his/her Attorney and in the case of a company/corporation, the Form of Proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
2. The full name, NIC No. and address of the proxy holder and of the shareholder appointing the proxy holder should be entered legibly in the Form of Proxy.
3. The duly completed form of proxy must be deposited at the Registered Office of the Company at No. 660, 1/1, Galle Road, Colombo 03, not later than 48 hours prior to the time appointed for the holding of the meeting.
4. In the case of a proxy signed by an Attorney, the relevant Power-of-Attorney or a certified copy thereof should also accompany the completed Form of Proxy and must be deposited at the Registered Office of the Company.

Corporate Information

Name of the Company

Amāna Takaful PLC

Legal Status

Public Quoted Company with Limited Liability incorporated in Sri Lanka on 7th December 1998. Registered under the Companies Act No. 07 of 2007 on 27th June 2007.

Company Registration Number

PQ 23

Tax Payer Identification Number (TIN)

134007958

Stock Exchange Listing

The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka on 27th November 2006. Stock Exchange Code for Amāna Takaful PLC shares is "ATL".

Directors

Tyeab Akbarally – Chairman
Osman Kassim
Dato' Mohd Fadzli Yusof
Dr. A.A.M. Haroon
M.H.M. Rafiq
M. Ehsan Zaheed (Resigned w.e.f. 17th April 2017)
A.S.M. Muzzammil
Dr. I.A. Ismail
R. Gopinath
M.R.M. Nayeem
M.H. Sattar Kassim

Shari'ah Advisory Council

Mufti M.I.M. Rizwe – Chairman
Ash-Sheikh M. Murshid – Secretary

Chief Executive Officer – Amāna Takaful PLC

M. Fazal Ghaffoor

Chief Executive Officer – Amāna Takaful Life PLC

Gehan Shivantha Rajapakse

Registered Office

No. 660-1/1, Galle Road, Colombo 03, Sri Lanka

Subsidiaries

Amāna Takaful Life PLC
No. 660-1/1, Galle Road, Colombo 03, Sri Lanka

Amāna Global Ltd.

No. 6, Glen Aber Place, Colombo 04, Sri Lanka

Amāna Takaful (Maldives) PLC

3rd Floor, H. Mialani, Sosun Magu, Malé, Republic of Maldives

Auditors

Messrs Ernst & Young
Chartered Accountants

Consultant Actuaries – General Insurance

NMG Financial Services Consulting Pte Ltd.
65, Chulia Street #37-07/08, OCBC Centre Singapore 049513

Consultant Actuaries – Long-Term Insurance

Actuarial Partners Consulting Sdn Bhd,
Suite 17.02, Kenanga International
Jalan Sultan Ismail 50250 Kuala Lumpur,
Malaysia

Reinsurance Panel

Swiss Reinsurance Company Ltd.
Labuan Reinsurance (L) Ltd, Labuan, Malaysia
Trust International Insurance & Reinsurance Co. B.S.C. (C), Bahrain.
General Insurance Corporation of India, Mumbai
Emirates Re
Ironshore Insurance Ltd. Singapore Branch
Scor Re
Hannover Re

Secretaries

Managers & Secretaries (Pvt) Ltd.

Principal Bankers

Amāna Bank PLC/Pan Asia Bank/NDB Bank/Bank of Ceylon/
Commercial Bank/Sampath Bank/HNB/Nations Trust Bank/
Deutsche Bank



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Amāna Takaful PLC
660-1/1, Galle Road, Colombo 03, Sri Lanka.

www.takaful.lk